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Report No. 40676-GH

# Ghana
# 2007 External Review of Public Financial Management

(In Two Volumes) Volume I: Main Report

**June 2008**

PREM 4 and AFTPC
Africa Region

DFID Department for International Development

**Document of the World Bank**

## CURRENCY EQUIVALENTS

| | | |
|---|---|---|
| Currency Unit | = | Cedis |
| Cedis | = | US$0.0001 |
| US$1 | = | ¢ 9,587 |

## FISCAL YEAR

January 1 – December 31

## ACRONYMS AND ABBREVIATIONS

| | |
|---|---|
| ADMD | Aid Debt Management Department (MoFEP) |
| AFTFM | Africa Financial Management |
| AFTPC | Africa Procurement |
| AFTPR | Africa Public Sector Reform and Capacity |
| AFTP4 | Africa Poverty Reduction and Economic Management 4 |
| ARIC | Audit Reports and Implementation Committees |
| BDI | Budget Deviation Index |
| BPEMS | Budget and Public Expenditure Management System |
| CAGD | Controller and Accountant General Department |
| CEPS | Customs, Excise and Preventive Service |
| CEA | Country Environmental Analysis |
| CF | Consolidated Fund |
| CFAA | Country Financial Accountability Assessment |
| Cocobod | Ghana Cocoa Board |
| CPAR | Country Procurement Assessment Report |
| DACF | District Assemblies Common Fund |
| DANIDA | Danish International Development Agency |
| DFID | UK Department for International Development |
| ERPFM | External Review of Public Financial Management |
| ESAR | Education Sector Annual Review |
| ETCs | Entity Tender Committees |
| FAA | Financial Administration Act |
| FASDEP | Food and Agriculture Sector Development Policy |
| GDP | Gross Domestic Product |
| GoG | Government of Ghana |
| GAS | Ghana Audit Service |
| GES | Ghana Education Services |
| GETF | Ghana Education Trust Fund |
| GPRS II | Ghana Growth and Poverty Reduction Strategy for 2006-2009 |
| HIPC | Heavily Indebted Poor Country |
| IAA | Internal Audit Agency |
| IGF | Internally Generated Funds |
| IMF | International Monetary Fund |
| IRS | Internal Revenue Service |
| IPPD2 | Integrated Personnel and Payroll Database |
| MDAs | Ministries, Departments and Agencies |
| MMDAs | Metropolitan, Municipal, and District Assemblies |
| MDBS | Multi-Donor Budgetary Support |
| MDGs | Millennium Development Goals |

| | |
|---|---|
| MoFEP | Ministry of Finance and Economic Planning |
| MoESS | Ministry of Education, Science and Sports |
| MoFA | Ministry of Food and Agriculture |
| MoH | Ministry of Health |
| MoRT | Ministry of Roads and Transportation |
| MSME | Micro, Small and Medium Enterprise |
| MTEF | Medium-Term Expenditure Framework |
| NHIF | National Health Insurance Fund |
| NHIL | National Health Insurance Levy |
| NREG | Natural Resource and Environmental Governance Program |
| OECD-DAC | Organization for Economic Co-operation and Development – Development Assistance Committee |
| OHCS | Office of the Head of Civil Service |
| OPCPR | OPCS Procurement |
| PAC | Public Accounts Committee |
| PEFA | Public Expenditure and Financial Accountability |
| PETS | Public Expenditure Tracking Surveys |
| PFAU | Project and Financial Analysis Unit |
| PFM | Public Financial Management |
| PPA | Public Procurement Authority |
| PPME | PPA's Public Procurement Model of Excellence tool |
| PREM | Poverty Reduction and Economic Management |
| RAGB | Revenue Agencies Governing Board |
| SOE | State-Owned Enterprise |
| ST&MT AP | GoG Short and Medium-Term Action Plan for PFM |
| VALCO | Volta Aluminum Company |
| VAT | Value-Added Tax |
| VATS | Value-Added Tax Service |
| VRA | Volta River Authority |
| WBI | World Bank Institute |

| | |
|---|---|
| Vice President: | Obiageli K. Ezekwesili (AFRVP) |
| Country Director: | Ishac Diwan (AFCW1) |
| Sector Director: | Sudhir Shetty (AFTPM) |
| Sector Manager: | Antonella Bassani (AFTP4) |
| Task Team Leaders: | Marcelo R. Andrade (AFTP4)<br>Amadou T. Toure (AFTPC) |

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# PREFACE

The 2007 External Review of Public Financial Management (ERPFM) incorporates a detailed assessment of Ghana's procurement practices using the OECD/DAC "Methodology for Assessment of National Procurement Systems" and also reviews macroeconomic and fiscal developments, the links between the budget and the Growth and Poverty Reduction Strategy (GPRS), and implementation of the Government's action plan to strengthen public financial management.

This report represents a collaborative effort between the Government of Ghana and its Multi-Donor Budget Support (MDBS). The 2007 ERPFM team is especially grateful to the senior management of the Ministry of Finance and Economic Planning and of the Public Procurement Board for their active leadership and strong commitment to the exercise and, in particular, during the field work in Accra from May 2 to 16, 2007. The 2007 ERPFM benefits from productive consultations and extensive data provided during the field work by the Government team led by the Honorable Dr. Akoto Osei (Minister of State, Ministry of Finance and Economic Planning – MoFEP), which involved Mr. Kwadwo Akowuah (Deputy Auditor General), Mr. Nana J.B. Siriboe (Chief Director, MoFEP), Mr. Ato Essuman (Chief Director, MoESS), Mr. Lepowura Alhaji M. N. D. Jawula (Chief Director, MoH), Mr. Kwabena Adjei-Mensah (Director of Budget, MoFEP), Mr. A.B. Adjei (Chief Executive, Public Procurement Authority), Mr. Patrick Nomo (Director-General, Internal Audit Agency), Mr. Eric S. Norgbey (Deputy Director-General, Internal Audit Agency), Mr. Abraham T. Mantey (Deputy Controller and Accountant General), Mr. Harry Owusu (Executive Secretary, Revenue Agencies Governing Board), Mr. Kwabena Oku-Afari (Head, Policy Analysis Division, MoFEP) and Mrs. Yvonne Quansah (Head, Aid/Debt Management Department, MoFEP), Mr. Enoch Cobbinah (Head, Non Tax Revenue Unit, MoFEP), Mr. Eric Appiah (Director, Public Procurement Authority), Mr. J. Afrani (Director, MoESS), Mr. G. Dakpalla, (Director, MoH), Mr. P. Ofori-Asumandu (Ag. Director, MoRT) and Mr. Mike Ayesu (Head, World Bank Desk, MoFEP). Key support was also received from senior officials of MoFEP, PPA, GAS, IAA, RAGB, CAGD, and the ministries of education, health, and roads and transportation. The report also benefits from consultations on a preliminary draft that took place in Accra, from September 10 to 14, 2007, with MoFEP, the Public Procurement Authority, the Internal Audit Agency, the Ghana Audit Service and the Honorable Chairman of the Public Accounts Committee.

The 2007 ERPFM team benefited from informative meetings with the District Assemblies of Dangme West and Ga West, and the Ghana Institution of Surveyors, Ghana Institution of Engineers, Chartered Institute of Purchasing and Supply, SEND Foundation, Ghana Integrity Initiative and Ghana Anti-Corruption Coalition.

The preparation of the 2007 ERPFM was led by the World Bank and the team included Marcelo Andrade and Amadou Tidiane Touré (Co-Task Team Leaders), Carlos Cavalcanti (Co-Chair MDBS, World Bank), Daniel Boakye (AFTP4), John Muwanga, Johnatan Nyamukapa and Robert DeGraft-Hanson (AFTFM), Smile Kwawukume (AFTPR), Tsri Apronti (AFTPC), Philip Jespersen (AFCW1), Chris Jackson (AFTAR), David Pedley and Ruby Bentsi (DFID), Kofi Marrah (WBIRC), and Mike Stevens (Consultant). Christian Rogg (DFID), leader of MDBS PFM group, also joined the mission. Several other members of the World Bank Country Team

(Christine Kimes, Eunice Dapaah, Evelyn Awittor, Laura Rose) also provided valuable information for the preparation of this report. Mary Betley and Andrew Poore, DFID-funded consultants to cover Fiscal Performance and Strategic Resource Allocation issues, and Rita Roos, Charles Taylor and Thomas Hansen, DANIDA-funded consultants to cover Public Procurement issues, were also members of the team and provided main inputs for the preparation of this report. Administrative and secretarial support to the team was provided by Judite Fernandes and Pierre Lenaud (AFTP4) and Rita Lartey and Ayishetu Terewina (AFCW1). DFID and DANIDA financing for consultant's support to the preparation of the 2006 ERPFM is gratefully acknowledged.

The peer reviewers of the ERPFM 2007 were Nicola Smithers (AFTPR), Asha Ayoung (OPCPR), and Christian Rogg (DFID, leader of the MDBS PFM group until August 2007) and their comments are gratefully acknowledged. The ERPFM team also gratefully acknowledges detailed comments provided by Irina Luca (AFTPC), David Pedley (DFID, leader of the MDBS PFM group since September 2007) and Ron Neumann (CIDA Adviser to MoFEP) which were considered in the preparation of this report. The work was carried out with guidance and supervision of Antonella Bassani, Sector Manager of AFTP4, Mats Karlsson, former Country Director for Ghana and Ishac Diwan, Country Director for Ghana.

# EXECUTIVE SUMMARY

## Main Messages

1. **The 2007 External Review of Public Financial Management (ERPFM) is the fourth in a series of annual assessments by the development agencies that contribute to the Multi-Donor Budgetary Support in Ghana.**[1] The review was prepared in close collaboration and after extensive discussions with senior government officials in the Government of Ghana, in particular with officials from the Ministry of Finance and Economic Planning. The team also had informative meetings with the District Assemblies of Dangme West and Ga West, and the Ghana Institution of Surveyors, Ghana Institution of Engineers, Chartered Institute of Purchasing and Supply, SEND Foundation, Ghana Integrity Initiative and Ghana Anti-Corruption Coalition. The main purpose of the review is therefore to inform – based on research findings – the policy dialogue on public financial management that takes place in Ghana.

2. **The 2007 ERPFM review has four main findings**:

- **The progress in strengthening the Public Financial Management (PFM) system has been commendable.** In particular, progress has been notable in the reduction in the audit backlog, the establishment of new internal audit arrangements and the implementation of a new budget preparation timetable that ensures that appropriations are approved prior to the beginning of the financial year. Budget formulation and execution need to be further strengthened to improve budget credibility.
- **In order to address the drivers of additional public spending in 2006 and 2007 as well as increase the effectiveness of public investment,** attention now should focus on high return actions, such as: (i) completing the implementation of the Integrated Personnel and Payroll Database (IPDD2) and other measures aimed at reasserting control over the wage bill; (ii) ensuring continued reduction in energy subsidies through alignment of tariffs with current market conditions, including the international oil market prices; and (iii) the building of capacity to prepare, appraise and implement large infrastructure projects, especially now that the Government is preparing for a major infrastructure investment drive.
- **A strong foundation has been laid for open, competitive and transparent public procurement and a major effort is underway with a view to building understanding of the new system and capacity to manage it.** Ghana is therefore well placed to continue building this institutional capacity for public procurement through training and creation of a specialist procurement cadre. It should also refine the Public Procurement Authorities' (PPA) monitoring tool, improving information on future tendering opportunities, mainstreaming procurement into the national budget process, making an independent appeals and complaints mechanism operational, undertaking procurement audits, and reforming the procurement regulatory framework.
- **The successful launch of the Ghanaian Eurobond provides the opportunity to reduce the Government's exposure to the domestic bond market, and restore the**

[1] The team was led by the World Bank and included specialists supported by the Danish International Development Agency (DANIDA) and by the UK Department for International Development (DfID).

**virtuous cycle of lower public sector indebtedness that was initiated in 2003 with reduction in domestic debt, declining inflation and domestic real interest rates, and rising public and private investment**. On September 27, 2007, Ghana issued sovereign bonds in the international capital market, raising US$750million, with a maturity of 10 years (bullet repayment) and a coupon of 8.5 percent.[2] The long awaited access to international capital markets provides needed funding for infrastructure investments and the opportunity to rebalance the financing of government expenditures following the recent increase in public sector domestic debt. This rebalancing in the sources of funding is important because domestic debt service is currently the fastest growing expenditure item in the budget, having almost doubled over the last twelve months, rising to an estimated 2 percent of GDP in the first half of 2007, compared to just over 1 percent of GDP during the same period in 2006. However, going forward, it is critical to ensure the judicious use of non-concessional funding to sustain gains made on debt sustainability in recent years.

3. **Ghana's access to international capital markets should provide the needed incentive for the Government's renewed efforts for fiscal consolidation, ensuring the sound macro-economic foundation needed to sustain and accelerate the current economic expansion**. The Government's ongoing fiscal efforts aim at reestablishing the balance in the composition of public spending, reasserting control over the wage bill and better targeting the support to the energy sector. A better control of the wage bill is being pursued through a fresh approach to public pay setting and firm implementation of the public sector reform program. There have also been recent efforts to increase emergency power generation and plans laid out for removing bottlenecks in electricity transmission and distribution, which should meet the Public Utilities Regulatory Commission's requirements for restoring utility tariffs to cost recovery levels.

4. The remainder of this executive summary elaborates on these key findings of the 2007 External Review of Public Financial Management (ERPFM). First, it covers recent economic performance and outlook and then reviews issues related to the pattern of public spending. After reporting on progress in strengthening public financial management, it summarizes findings of the Public Procurement Assessment. The detailed findings of the Public Procurement Assessment constitute volume II of the 2007 ERPFM. At the end of this summary, Table 3 summarizes the measures that the ERPFM proposes to focus on in the short and medium-term and Table 4 presents the baseline scores of Ghana's Public Procurement System for each of the 54 sub-indicators covered by the OECD/DAC methodology, respectively. Attached to this volume of the report is an Annex with statistical data that formed the basis of this review.

### Recent Economic Performance

5. **Ghana's economic performance continues strong, notwithstanding disruptions in power supply in the latter part of 2006 that persisted into the first half of 2007**. Economic growth reached a record 6.4 percent in 2006 and is projected to stay at around 6.3 percent in 2007. While the recent performance reflects the stimulus provided by higher public sector expenditure and strong public and private sector investment activity, the resilience of growth also reveals sound economic fundamentals. The country has ranked among the top ten reformers in

[2] The spreads over the US Treasury bonds of similar maturity and over LIBOR were 387 and 326 basis points, respectively.

the last two Doing Business Reports, with reductions in the time required to register new businesses and to register property, as well as in the ease of trading across borders. Access to credit by the private sector has also been made easier, as measured both by the Doing Business report and by the private sector's share in total domestic credit. This positive business climate has translated in the strong performance of exports and in the country's ability to draw on foreign savings, either by taping international capital market, or by continuing to receive large remittance flows from Ghanaians living abroad. Overall exports are project to rise by over 10 percent this year, buoyed by high commodity prices for gold and cocoa, as well as the good performance of non-traditional exports. Net capital flows are projected to reach US$1.8 billion by end year, adding to the expected US$2.5 billion in transfers (private and official). In spite of the good performance of exports and net capital inflows, these have not been enough to reverse the weakening of the country's external position. By end-2007, foreign exchange reserves are projected be broadly at the same level as of end-2006, in terms of months of import coverage (Tables 1 and 2). However, about one third of the projected end-2007 reserves are unused proceeds of the September 2007 Eurobond issue. Excluding these Eurobond proceeds, reserves would have fallen to 2.1 months of import coverage.

**Table 1: Selected Economic Indicators, 2002-09**

| | Real GDP Growth (%) | Consumer Price Index (% change) | Export Growth Index (2000 =100) | Import Growth Index (2000=100) | Balance of Payments Current Account Deficit (% of GDP)[1] | Gross International Reserves (months MG&S) | Credit to the Private Sector (% of total)[2] |
|---|---|---|---|---|---|---|---|
| 2002 | 4.5 | 15.2 | 106 | 98 | 5.3 | 1.9 | 47.3 |
| 2003 | 5.2 | 23.5 | 128 | 108 | 0.5 | 3.2 | 52.3 |
| 2004 | 5.6 | 11.8 | 144 | 149 | 2.7 | 3.3 | 49.7 |
| 2005 | 5.9 | 14.8 | 145 | 185 | 7.0 | 2.9 | 55.3 |
| 2006[e] | 6.4 | 10.5 | 193 | 226 | 9.8 | 2.8 | 58.4 |
| 2007[p] | 6.3 | 11.0 | 214 | 257 | 13.5 | 2.7 | 66.6 |
| 2008[p] | 7.0 | 9.0 | 239 | 321 | 10.5 | 3.0 | 70.0 |
| 2009[p] | 7.5 | 8.3 | 259 | 349 | 9.5 | 3.0 | 75.0 |

**Source**: International Monetary Fund, and Ghanaian authorities and World Bank staff projections.
1) Including official transfers. 2) Credit by deposit money banks to the private sector. e) Estimates. p) Projections.

**Table 2: Savings and Investment Balances, 2002-09**

| | Gross National Savings (% of GDP) | Aggregate Investment (% of GDP) | Public Investment (% of GDP) | Overall Fiscal Balance (% of GDP) | Total Public. Debt (% of GDP) | Total Dom. Public Debt (% of GDP) |
|---|---|---|---|---|---|---|
| 2002 | 20.2 | 19.7 | 6.1 | -6.8 | 124.5 | 25.0 |
| 2003 | 24.6 | 22.9 | 8.9 | -4.4 | 120.3 | 21.3 |
| 2004 | 25.2 | 28.4 | 12.4 | -3.6 | 93.4 | 20.7 |
| 2005 | 25.6 | 29.0 | 12.0 | -3.0 | 77.1 | 17.9 |
| 2006[e] | 22.3 | 27.5 | 12.0 | -7.5 | 42.4 | 20.0 |
| 2007[p] | 25.6 | 31.8 | 12.9 | -7.8 | 48.9 | 25.9 |
| 2008[p] | 28.6 | 31.6 | 12.6 | -6.6 | 49.5 | 26.0 |
| 2009[p] | 30.1 | 32.2 | 12.7 | -3.0 | 49.0 | 25.5 |

**Source:** International Monetary Fund and World Bank staff estimates and projections; e) Estimates; p) Projections.

6. **In contrast to previous years, however, the country's fiscal position was allowed to slip in 2006**. Government expenditure rose faster than revenue collections, causing the fiscal deficit to widen by over 4 percent of GDP, reaching 7.5 percent of GDP. The main driver of government spending has been the wage bill, reaching almost 10percent of GDP as a result of pay awards that have triggered further requests for pay increase within the public sector.[3] Energy sector subsidies were also one of the factors placing considerable pressure on the budget. With end-user electricity tariffs estimated to be at least 50 percent below the cost of power generation, tariff-related energy subsidies are projected to reach around 2.0 percent of GDP. Recent tariff adjustments are a step in the right direction for bringing them closer to cost recovery. However, further tariff adjustments will be needed to restore the financial viability of the sector, to respond to the Government's initiatives to bridge the gap in power supply with new investments in emergency power generation and to remove bottlenecks in electricity transmission and distribution.

7. **Projections for 2007 indicate that spending will continue to run ahead of revenue collection, leading to an overall fiscal deficit of around the same level as in 2006 (i.e., between 7.5 and 8.0 percent of GDP)**. Higher spending will result mainly from emergency energy sector-related expenditures and, to a lesser extent, public sector wages and salaries. While the financing of the deficit is projected to come primarily from tapping external sources, either from external investors interested in holding cedis-denominated assets,[4] or by issuing bond directly in international capital markets,[5] the foreign financing of higher deficits has not completely erased internal tensions resulting from these deficits. The information on the budget execution in the first 7 months of the year indicates that higher deficits have translated into higher interest payments on domestic public debt. By July 2007 interest payments on public debt had already exceeded its budget ceiling by 30 percent.[6] Also, higher spending on wages and salaries have meant that Ministries with large payrolls (e.g., Education and Health, which together account for over two-thirds of payroll expenditures) have experienced the largest increase in expenditures. Thus, by mid-2007 the government had responded to the need for fiscal space for energy-related and payroll expenditure with an across-the-board 30 percent reduction in the budget ceilings for services and non energy-related capital expenditures.

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[3] The increase spending on wages and salaries reflected in part the increase funding for poverty reducing expenditure provided by debt relief. While poverty reducing expenditure reached 10.5 percent of GDP in 2006, up from 6.5 percent in 2003, the share of public sector wages and salaries in poverty reducing expenditures accounted for about 50 percent. Thus, even though there was a significant increase in funding for poverty reducing expenditures with the implementation of the Multilateral Debt Relief Initiative (MDRI), about 50 percent of the one-third increase in funding for poverty reducing expenditures was spent on public sector wages and salaries.

[4] Notwithstanding the Government's successful five year cedis-denominated bond issue in December 2005, the domestic market remains very illiquid. The Bank of Ghana is called on to roll these 5 year bonds every 6 months, even though it is estimated that foreign investors account for over three-quarter of the purchases of these five year bond.

[5] On September 27, Ghana issued a US$750 million, 10-year bullet Eurobond with a coupon of 8.5 percent. By shifting the Governments sources of financing, it is thought that the dynamics of the overall public debt has improved.

[6] The source of this information is the table on page 7 of the July 2007 CAGD report and financial statements on the consolidated fund.

## The Pattern of Spending

8. **Past ERPFM reports have taken a special interest in how the budget has been formulated and spent in terms of the Growth and Poverty Reduction Strategy priorities.** Managing the budget to achieve the Government's policy objectives is always a challenge given competing spending demands and the multiple financing sources, some discretionary, others tied to particular expenditure categories. In previous years, there has been a steady increase in the wage bill partly reflecting employment increases and partly correcting historically low levels of pay. In 2006 the wage bill increased sharply between the first and second halves of the year. Whilst the average remuneration of staff of the Ghana Education Services (GES), largest component of the wage bill, grew by 23 percent, remuneration of health service staff, the second largest, increased by 181 percent, with an overall increase in average remuneration for all employees of 44 percent. These variations reflected the separate approaches taken to wage negotiation, and, in the case of health, the perception that action was needed to prevent the further loss of skilled staff to the private sector and abroad.

9. **With the wage bill now just under half of overall tax revenues, and pay anomalies between services generating pressure for further increases, the Government recognizes that continuation of existing pay setting arrangements is unsustainable.** A Fair Wages Commission is looking at equity issues across services, and the Government has undertaken a comprehensive payroll review, as part of its public sector reform program. The latter envisages shedding surplus staff through rightsizing and linking pay more closely to performance. The Review welcomes these initiatives as critical steps towards a sustainable policy for pay and employment in the public sector in Ghana. These actions are important because payroll expenditures are crowding out expenditures in other areas, including expenditures needed to continue running government. Spending on services and domestically financed investment in 2006 were reduced by one-third and two-thirds of the budgeted amounts, respectively, to accommodate higher payroll spending.

10. **Capital spending increased in 2006 in response to the Government's policy to improve infrastructure and accelerate growth to achieve middle income status by 2015, but not as much as intended**. The delay in raising infrastructure expenditure was due chiefly to the time needed to prepare, finance and implement large infrastructure projects, as well as some crowding out of investment spending by the wage bill and energy sector subsidies. A similar situation is projected to happen in 2007, as there might not be enough lead time to initiate some of the capital expenditure envisioned in the budget and the July 2007 supplementary budget.

11. **The Government has still been able to maintain the thrust of poverty reducing spending in 2006 and 2007,** which is projected to stay around 10.4 percent of GDP in 2007 – close to the level of 10.5 of GDP in 2006, and up from 8.5 percent of GDP in 2005. Most of the spending is on basic education, health and rural electrification, which together account for more than 60 percent of domestically financed total poverty reducing spending. By increasing pro-poor spending as a share of GDP, from 4.8 percent in 2002 to 10.4 in 2007, Ghana is broadly in line with average pro-poor spending of Post-HIPC Decision Point Countries.

12. **Further strengthening of the pro-poor focus of public spending is recommended.** This should contribute to narrow Ghana's gap comparing with countries such as Ethiopia,

Tanzania, Uganda and Nicaragua. To sharpen the pro-poor orientation of public expenditures it is recommended that a study be conducted to deepen the knowledge about funding gaps faced by regions with higher incidence of poverty (e.g. northern region). This study should also analyze the adequacy of the sectoral composition of poverty-related expenditures and review the broader regional distribution of public spending to identify ways to possibly improve alignment of expenditures with the Government's policy goals.

13. **To sustain growth and poverty reduction, further improvements are called for in budgeting to support natural resources and environmental governance and development of the agricultural sector.** Implementation of strategies recently adopted by the Government to address institutional and policy challenges in those sectors are expected to result in predictable and increased allocation of public resources as well as improved transparency and accountability of their management.

14. **The efforts to improve public resource allocation and to sustain and expand poverty reducing expenditure are expected to continue contributing to the reduction in Ghana's poverty headcount**. The findings of the 2005/06 Ghana Living Standards Survey indicate that the poverty headcount has fallen by 11 percentage points since 1998/99, reaching 29 percent in 2005/06, down from 39 percent in 1998/99. Projections based on these findings indicate that Ghana could reach the Millennium Development Goal of halving the 1990 poverty rate before 2015.

**Public Financial Management**

15. **The Government continues to make encouraging progress in implementing its wide ranging program of strengthening public financial management** (PFM), the Short-Term and Medium-Term Action Plan (ST/MT AP. Budget formulation has been improved by revising the budget timetable to enable earlier tabling of the Estimates and thus the passage of the Appropriations Bill prior to the start of the new financial year, with a view of allowing a more orderly implementation of spending plans. There is now increased consultation with stakeholders in budget formulation, more comprehensive information in budget documents, and encouragement of Ministries, Departments and Agencies (MDAs) to undertake procurement planning. To sustain the momentum budget submissions should be accompanied by procurement plans, and requests for budget releases should be accompanied by procurement clearances.

16. **Overall, recent developments are likely to have a positive impact on PFM performance when the Government decides to conduct the next PEFA assessment.** In some areas (e.g. procurement, tracking resources received by front line service units, timely approval of the budget) notable progress has been achieved. However, in other areas (comprehensiveness of CAGD reports, variations in budget implementation from commitments through actual expenditures, timeliness of legislative scrutiny of external audit reports), potential gains might not be realized in the absence of renewed efforts.

17. **Reducing the deviation between budgeted and actual expenditures is essential to improve budget credibility**. Strengthening the MTEF, better reporting on the use of contingency by MDA/line item both at the appropriation and budget execution stages, particularly of personal emoluments, and bringing into line with the budget calendar the public

sector wage negotiations would assist the government to better deliver on the budget policy statements.

18. **The review welcomes the Government's decision, in mid 2007, to commission a report on deepening the MTEF process and encourages the authorities to take further action.** Although the MTEF assembles a mass of information on program activities and expected results, little subsequent use is made of this information. Budgeting is still, at bottom, incremental, with MDAs petitioning the Ministry of Finance and Economic Planning (MoFEP) for additional funds instead of taking responsibility for managing their portfolios within an aggregate fiscal strategy and collectively agreed priorities. A fresh look at how the Medium-Term Expenditure Framework (MTEF) could make a more effective contribution to policy making, budget preparation and implementation could yield dividends in effectiveness.

19. **Ambitious domestic revenue targets in the coming years are predicated on significant growth projections for GDP and substantial efficiency gains for the revenue agencies from greater integration between computer systems**. While GDP growth prospects are likely to continue to be strong, particularly if new investments in the power sector come on stream timely, experience from other countries suggests that significant gains from greater efficiencies in tax administration (particularly from technological improvements) are likely to take longer to materialize than currently envisaged. A fiscal strategy based upon rapid domestic revenue growth will require a downward adjustment in expenditures during the year if revenue underperformance occurs. Achievement of revenue targets will also require continuous and sustained efforts to strengthen tax enforcement, timely recover tax arrears, and widen the tax base.

20. **Renewed efforts are called for to address weaknesses in the execution of the budget.** The Review notes the Government's continuing efforts to improve the commitment control system, to strengthen cash management, and to facilitate payments through decentralized treasuries. The actions aim at leading eventually to a Treasury Single Account (TSA), and to the further implementation of the Budget and Public Expenditure Management System (BPEMS). While these efforts are strongly supported, the review encourages Government to take further action to address factors contributing to variations and delays in budget execution from commitments through actual domestically financed expenditures. Improved budget execution of donor-financed project implementation is also required to support the country's efforts to accelerate growth and reduce poverty.

21. **Public expenditure tracking surveys (PETS), covering the health and education sectors, will allow learning more about how service delivery is affected by the budget execution process**. The two PETS expected to be completed in the first half of 2008, will help identify factors contributing to spending inefficiencies and provide recommendations to improve value-for-money in these sectors.

22. **Timely completion of the implementation of the Integrated Personnel and Payroll Database (IPPD2) is a top priority.** Since October 2006 the IPPD2 has been running the central payroll for MDAs, with 8 pilot MDAs having on line access to their payrolls. Given that the system's authorizing environment to hire staff into public service proved to be weak, this function has been re-centralized. Migration of subvented agencies to IPPD2 is currently under

way.[7] In view of some teething problems in running the payroll in a reliable and timely manner, the Government commissioned an audit of IPPD2 and it is important to implement measures to address data inaccuracies, the robustness of controls, and the capacity of systems (servers, back-up facilities, underlying documentation) to ensure the adequate operationality of the payroll. To validate payroll information and help strengthen its administration, the government has recently completed a census of public servants. As a more capable system, IPPD2 has the potential to develop human resource management beyond payroll administration. This will require coordination of the various agencies responsible for different branches of the public service, for example the (Office of the Head of Civil Service (OHCS), and GES. In turn, the development of the Human Resources dimension of IPPD2 will depend on the evolution of the public service reform program over the medium term.

23. **Timeliness of monthly fiscal reporting has improved during the second half of 2007.** Sustaining recent progress, the Controller and Accountant General Department (CAGD) issued the October 2007 on November 23, 2007. This is the first monthly report to be issued within four weeks of end of month, a good practice standard (PEFA). Three challenges lie ahead. To improve the comprehensiveness of those reports by including externally financed project expenditures by MDA and Internally Generated Funds, probably on a quarterly basis. To ensure data accuracy through careful reconciliation before reports are released. To eliminate the current gap (six months) and start disclosing monthly CAGD reports to the wide public within one month after their completion, as established by internationally accepted good practice standards.

24. **Following the passage of the Internal Audit Agency Act in 2003, progress has been encouraging, with the establishment of Internal Audit Units (IAUs) in MDAs and Metropolitan, Municipal and District Assemblies (MMDAs) and the submission of better quality reports.** Audit Reports and Implementation Committees (ARICs) have been created in spending ministries and departments, under the Act, with responsibility of following up internal and external audit findings. ARICs, however, should support, not detract from, the responsibility of the Vote Controller for ensuring that votes are spent properly, and financial regulations are adhered to. The relationship with the Ghana Audit Service (GAS) could be further strengthened, to ensure that standards adopted by the internal audits are sufficiently robust to permit the external auditor to place reliance on their work. The review welcomes IAA's decision to launch the ongoing public sector fraud risk assessment across MDAs which aims at identifying positive actions for fraud prevention.

25. **Progress continues to be made in clearing the backlog of audits and submitting audited annual accounts within the statutory deadline**. Financial statements of the Consolidated Fund and of MDAs are current and audited, but delays continue with regard to public enterprises and other statutory bodies, as well as the District Assemblies Common Fund (DACF). The review also notes the need for effective follow-up by the Executive of the findings of the Auditor-General's annual report.

[7] Subvented agencies are public institutions, other than a government department or public corporation, that receive a significant portion of their funding from the budget to fulfill a public purpose. Typically, they enjoy operational autonomy to carry out their statutory or administratively set mandates, subject to government guidelines on management. Staff working in subvented agencies are part of the public service.

26. **Given the Government's commitment to increase planned spending to modernize and expand the country's infrastructure, due emphasis is being placed on the management of public investment.** To ensure that borrowed and domestic proceeds are applied to carefully selected high return investment projects, under MoFEP's leadership, it will be important to consolidate and re-define common procedures for the identification, costing and management of investment projects, make routine the preparation of annual procurement plans to speed implementation and improve the link between the budget and the MTEF with better information on the multi-year costs of projects. The Review notes and supports MoFEP's intention to make the Project and Financial Analysis Unit (PFAU) an effective high level screening mechanism for projects financed by resources raised chiefly from international capital markets.

**Public Procurement**

27. **A strong link ties the efficiency of the national procurement system to the achievement of development goals stated in the GPRS II.** For 2007 the magnitude of resources involved in public procurement in Ghana is estimated at over 17 percent of GDP and around 80 percent of tax revenue.[8] A transparent and efficient public procurement system offers numerous benefits including better value for money, encouraging investment, innovation, and reduction of corruption. In addition to reducing costs and ensuring cost-effective delivery of services, infrastructure, and public goods, good management of public resources through an effective procurement system also increases the public's confidence in governance.

28. **Further alignment of Ghana Public procurement systems with international good practices would help move forward the harmonization agenda and encourage the widest possible use of the national system by donors**. A sound and effective country procurement system gives assurances to development partners that national procurement procedures are suitable for use in donor funded projects and should contribute to minimizing the intensity of supervision. Also important for non-project lending (budget support), since development partners' and government's own funds are fungible, sound national procurement systems mean that all funds, including those from donor sources, are less at risk.

29. **Recognizing, the importance of public procurement, Ghana has been an active member of the OECD/DAC Procurement Roundtable, since its inception in 2003**. As well as contributing to OECD/DAC's global assessment tool, the "Methodology for Assessment of National Procurement Systems", the Government developed, on its own initiative, a version for use in Ghana, the Public Procurement Model of Excellence (PPME). The Government piloted the tool in 2005 and the Public Procurement Authority (PPA) used it for a large scale assessment of more than 200 entities in 2006.

30. **Ghana has also taken a proactive stance in reforming its public procurement system.** The country has made commendable progress in implementing the reforms outlined in the 2003 Country Procurement Assessment Report (CPAR). It has passed a new procurement law, made Ministries, Departments and Agencies (MDAs) accountable for open, competitive and transparent procurement under the oversight of a new Public Procurement Authority, created an appeals and complaints mechanism, promoted procurement planning, initiated capacity building

[8] Volume II, Chapter 1.

at all levels in public procurement, and developed its own public procurement performance and compliance assessment tool, the Public Procurement Model of Excellence (PPME).

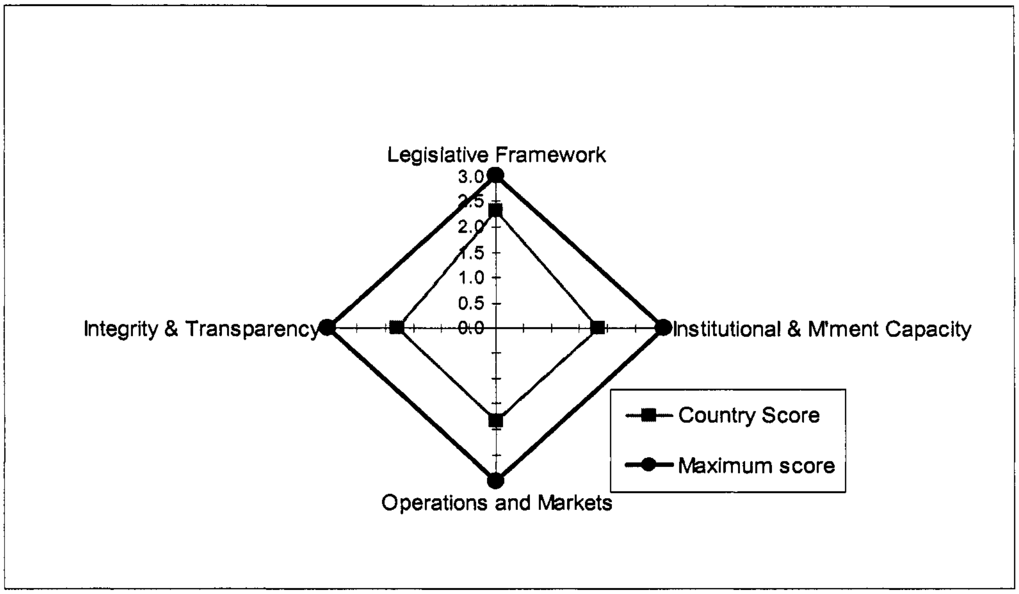
31. **The Review found that overall the PPME is an innovative and valuable tool to monitor public procurement performance and practices at the entity level.** Further improvement of the model will require refining the Key Performance Criteria (KPC) and disclosing the average rating of each KPC publicly, better sampling of procurement units and contracts, modification of some formulae, and enhance quality control. A particularly important aspect is the need to focus on big spenders and high volume contracts to ensure value for money and take into account the risk mitigation perspective. Also, the joint Review has concluded that the operational relevance of the third component of the PPME, the Baseline Indicator System (BIS) report, could not be clearly identified and would be discontinued. To further improve the impact of the PPME-tool, future self assessments would greatly benefit from considering the above actions.

32. **The goal of the 2007 detailed procurement assessment is to support the Government's reforms and to establish a baseline against which future progress in the quality and performance of the country's public procurement system can be measured.** Working with counterparts from the PPA, MoFEP, the GAS and the Internal Audit Agency in a joint assessment, the 2007 ERPFM applied the OECD/DAC methodology to Ghana's national procurement system. It follows the 2006 ERFPM finding that it would be critical to continue strengthening public procurement through implementation of the Public Procurement Authority's reform strategy. The OECD/DAC methodology scores national systems, on a 0-3 scale, against 12 indicators and 54 sub-indicators, organized into 4 pillars.

33. **Overall, the joint assessment concluded that the Ghana public procurement system is above average.**[9] As illustrated by the Figure 1.1 below, the strongest component of the country's procurement system is the robust legislative and regulatory framework (Pillar I) which is well within the norms with an average score of 2.3. All other Pillars reach an average score of 1.8.

[9] Taking average as 1.5, the mid-point of the OECD/DAC scale.

**Figure 1: Ghana's Public Procurement System: Score Aggregated by Pillar**




34. **In spite of progress, challenges remain.** At the indicator level, to meet the OECD/DAC standards, improvements are required in the areas of further linking procurement with public financial management, enhancing the institutional development capacity, improving the efficiency of procurement operations and operational practices, addressing procurement-related issues in control and audit systems and making operational the appeals mechanisms.

35. **The review concludes that Ghana has laid secure foundations for its public procurement reforms.** There are challenges, however, in embedding the new processes in public bodies and building the capacity of both purchasers and vendors. The GOG plans to further strengthen the public procurement system are outlined in both the PPA's annually revised three year strategic plan, and also as components of the MoFEP's Short Term and Medium Term Action Plan for PFM. The thrust of both these programs is to mainstream the new processes across the whole of the public sector, consolidate the oversight and appeals mechanisms, build capacity and strengthen information systems. The Review supports these plans, noting that the Government intends to amend the Public Procurement Act to improve the workings of MDA tender review boards, and that further actions are necessary to strengthen the independence and capacity of the Appeals and Complaints Panel, which has received petitions, but not yet announced its findings.

36. **The total cost of the Government's action plan for 2007-09 is estimated at Cedis 70 billion (about US$7.7 m) and US$2.5 million have yet to be mobilized.** The PPA reports that "inadequate and irregular" funding has in the past hampered implementation of reforms. Clearly, external donor funding is an implied prerequisite for implementation of ongoing reforms and is expected to cover half of the budget. The United Kingdom's Department for International development (DFID), which has supported public procurement reform in Ghana since 2004, has agreed to provide about US$1.8 m to fund PPA's strategic plan for the period Jan 2007-Dec 2008. The support will among other things, focus on strengthening the PPA secretariat and its

monitoring and evaluation capacity. In addition an agreement has been signed in mid September 2007 to fund US$2.3m, under a compact with the Millennium Challenge Corporation. The five-year compact has a specific provision for funding for "development of procurement professionals". Overall, a gap of US$2.5 million has yet to be funded to cover actions such as short term training US$1.7 million, PPME roll out to 600 entities and data base management (US$0.5 million) and other activities such as the processes for the amendment of the public procurement Law (Act 663) and the regulations, mainstreaming public procurement into PFM and assisting local businesses to be more competitive (US$0.3 million).

**Table 3: ERPFM 2007 - Proposed Key Measures and Sequencing**

| Challenges identified by the ERPFM | Recommendation | Sequencing | |
|---|---|---|---|
| | | Quick win | Medium term |
| Need to better control the wage bill and address identified weaknesses in payroll management and administration | Implement corrective measures to follow up on findings from census of public servants and IPPD2 audit, establish back up system and finalize migration of personnel information of subvented agencies onto IPPD2 | X | |
| Need to improve the comprehensiveness, quality and timeliness of in-year and end-year reporting on budget implementation | Include external financed project expenditures and IGFs by MDA in CAGD reports and improve data accuracy by reconciling data before report finalization | X | |
| | Ensure timely public disclosure of monthly CAGD reports on MoFEP website or Gazette | X | |
| Weaknesses in the budget execution process | Address factors contributing to variations and delays in the process from commitment to actual expenditures | X | |
| | Improve budget execution of donor commitments, particularly project funding | X | |
| Need for strengthened processes to plan, develop and manage IFMIS | Implement recommendations from audit of BPEMS | | X |
| Continue revenue mobilization efforts | Implement measures to meet ambitious revenue targets | | X |
| Address issue of significant budget deviations | Ensure consistent reporting on the use of contingency by MDA/line item between appropriated and executed budgets, particularly of personal emoluments, and bring forward public sector wage negotiations | X | |
| | Adopt short and medium-term measures to deepen MTEF process | X | |

| Challenges identified by the ERPFM | Recommendation | Sequencing | |
|---|---|---|---|
| | | Quick win | Medium term |
| Strengthen the pro-poor focus of public spending | Increase further poverty-related expenditures, including by targeting regions with higher poverty incidence | X | |
| | Deepen knowledge about funding gaps faced by regions with high incidence of poverty and efficiency of public spending at sector level [10] | X<br>X | |
| Continue strengthening of capacities for external and internal audit | External audit: identify potential cost savings to enable GAS' limited resources to be deployed more effectively | | X |
| | Internal audit: continue to strengthen internal audit practices and build capacities in both IAA and across IAUs | | X |
| Need to ensure sustainable development of the energy sector | Contain energy subsidies while government implements investments and reforms to bridge the gap in power supply and to remove bottlenecks in electricity transmission and distribution | X | |
| Need to ensure value-for-money for all public investment resources | Establish PFAU, ensure robust procedures and strengthen institutional capacities for planning, prioritizing and managing public investment resource | | X |
| Supplementing Procurement Legal Framework | Seek approval of the proposed amendments of Act 663 and formalize the regulations | X | |
| Improving Procurement Assessment Framework | Reconsider strategy, preparation and conduct of future self-assessments (increasing focus on risk factors, and quality assurance) and refine the PPME tool prior to rolling out assessment later in 2007. | X | |
| Capacity development for public procurement | | | |
| • Mainstreaming Procurement | Make operational web-based procurement planning tool in January 2008 | X | |
| • Increasing Institutional Development Capacity | Build up sustainable procurement training programs within local training institutions | | X |
| | Establish national standard certification system | X | |
| • Strengthening Procurement Operations and Contract Administration | Execute the short term training program launched in August 2007 | X | |
| | Implement the recently approved career path for procurement professionals | | X |
| | Establish efficient mechanisms to delegate authority for procurement decisions (amendment to Act 663) | X | |

[10] Build on PETS and other studies.

| Challenges identified by the ERPFM | Recommendation | Sequencing | |
|---|---|---|---|
| | | Quick win | Medium term |
| • Building Capacity of Public Procurement Market | Strengthen private sector capacity to successfully compete for government contracts | | X |
| Strengthening internal and external scrutiny of procurement decisions | Consolidate the Appeals and Complaints Panel, strengthen its independence and publicize the number of existing complaints that have been addressed | X | |
| | Strengthen procurement expertise among audit institutions | | X |
| | Publish regularly the Procurement Bulletin and supplement the PPA website with information on contract opportunities, contract awards and procurement plans | X | |

Note: Quick Win – completion within 12 months. Medium-Term – completion within 1-3 years.

### Table 4: Summary of Baseline Scores - Ghana's Public Procurement System

| | | | | | |
|---|---|---|---|---|---|
| **Pillar I - Legislative and Regulatory Framework** | | | | | |
| ***Indicator 1** - Public procurement legislative and regulatory framework achieves the agreed standards and complies with applicable obligations.* | | | | | |
| 1a | Scope of application and coverage of the legislative and regulatory framework. | 0 | 1 | 2 | 3 |
| 1b | Procurement Methods | | | | |
| 1c | Advertising rules and time limits | | | | |
| 1d | Rules on participation | | | | |
| 1e | Tender documentation and technical specifications | | | | |
| 1f | Tender evaluation and award criteria | | | | |
| 1g | Submission, receipt and opening of tenders | | | | |
| 1h | Complaints | | | | |
| ***Indicator 2** - Existence of Implementing Regulations and Documentation.* | | | | | |
| 2a | Implementing regulation that provides defined processes and procedures not included in higher-level legislation | | | | |
| 2b | Model tender documents for goods, works, and services | | | | |
| 2c | Procedures for pre-qualification | | | | |
| 2d | Procedures suitable for contracting for services or other requirements in which technical capacity is a key criterion. | | | | |
| 2e | User's guide or manual for contracting entities | | | | |
| 2f | General Conditions of Contracts (GCC) for public sector contracts covering goods, works and services consistent with national requirements and, when applicable, international requirements | | | | |
| **Pillar II - Institutional Framework and Management Capacity** | | | | | |
| ***Indicator 3** - The public procurement system is mainstreamed and well integrated into the public sector governance system* | | | | | |
| 3a | Procurement planning and data on costing are part of the budget formulation process and contribute to multiyear planning | | | | |
| 3b | Budget law and financial procedures support timely procurement, contract execution, and payment. | | | | |
| 3c | No initiation of procurement actions without existing budget appropriations. | | | | |
| 3d | Systematic completion report are prepared for certification of budget execution and for reconciliation of delivery with budget programming. | | | | |

| | | | | | |
|---|---|---|---|---|---|
| ***Indicator 4*** - *The country has a functional normative/regulatory body.* | | | | | |
| 4a | The status and basis for the normative/regulatory body is covered in the legislative and regulatory framework. | | | | |
| 4b | The body has a defined set of responsibilities that include but are not limited to the following (functions): | | | | |
| 4c | The body's organization, funding, staffing, and level of independence and authority (formal power) to exercise its duties should be sufficient and consistent with the responsibilities. | | | | |
| 4d | The responsibilities should also provide for separation and clarity so as to avoid conflict of interest and direct involvement in the execution of procurement transactions. | | | | |
| ***Indicator 5*** - *Existence of institutional development capacity.* | | | | | |
| 5a | The country has a system for collecting and disseminating procurement information, including tender invitations, requests for proposals, and contract award information. | | | | |
| 5b | The country has systems and procedures for collecting and monitoring national procurement statistics. | | | | |
| 5c | A sustainable strategy and training capacity exists to provide training, advice and assistance to develop the capacity of government and private sector participants to understand the rules and regulations and how they should be implemented. | | | | |
| 5d | Quality control standards are disseminated and used to evaluate staff performance and address capacity development issues. | | | | |
| **Pillar III - Procurement Operations and Market Practices** | | | | | |
| ***Indicator 6*** - *The country's procurement operations and practices are efficient.* | | | | | |
| 6a | The level of procurement competence among government officials within the entity is consistent with their procurement responsibilities. | 0 | 1 | 2 | 3 |
| 6b | The procurement training and information programs for government officials and for private sector participants are consistent with demand. | | | | |
| 6c | There are established norms for the safekeeping of records and documents related to transactions and contract management. | | | | |
| 6d | There are provisions for delegating authority to others who have the capacity to exercise responsibilities. | | | | |
| ***Indicator 7*** - *Functionality of the public procurement market.* | | | | | |
| 7a | There are effective mechanisms for partnerships between the public and private sector. | | | | |
| 7b | Private sector institutions are well organized and able to facilitate access to the market. | | | | |
| 7c | There are no major systemic constraints (e.g. inadequate access to credit, contracting practices, etc.) inhibiting the private sector's capacity to access the procurement market. | | | | |
| ***Indicator 8 - Existence of contract administration and dispute resolution provisions.*** | | | | | |
| 8a | Procedures are clearly defined for undertaking contract administration responsibilities that include inspection and acceptance procedures, quality control procedures (...) | | | | |
| 8b | Contracts include dispute resolution procedures that provide for an efficient and fair process to resolve disputes arising during the performance of the contract. | | | | |
| 8c | Procedures exist to enforce the outcome of the dispute resolution process. | | | | |
| **Pillar IV - Integrity and Transparency of the Public Procurement System** | | | | | |
| ***Indicator 9 - The country has effective control and audit systems*** | | | | | |
| 9a | A legal framework, organization, policy, and procedures for internal and external control and audit of (...) procurement (....) to provide a functioning control framework. | | | | |
| 9b | Enforcement and follow-up on findings and recommendations of the control framework provide an environment that fosters compliance. | | | | |
| 9c | The internal control system provides timely information on compliance to enable management action. | | | | |
| 9d | The internal control systems are sufficiently defined to allow performance audits to be conducted. | | | | |
| 9e | Auditors are sufficiently informed about procurement requirements and control systems to conduct quality audits that contribute to compliance. | | | | |
| ***Indicator 10 - Efficiency of appeals mechanism.*** | | | | | |
| 10a | Decisions are deliberated on the basis of available information, and the final decision can be reviewed and ruled upon by a body (or authority) with enforcement capacity under the law. | | | | |
| 10b | The complaint review system has the capacity to handle complaints efficiently and a means to enforce the remedy imposed. | | | | |
| 10c | The system operates in a fair manner, with outcomes of decisions balanced and justified on the basis of available information. | | | | |

| | | | | | |
|---|---|---|---|---|---|
| 10d | Decisions are published and made available to all interested parties and to the public | | | | |
| 10e | The system ensures that the complaint review body has full authority and independence for resolution of complaints. | | | | |
| ***Indicator 11 - Degree of access to information.*** | | | | | |
| | Information is published and distributed through available media with support from information technology when feasible. | | | | |
| ***Indicator 12 - The country has ethics and anticorruption measures in place.*** | | | | | |
| 12a | The legal and regulatory framework for procurement, including tender and contract documents, includes provisions addressing corruption, fraud, conflict of interest, and unethical behavior and sets out (...)actions that can be taken (...) | | | | |
| 12b | The legal system defines responsibilities, accountabilities, and penalties for individuals and firms found to have engaged in fraudulent or corrupt practices. | | | | |
| 12c | Evidence of enforcement of rulings and penalties exists. | | | | |
| 12d | Special measures exist to prevent and detect fraud and corruption in public procurement. | | | | |
| 12e | Stakeholders (private sector, civil society, and ultimate beneficiaries of procurement/end-users) support the creation of a procurement market known for its integrity and ethical behaviors. | | | | |
| 12f | The country should have in place a secure mechanism for reporting fraudulent, corrupt, or unethical behavior. | | | | |
| 12g | Existence of Codes of Conduct/Codes of Ethics (...) that also provide for disclosure for those in decision making positions. | | | | |

# 1. INTRODUCTION

1.1 The 2007 External Review of Public Financial Management (ERPFM) in Ghana is the fourth in a series of annual assessments of progress in Ghana by the development partners who are providing budget support for the Government's development program. The work has been undertaken by a team led by the World Bank, including specialist consultants funded by the United Kingdom and Denmark.

1.2 The primary focus of the reviews is to provide the Multi-Donor Budget Support (MDBS) partners an up to date picture of how the budget is being spent and how public financial management systems in Ghana have been evolving. In doing so, the reviews are expected to provide constructive suggestions to the Government on the further strengthening of financial management systems and the alignment of spending with economic policy goals. In this way, the ERPFM is intended to be both fiduciary and developmental.

1.3 After this Introduction, Chapter 2 of the 2007 ERPFM looks at the performance of the economy in 2006 and recent overall fiscal developments. It then examines the 2006 budget outturn in more detail, and particular attention is paid to the implementation of Ghana's Poverty Reduction and Growth Strategy (GPRS2).

1.4 Chapter 3 addresses Public Financial Management (PFM), starting with some cross-cutting issues such as budget credibility, predictability and transparency. It next reviews priority areas of the Government's Short Term and Medium Term Action Program (ST/MT AP), and concludes by looking at the Government's plans to strengthen the screening of capital investment projects.

1.5 Chapter 4 focuses on Public Procurement. It summarizes the findings of the Public Procurement Assessment Report by reviewing and concluding with comments on the Government's own assessment tool, the Public Procurement Model of Excellence (PPME), together with recommendations arising from the application of the OECD/DAC Methodology for Assessment of National procurement Systems. It also discusses the challenges facing Ghana's public procurement system, the Government's reform program and looks at institutional issues. The comprehensive and detailed Public Procurement Assessment Report is attached as Volume II of the 2007 ERPFM.

1.6 Attached to this Volume, are Annexes which: (i) present the estimates of the Budget Deviation Index (Annex 1); (ii) elaborate in more detail on issues of transparency of budget information (Annex 2); and (iii) provide the statistical data that formed the basis of this review (Annex 3).

# 2. REVIEW OF ECONOMIC PERFORMANCE

## COUNTRY ECONOMIC SITUATION AND MACRO-ECONOMIC OVERVIEW

### Recent developments

2.1 Ghana's economic performance continues strong, notwithstanding disruptions in power supply in the latter part of 2006 that persisted into the first half of 2007. Economic growth is projected to reach 6.3 percent in 2007, down slightly from the 6.4 percent real GDP growth recorded in 2006. The recent growth performance reflects a skewed sectoral breakdown, however, with output growth concentrated in mining (up 30 percent), in finance, insurance, and real estate (up 15 percent) and in construction (up 11 percent), greatly outweighing the output declines in manufacturing (down 2.3 percent) and electricity and water production (down 22 percent). There was also a stimulus provided by fiscal policy, with Government services rising by 6 percent, and yielding an additional 1 percent of real GDP growth.

2.2 There are sound economic fundamentals behind the recent growth performance, with the country ranking among the top ten reformers in the last two Doing Business Reports. There were reductions reported in the time required to register new businesses and to register property, as well as in the ease of trading across borders. Access to credit by the private sector was also made easier, as measured both by the Doing Business report and by the increase in the private sector's share in total domestic credit. This positive business climate has translated in turn in the strong performance of exports and in the country's ability to draw on foreign savings, either by tapping the international capital market, attracting external investors to its domestic bond market, and continuing to receive large remittance inflows from Ghanaians living abroad. Exports are projected to rise by over 10 percent in 2007, buoyed by high commodity prices for gold, as well as the good performance of cocoa and non-traditional exports. Net capital flows are projected to reach US$2.0 billion by end year, adding to the expected US$2.3 billion inflow of transfers (private and official) (see Tables 1 and 2 of Executive Summary).

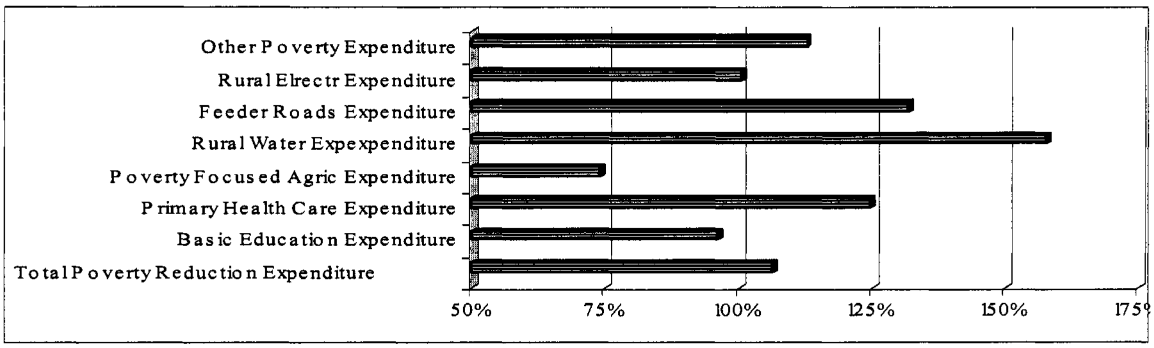
2.3 The good performance of exports and the net capital inflows have not been enough to reverse the weakening in the country's external position, however. End-2007 foreign currency reserves are projected to reach 2.7 months of import coverage, down slightly from the 2.8 months in import coverage at end-2006. Since about one-third of the projected end-year reserves are unused proceeds of the recent Eurobond issue, in the absence of these unused bond proceeds the import coverage would have fallen to 2.1 months. The weakening in the country's external position reflects primarily the recent surge in imports, which are projected to rise by about one-quarter on strong increases in oil and non-oil imports. Oil imports have risen in line with the increase in Nigerian Bonny crude oil prices (the benchmark crude oil price for Ghana's imports). As a result, the current account deficit is projected to widen further to 13.5 percent of GDP (including official transfers), up from just under 10 percent of GDP in 2006.[11]

2.4 The widening of the current account deficit reflects in turn the weakening of the country's fiscal stance. Since the second half of 2006 government expenditures have risen faster

[11] The current account deficit excluding official transfers is projected to reach 16 percent of GDP by end-2007, up from 13 percent of GDP at end 2006.

than revenue collections, leading the overall fiscal deficit to reach 7.5 percent of GDP in 2006, which is projected to stay in the 7.5 to 8.0 percent of GDP range in 2007 (Table 2.1 below). The main drivers of government spending have been the public sector wage bill, reaching almost 10 percent of GDP as a result of pay awards that triggered further requests for pay increases within the public sector. Energy sector subsidies are also one of the factors placing pressure on the budget, as budget subsidies need to bridge around a one percent of GDP difference between the revenues from end-user utility tariffs and the actual cost of power generation and distribution. While the utility tariff adjustment announced by the Public Utilities Regulatory Commission (PURC) on October 19, 2007 was an important first step in bridging this gap, the ever rising crude oil prices in international markets continuously shift the goal of full cost recovery.

**Figure 2.1: Budget Execution of Poverty Reducing Expenditures, Total and by Broad Expenditure Categories, January-September 2007 (In Percent of Planned Budget)**




Source: Ghanaian authorities; National Expenditure Tracking System (NETS); World Bank staff estimates.

2.5 Notwithstanding the need to accommodate higher spending on energy sector subsidies, Government expenditure maintained its pro-poor orientation. Poverty reduction expenditures are projected to end 2007 at around 10.4 percent of GDP, down slightly from the 10.5 percent of GDP recorded in 2006 but up from 8.5 percent at end-2005. At the current levels, poverty reducing expenditures account for about for 40 percent of of total primary domestically financed expenditures. The budget execution of these poverty reducing expenditures over the first 9 months of 2007 was very uneven, however (Figure 2.1). There were higher rates of budget execution in some programs with large payrolls, such as primary health programs, as well as in priority investment programs, such as rural water and feeder roads. Spending on basic education programs and poverty focused agricultural programs lagged behind, however. The budget execution rate in basic education programs was just under 100 percent, while the execution rates for poverty focused agricultural programs was just under three quarters. In the case of basic education programs this is an issue of concern because payroll expenditures account for a large share of the overall program. Overall low levels of budget execution suggest that the budget execution of other expenditure items might have been even lower. In the case of poverty focused agricultural programs, low levels of budget execution likely reflect lower spending by regional units.

**Table 2.1: Summary Central Government Budgetary Operations – 2002-2007 (% of GDP)**

| | 2002 | 2003 | 2004 | 2005 | 2006e | 2007p |
|---|---|---|---|---|---|---|
| Total revenue and grants | 24.3 | 27.3 | 30.1 | 29.1 | 26.8 | 27.2 |
| Revenue | 23.2 | 22.6 | 23.8 | 23.8 | 21.6 | 22.7 |
| Tax revenues | 21.7 | 20.6 | 21.7 | 20.6 | 19.6 | 21.7 |
| Direct taxes | 6.6 | 6.7 | 6.6 | 6.7 | 6.0 | 6.5 |
| Indirect taxes | 10.3 | 9.7 | 10.3 | 9.7 | 9.0 | 9.5 |
| Trade taxes | 4.8 | 4.2 | 4.8 | 4.2 | 4.6 | 5.7 |
| Non-tax revenues | 1.5 | 2.0 | 1.5 | 2.0 | 0.8 | 1.0 |
| Grants | 3.1 | 4.7 | 6.4 | 5.2 | 5.2 | 4.5 |
| Total expenditure | 26.1 | 28.8 | 33.3 | 30.7 | 34.5 | 35.0 |
| Recurrent expenditure | 20.0 | 19.8 | 20.9 | 18.7 | 20.4 | 22.4 |
| Non interest | 13.8 | 13.6 | 16.6 | 15.1 | 18.3 | 19.2 |
| Wages and salaries | 8.5 | 8.4 | 8.7 | 8.5 | 9.6 | 9.6 |
| Other | 5.4 | 5.2 | 7.8 | 6.6 | 8.3 | 9.6 |
| Interest | 6.1 | 6.2 | 4.3 | 3.6 | 3.3 | 3.4 |
| o/w due on domestic debt | 4.5 | 4.9 | 3.2 | 2.8 | 2.4 | 2.5 |
| o/w due on foreign debt | 1.6 | 1.2 | 1.2 | 0.9 | 0.9 | 0.9 |
| Capital expenditures | 6.1 | 8.9 | 12.4 | 12.0 | 12.2 | 12.6 |
| Domestically financed capital expenditures | 2.7 | 4.6 | 6.4 | 5.9 | 7.8 | 7.7 |
| Foreign financed capital expenditures | 3.4 | 4.4 | 6.0 | 6.1 | 4.5 | 5.9 |
| Overall balance | -6.8 | -4.4 | -3.6 | -3.0 | -7.5 | -7.8 |
| *Memorandum items*: | | | | | | |
| Total primary domestically financed expenditures [1] | 16.6 | 18.2 | 23.0 | 21.0 | 26.7 | 25.7 |
| Domestically financed poverty spending (GPRS definition) | 4.8 | 6.5 | 7.7 | 8.5 | 10.5 | 10.4 |
| Domestic primary balance | 2.4 | 2.3 | 0.7 | 3.4 | -4.8 | -5.6 |
| Total public debt | 124.5 | 120.3 | 93.4 | 77.1 | 42.4 | 48.9 |
| Domestic public debt | 25.0 | 21.3 | 20.7 | 17.9 | 20.0 | 25.9 |

Sources: International Monetary Fund and World Bank staff estimates (e) and projections (p).
1) Total expenditure less interest payments and foreign financed capital expenditures.

2.6 The economic developments on the fiscal and external fronts have been immediately reflected in interest and exchange rates. Between early September and late November 2007 interest rates on 91-day treasury bills have risen by three-quarters of one percent, while the exchange rate (cedis to US dollar) has declined by just over 2 percent during this same period (against an already declining US dollar). At its meeting in mid-November the Bank of Ghana's Monetary Policy Committee was quick to react to these developments, raising its prime rate to 13.5 percent, up from the 12.5 percent it had been for the last year, interrupting two and a half years of measured decline in interest rates. These developments are important because foreign investors currently account for between 20 to 25 percent of the domestic bond market, and are more likely than domestic investors to be more responsive to these developments.

### Box 2.1: Ghana's Non Concessional Borrowing

**On September 27, 2007 Ghana issued a US$750 million Eurobond on the international capital market at a fixed coupon of 8.5 percent with a ten-year bullet repayment of the principal.** The Government of Ghana also signed, on September 25, 2007, a US$292 million financing agreement with the China Eximbank to be used toward the construction of the Bui Dam with an annual power generation of 950 GWh and a proposed installed capacity of 400 MW. This loan from the China Eximbank carries an average interest rate of 6.1 percent, with a 17 year amortization period, and 5 years of grace. The prospectus for the bond states that the use of the proceeds will be for infrastructure investments, including, but not limited to, energy and transport. This statement is consistent with the 2007 supplementary budget, which allocates about US$357 million from the bond proceeds to energy investments, with another US$13 million set aside for road sector investments. Together these two sets of investments would add to 2.5 percent of projected 2007 GDP), or 50 percent of the proceeds of the bond issue.

**The Ghana GRPR II envisages that funding from domestic or concessional sources of financing would be insufficient to finance the entire development plan.** Following the October 2005 Consultative Group (CG) meeting, the Government communicated to the Bank that it would seek additional financing from non-concessional sources to meet the country's growth targets and achieve the MDGs. It indicated that the costs of needed investments in energy and roads could not be met from domestic or concessional resources. This became more pressing as the energy crisis deepened in late-2006 and early 2007. The decline in water levels at the Akosombo dam reduced power supply capacity by 25-30 percent, making even more urgent the need to scale up investments to restore power supply capacity to the levels prior to the crisis and ensure that energy supply would increase in lockstep with projected real GDP growth.

**The new borrowing increases in the immediate short run the country's debt service ratios to GDP and exports of goods and services by about one-fifth.** By the beginning of the next decade these increases are expected to decline because of sustained real GDP growth and export growth. The April 2007 joint IMF-World Bank DSA had already envisioned the possibility of non-concessional borrowing, indicating that Ghana faced a moderate risk of debt distress, albeit on the low side. The decision to bring all the non-concessional borrowing forward into 2007, rather than spreading it over a three year period (2007-2009), and to add the loan from the China Eximbank now places Ghana clearly in the moderate risk category. Although the baseline scenario remains well within the indicative policy thresholds, once the stress tests are applied, the risk of debt distress clearly becomes moderate, with no qualification. In this second scenario, the stress tests for the NPV of debt to exports and NPV of debt service to exports breach their respective indicative thresholds earlier in the projection period, and the results of the baseline scenario converge asymptotically toward the indicative policy threshold for the NPV of debt service to exports.[12]

## Economic Outlook

2.7 The outlook for 2008 is for real GDP growth to reach 7.0 percent, with economic growth driven by the good performance in the mining sector, high public sector expenditure, and strong public and private sector investment activity (including new power generation investments). This outlook is contingent on continued high prices for Ghana's export commodities, and actions on four fronts: (i) carrying out the Government's planned investments in the infrastructure, especially the increase in thermal-electric power generation capacity and the upgrading of the

[12] The assumption under this second scenario is that the large scheduled amortization of the US$750 million (bullet) Eurobond in 2017 is rolled over by a new bond carrying the same interest rates and a ten year amortization period. In case the bullet amortization were not to be rolled over at the due date, there would be a one time increase in the NPV of debt to exports and in the debt service to export ratio that would breach their respective indicative thresholds.

power transmission system; (ii) sustaining progress on the private sector development (PSD) agenda; (iii) accelerating overall exports, including by reaching a consensus on the way forward on the successor to the 2000 Cotonou agreement with the EU, and by taking steps to manage potential oil revenues; and (iv) taking actions aimed at enhancing the efficiency of investment and raising productivity throughout the economy. While cocoa exports have seen an almost 90 percent increase in volume since the beginning of the decade, it has been the increase in prices for cocoa and gold that have been driving the increase in exports revenues. The prices for these two commodities have risen considerably from the low levels earlier in this decade, increasing by 60 and 125 percent for cocoa and gold, respectively, over the last 7 years. Although it appears that the prices for these two commodities might have reached a peak, if they remain at their presently high levels, these exports should continue to ensure sustained foreign currency revenues for the foreseeable future.

2.8 Also, the firm implementation of the planned investments in power generation capacity is critical to allow annual real GDP growth rates to gradually accelerate towards 7 percent. This outlook assumes that power supplies are raised above pre-load management already in 2008. This increase in capacity is projected to result from a combination of improvements in the financial position of the power utility companies, increased water levels at the Akosombo dam, and new thermal-electric generation capacity, including those to be installed to tap gas flowing from the West Africa Gas Pipeline (WAGP). Tariffs would need to be adjusted accordingly to reflect higher rates of return required for thermo-electric generation.

2.9 The drive to increase infrastructure investments should be part and parcel of the actions aimed at enhancing the efficiency of investment and raising productivity throughout the economy. This is important because at present growth is being driven primarily by factor accumulation, as reflected in a rising investment to GDP ratio, with increases in productivity having only a secondary effect. This trend cannot be sustained, however. Growth driven exclusively by capital accumulation looses momentum because of declining marginal productivity of capital. Sustained increases in aggregate investment are consistent with long term growth, however, if coupled with improvements in productivity, since the causality runs from increased productivity to opportunities for investments that, in turn, lead to higher growth rates.

## Box 2.2: Highlights of the 2008 Budget Proposal[13]

**The theme of the 2008 budget statement is 'a brighter future' based on peace, security and democracy.** In addition, there is the potential of future oil revenues; and the continued strong economic growth, leading to progress toward achieving the MDGs, as well as actions aimed at prevailing over the energy crisis and other infrastructure bottlenecks. This 'brighter future" budget is predicated on real GDP growth accelerating to 7.0 percent (17 percent growth in nominal terms), translating into 24 percent increase in tax revenues. When extraordinary revenues are added, overall domestic revenues are projected to increase to 29.2 percent of GDP, up from a projected outturn of 23 percent of GDP in 2007. Donor funding for the budget is projected to rise by 20 percent, including a 150 percent increase in project grants over the projected outturn for 2007 and a 40 percent increase in project and program loans. The proceeds from divestitures and borrowing are then included under total revenues, providing GH¢276 million (1.7 percent of GDP) in divestiture receipts[14] and GH¢516 million (3.2 percent of GDP) from the proceeds from foreign borrowing (adding to over 10 percent of the budget). The greatest revenue innovation is the introduction of a one-pesewa per minute excise duty on mobile phone call. The new excise duty replaces the import duties and import VAT currently imposed on imported mobile phones, and is designed as "a dedicated source of funding" for the National Youth Employment Program (NYEP).

**Total expenditures under the 2008 budget proposal are set to increase by 17 percent,** rising by over GH¢1 billion (6 percent of GDP) over 2007 projected budget outcome, in part due to exceptional domestic and foreign financed capital expenditure. There are some notable expenditure items in the 2008 budget: GH¢500 million for energy investments; another GH¢244 million for crude oil purchases (1.5 percent of projected 2008 GDP), up from the GH¢ 161 million already spend for that purpose in 2007; and GH¢ 1.6 billion for personnel emoluments. While the budget proposal keeps the ratio of personnel emoluments to GDP constant at 9.6 percent. It is important to note that the budget projections still imply a 13 percent nominal increase in the public sector payroll over the 2007 budget outturn, and a 4 percent real increase. The planned decline to 31 percent of the 2008 budget share spent in poverty reducing expenditures reflects primarily the sharp rise in share of public investments (both foreign and domestically financed), which are set to more than double as a share of GDP, rising from just under 5 percent to over 10 percent. Two other expenditure items that are set to rise are the expenditures of the District Assembly Common Fund (DACF) and the interest paid on domestic debt. The increase in spending of the DACF reflects the increase in the Government's contribution to the fund from 5 to 7.5 percent of tax revenues, leading to an additional GH¢71 million in expenditures by local governments, while the rise in interest payments on public debt result from the rise in the debt stock to GDP to 49 percent by end-2007, up from 42 percent at end 2006.

**Which are the new expenditure programs in the 2008 budget proposal?** The bulk of the new expenditures in the 2008 budget go to the Ministry of Energy, which will receive an additional GH¢495 million (just under 5 percent of GDP) over its 2007 budget allocation.[15] Also, the Ministry of Health receives an additional GH¢188 million increase, or the equivalent to a 33 percent rise over the 2007 budget. The Ministry of Education receives an additional GH¢133 million, or a 12 percent increase over the 2007 budget, while the Ministry of Transport receives an additional GH¢118 million, in large part to fund a major initiative to improve feeder roads. Lastly, the Electoral Commission receives an additional GH¢4 million, raising its budget for the 2008 election to GH¢36 million.

**Issues to monitor during the implementation of the 2008 budget are the performance of the economy and the realization of the revenue projections.** The budget proposal is predicated on the sustained increase in real GDP growth, bolstered primarily by high commodity prices (especially gold), the stimulus of government spending, and the ongoing construction and banking booms. The revenue projections included in the budget are also very upbeat, notwithstanding the revenue shortfalls experienced in 2006 and 2007. Tax revenues are expected to grow by 24 percent over 2007 levels (higher therefore than the nominal GDP growth of 17 percent). Also, despite the underperformance of official program and project grants in 2006 and 2007, the 2008 budget is predicated on large increases in these revenue items.

[13] With effect from July 1st, 2007, the cedi (¢) was re-denominated and the name of the national currency became Ghana cedi (GH¢) and Ghana pesewa (Gp). The equivalencies are as follows: GH¢ 1.00 = ¢10,000.00 and 1Gp= ¢100.00.

[14] Divesture receipts are projected to come primarily from the reduction in State participation in: the Ghana Oil Company (GOIL), the Ghana Telecom Limited Company (Ghana Telecom), an the Western Telesystems Company (Westel), although some of the receipts from the divesture of Ghana Telecom are expected to flow into the 2007 budget and most (if not all) of the receipts from the divesture of Westel are expected already in 2007.

[15] Note the increase in budget allocation to the Ministry of Energy includes GH¢360 million from the proceeds of the Eurobonds and from divestitures.

### BUDGETARY OUTCOMES

2.10 Reversing a positive trend over the last few years, overall fiscal performance deteriorated considerably in 2006 (Table 2.2), due primarily to relatively large public sector pay increases (particularly in the health sector) and to the re-emergence of energy subsidies, exacerbated by lower than expected domestic revenue receipts. Although 11 percent higher than in the previous year, tax revenue collections were around 7 percent lower than the amount projected in the budget (Table 2 of Statistical Annex). This shortfall occurred primarily with taxes on imports, particularly VAT and taxes on international trade. A higher than planned level of exemptions and continued difficulties with enforcing border controls were the primary contributory factors.

2.11 Government total spending grew by about 34 percent in the twelve months to end-December 2006 and as a share of GDP increased to 34 percent in 2006 from 31 percent in 2005. Recurrent expenditures were nearly 20 percent higher than planned, with payroll spending reaching almost 11.5 trillion cedis in 2006, nearly 15 percent above the budgetary target for the year (Table 4 of Statistical Annex).

2.12 Consequently, the 2006 deficit rose by around 4.5 percent of GDP, to 7.5 percent of GDP compared to around 3 percent in previous years. The deficit was financed by issuing locally-denominated bonds which led the domestic debt to GDP ratio to widen to 13.8 percent by end-2006, up from 10.8 percent at end-2005; this represents a reversal in the previous downward trend of this fiscal target. In 2007, spending is estimated to continue to grow faster than revenue collection leading to an overall fiscal deficit of between 7.5-8.0 percent of GDP.

**Table 2.2: Overall fiscal performance**

| | % of GDP | | | | | |
|---|---|---|---|---|---|---|
| | 2003 | 2004 | 2005 | 2006 | | 2007[2] |
| | Actual | Actual | Actual | Planned | Prelim. | Projected |
| **Total Revenues and Grants** | **27.3** | **30.2** | **29.1** | **30.4** | **26.8** | **27.2** |
| Own revenue | 22.6 | 23.8 | 23.8 | 23.5 | 21.6 | 22.7 |
| Grants | 4.7 | 6.4 | 5.2 | 6.9 | 5.2 | 4.5 |
| **Total Expenditures** | **28.8** | **33.3** | **30.7** | **34.6** | **34.5** | **35.0** |
| Non-interest expend. | 22.6 | 29.0 | 27.1 | 31.5 | 31.2 | 31.6 |
| Interest expenditure | 6.2 | 4.3 | 3.6 | 3.1 | 3.3 | 3.4 |
| **Aggregate Deficit[1]** | **-4.4** | **-3.6** | **-3.0** | **-4.2** | **-7.5** | **-7.8** |

Notes: 1. After outstanding payments clearance, VAT refunds and including grants
2. Projected based on Q3 implementation.
Sources: Ghanaian authorities, IMF staff report (Table 1 of Statistical Annex)

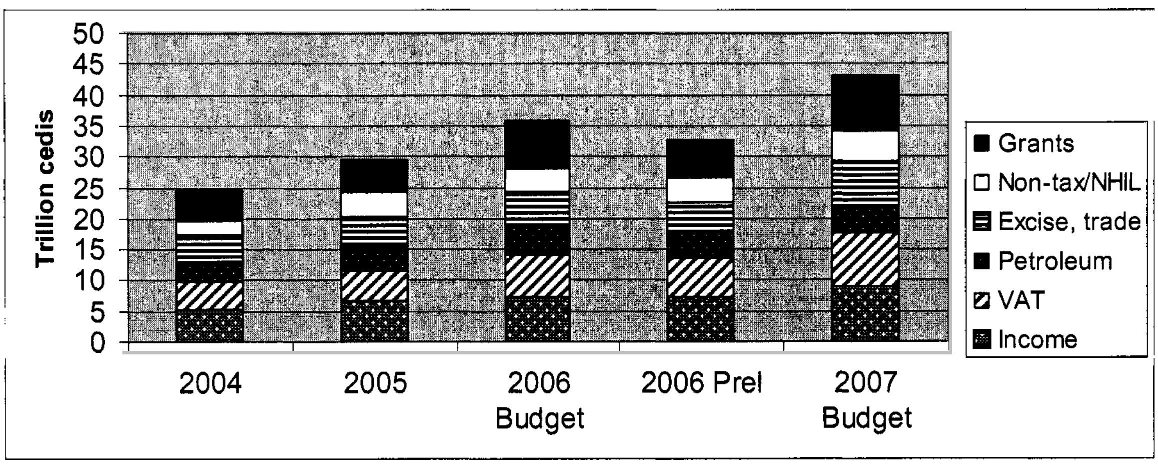
## Revenue performance

2.13 Overall, the receipt of tax and non-tax revenues in 2006 (Figure 2.2) increased by 9 percent over the level in 2005 to 26.5 trillion cedis. However, this performance was around 5 percent less than the budget plan. Planned tax receipts were hit by lower than expected revenues on imported goods, notably VAT, customs and excise duties. With strong economic growth and increased levels of imports, receipts would have been higher but for import exemptions of 1.9 trillion cedis, or 15 percent of indirect taxes. Exemptions are granted to assist economicallyimportant areas, e.g. imports for VALCO and VRA; in 2006, exemptions were also awarded on oil imports in order to assist energy companies respond to the power shortages.[16] Difficulties with enforcing border controls also affected the collection of import taxes; RAGB is undertaking a number of measures to strengthen enforcement.

2.14 The dampening effect on import revenues was mitigated by stronger than anticipated growth in income taxes. Amongst direct taxes, receipts of personal income tax grew strongly (by more than 25 percent over the level achieved in 2005), reflecting in part specific measures introduced by the IRS to improve its efficiency and thereby result in increased capture of the informal sector. As for the increase in external grants, lower than initially expected, it reflects the receipt of MDRI resources.

2.15 In the 2007 Budget, tax revenues are projected to increase by 30 percent compared to 2006 receipts, fuelled by strong increases in receipts of VAT, excise and taxes on trade. External grants expected to increase by more than 40 percent over the level received in 2006. Both the former and the latter seem to have grown at a slower than expected pace.

**Figure 2.2: Revenue Performance, 2004-2006[17]**




## Expenditure outcomes

2.16 Much of the increase in spending in recent years has been in recurrent expenditure, notably wages. Wages and salaries currently account for almost two-thirds of discretionary expenditure and represent just under 10 percent of GDP. As discussed below, the increases in wage bill spending have contributed to reducing the ability of MDAs to implement planned increases in domestic investment.[18] In particular, the 2006 budget execution rates for domestically-financed investment by MDAs were lower than for other items. The other

[16] Import exemptions were reported for the first time in the Budget Statement for 2007.
[17] Table 2 of Statistical Annex
[18] As financed by the Consolidated Fund. According to GoG, much of the displaced domestic investment is likely to have been non-developmental in nature and unlikely to have included counterpart funds for externally-funded projects. At the same time, as discussed below, the level of planned increases of investment expenditures were optimistic, given capacity constraints in implementation.

spending item showing a significant increase in 2006 was the subsidies provided to the energy sector, as mentioned above.

2.17 Turning to the allocation of resources towards poverty reduction, there were continued increases in spending on designated "pro-poor" activities. Poverty-related expenditures as a share of GDP increased to 10.5 percent in 2006, with a slight decrease projected in 2007 to 10.4 percent, compared to 8.5 percent and 6.5 percent in 2005 and 2003, respectively. In 2006, resources from MDRI boosted the proportion of non-wage expenditures as a percentage of total poverty expenditure to 55 percent from 47 percent the year before.

2.18 The above described 2006 trends were reflected in the pattern of spending across sectors. Social services maintained their share (55 percent) of MDA domestically-financed discretionary spending, excluding debt relief, at the expense of economic services, where difficulties with increasing investment expenditures on infrastructure to the extent planned took their toll. In terms of GDP, total spending edged to around 34 percent, with social sectors representing 13 percent. To address the current knowledge gap, the regional distribution of public spending should be analyzed in the context of public expenditure analytical work to be conducted in the immediate future.

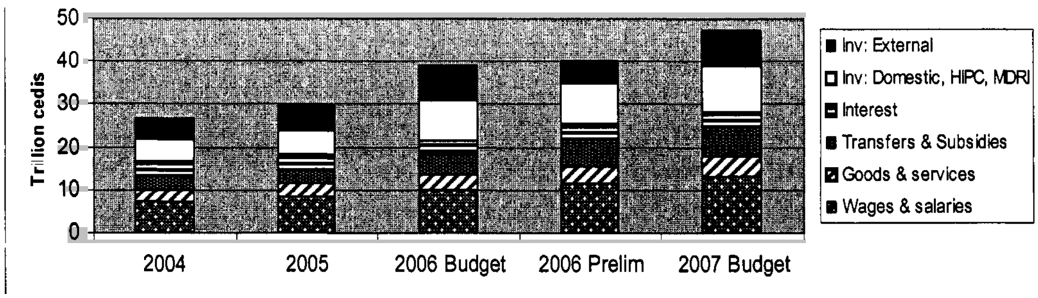
***Overview of expenditures by line item***

2.19 Current expenditures grew by 40 percent between 2005 and 2006 to 25.6 trillion cedis, reflecting the significant increase in the payroll during the year (Figure 2.3). This was nearly 20 percent over the budgeted amount. The increase in capital expenditures was 16 percent lower than expected, but increased by almost 25 percent compared to 2005, to 14.5 trillion cedis.

2.20 The deterioration in the 2006 budget outturns was due to significantly higher-than-planned spending on the wage bill, as well as on subsidy payments and transfers to SOEs in the energy sector. The granting of substantial wage increases in the health sector, to prevent further loss of skilled staff to the private sector and abroad, led to pressure for higher wages across the public sector as a whole. Following the Government's decision in mid-2006 to suspend the raising of utility tariffs to domestic users to cost-recovery levels, it provided subsidies to energy companies a decision prompted by the rise in international prices occurring simultaneously with the need to increase the share of thermal power generation in total energy supply.

2.21 The 2007 budget allocations foresee a smaller increase in personal emoluments than the growth rate during 2006 – with a 15 percent increase planned over the level spent in 2006. Domestically-financed investment spending, excluding debt relief, is expected to rise by 17 percent over the level in 2006, while the externally financed is planned to increase by more than 50 percent. Like in 2006, an overrun in personal emoluments is likely to occur to be offset by lower than planned domestically financed investment. The growth of externally financed investment is also likely to fall short of expectations.

**Figure 2.3: Total Spending by Line Item**[19]




2.22 Amongst discretionary MDA spending, payroll is the largest expenditure item, accounting for 28 percent of total budgetary expenditure, almost half (45 percent) of recurrent spending, and about two thirds of the Consolidated Fund's discretionary spending in 2006. Measured in terms of GDP, the wage bill has been increasing rapidly over the last several years, rising from 5.2 percent of GDP in 2000 to 8.7 percent in 2004[20], before rising to an estimated 9.6 percent last year. Whilst GoG introduced measures in 2005 to strengthen payroll management and control, including the computerization of employee records and establishment of a ceiling on the wage bill, these improvements were reversed in 2006 in the wake of new salary agreements, particularly in the health sector.

2.23 Overall, the total payroll increased by just under 40 percent between 2005 and 2006, compared to around 14 percent between 2004 and 2005. The pattern of wage bill expenditures by MDAs is shown in Table 2.3. In unit cost terms, the average payroll per staff member grew by 44 percent to 24 million cedis. Differences in the growth rate of unit payroll expenditures across MDAs are significant. In particular, the significant increase in payroll expenditures during 2006 is illustrated in the last column of Table 2.3. Overall, average MDA personal emoluments increased by more than 35 percent between the first and second halves of the year. Significant differences may be found across MDAs, these differences reflect the separate approaches adopted for wage negotiations. GoG has recognized the importance of controlling the wage bill, improving wage bill planning, and linking future wage increases to productivity (service and efficiency) improvements. One of its measures is the introduction of the Fair Wages Commission, whose work is intended to address the issue of wage inequities.

[19] Table 4 of Statistical Annex.
[20] In 2005, the wagebill level held steady at 8.5%.

**Table 2.3: Pattern of Wage Bill Spending by MDA, 2005-2006**

| | % Increase in Total Payroll[1] 2005-2006 | % Increase in Unit Payroll[2] 2005-2006 | % Increase in Unit Payroll[3] H1 2006-H2 2006 |
|---|---|---|---|
| **TOTAL** | **46.8%** | **43.6%** | **36.1%** |
| of which: | | | |
| GES | 26.4% | 23.0% | 12.3% |
| Health | 190.0% | 180.9% | 131.9% |
| Min Local Gov | 39.8% | 41.6% | 21.5% |
| Food & Agric | 31.2% | 32.1% | 23.2% |
| Road Transport | 23.3% | 28.3% | 16.5% |
| Government machinery | 43.3% | 40.0% | 16.1% |
| Audit | 31.3% | 33.9% | 76.3% |
| Works & Housing | 35.5% | 41.4% | 21.6% |
| Manpower Dev & Employment | 36.3% | 36.3% | 23.5% |

Note: 1. Ministries, departments and agencies processed on the central payroll.
2. Total payroll per staff member (average for year).
3. H1 = Jan-June; H2 = July-December. Total payroll per staff member (average for 6-month period).
Source: MoFEP data on MDAs processed on the central payroll (excl. subvented agencies).

2.24 As noted in the 2005 ERPFM, improving budget performance over the medium term hinges heavily on how effectively the Government is able to control the wage bill. While there are other countries with wage bill shares similar to the one in Ghana, only those with higher relative domestic revenues are able to sustain a large public sector wage bill without fiscal strain.

**Table 2.4: Wage Bill in Selected African Countries**

| | Ghana | Mauritius | S. Africa | Tanzania | Botswana |
|---|---|---|---|---|---|
| Wage and Salaries | | | | | |
| as % of GDP | 9.6 | 6.3 | 8.8 | 5.9 | 9.6 |
| as % of Tax Revenue | 48.9 | 34.6 | 31.4 | 37.5 | 26.1 |
| as % of Total Expenditures | 27.8 | 24.7 | 31.8 | 21.0 | 29.3 |

Source: IMF, most recent Article IV Consultation. Data for Ghana is estimated outturn for 2006.

2.25 The above comparisons (Table 2.4) should be made with caution. As noted above, the Ghanaian budget is strained by the heavy demands the wage bill makes on the Consolidated Fund discretionary resources. The large wage bill crowds out other categories of spending in the domestically financed current budget, making their funding over-dependent on the assistance of development partners. Furthermore, the underlying structure of pay it represents is insufficient, certainly for professional, managerial and technical grades, to properly motivate staff.

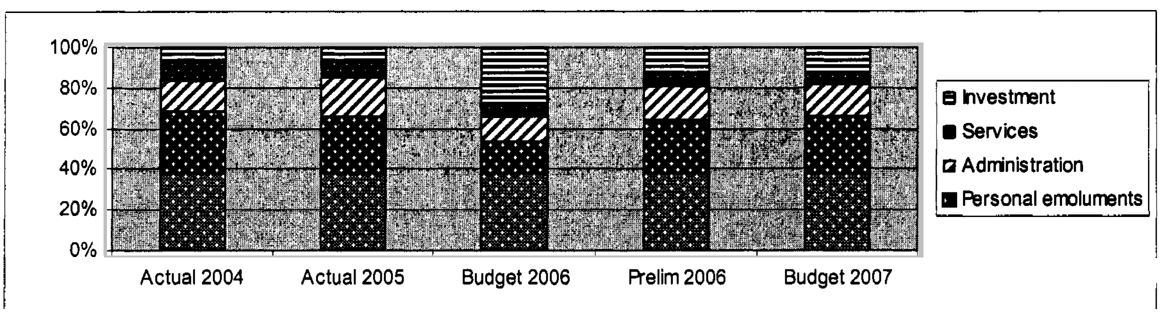
2.26 Aware that more systematic control and judicious management of the government payroll is crucial to improving the affordability and efficiency of public services, as discussed below, GoG has undertaken a comprehensive payroll review and is committed to addressing the issues of equity and performance in the future pay structure. It has also approved a public sector reform plan aimed at rightsizing the civil service which, if firmly implemented, could help contain the wage bill.

2.27 Subsidies, primarily those to companies in the energy sector, increased to 2.7 trillion cedis in 2006, from a budgeted amount of 0.8 trillion and actual expenditures of 0.4 trillion in 2005. This is about 2.3 percent of GDP, and was the result of compensating energy companies for tariffs which were at levels less than cost-recovery, as well as the direct purchase of crude oil by the Government to run the country's thermo-electric power stations, involving an unbudgeted transfer of about US$90 million to the Volta River Authority (VRA). Preliminary indications for 2007, point to subsidies remaining at around 2 percent of GDP.

2.28 Allocations of goods and services to support the delivery of services increased to 4.3 trillion cedis, about 11 percent of the total budget and nearly 40 percent higher than in 2005. With spending on goods and services increasing roughly in line with higher wages, it appears that in 2006 GoG ensured that spending on these items during the year were not eroded in relation to payroll expenditures.

2.29 Whilst the increase in the wage bill reduced the ability to meet planned domestic spending on investment (excluding debt relief, domestically-financed investments in 2006 were nearly 16 percent lower than budgeted, whilst recurrent items recorded a near-20 percent increase overall compared with the budget plan),[21] the real effect was somewhat mitigated by the decline in debt service obligations in 2006. Although the issue of under spending of the investment budget is discussed below, as a share of total GoG discretionary expenditures (Figure 2.4) domestic investment increased between 2005 and 2006. The relative shares of the items in the 2007 Budget are approximately in line with the shares for 2006, with personal emoluments planned to account for two-thirds of total discretionary spending, just about the 65 percent share in 2006. Spending on investment, at 13 percent, is planned to be marginally higher than the 12.5 percent share spent in 2006.

**Figure 2.4: Discretionary Expenditure by item (GoG only)[22]**




*Overview of sectoral expenditures*

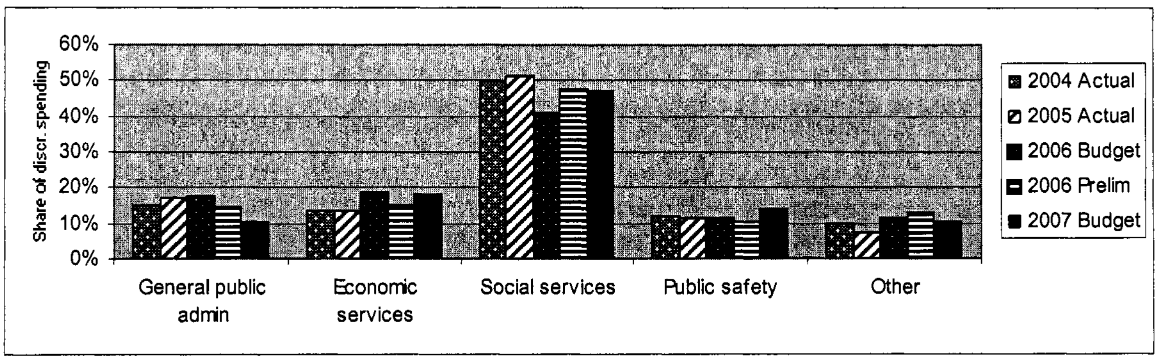
2.30 In 2006, domestic MDA expenditures (financed by the Consolidated Fund, HIPC and MDRI) rose by 55 percent compared to 2005, a real increase of more than 40 percent. The GoG continues to prioritize spending in social services. Whilst overall MDA expenditures were hit by lower than expected tax revenues in 2006 (7 percent lower than planned), social service spending

[21] Lower-than-expected external expenditures would have reduced the amount of counterpart funds required.
[22] Excludes HIPC, MDRI (see Table 5 of Statistical Annex).

was protected from cuts, as shown by the increase of more than 25 percent over budgeted levels, and the substantial increase in the payroll, particularly in health, was an important contributing factor (Figure 2.5). By contrast, cuts were made compared to budgeted amounts in the economic and infrastructure sectors, particularly in road transport and works and housing, those areas which involve significant investment and lengthy procurement procedures and for which expenditure releases are much lower than for other types of expenditure (see Section 3 below).

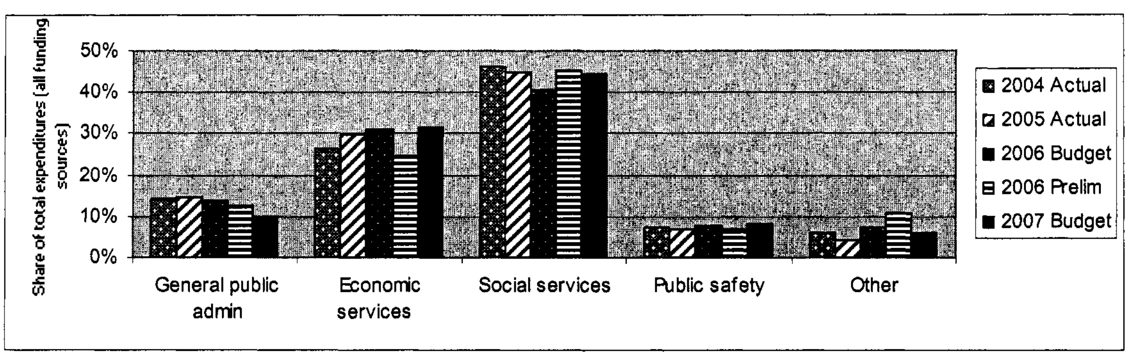
2.31 Compared to the spending pattern in 2006, the 2007 Budget has allocated a higher proportion of discretionary spending on economic services, including infrastructure (an appropriated share of 18 percent in 2007 compared to 15 percent in 2006) and on public safety (14 percent in the current budget year compared to 10percent last year), whilst the share for social services has remained steady (47 percent in 2007 compared to 48 percent in 2006).

**Figure 2.5: Discretionary Expenditures by Sector [23]**




2.32 Turning to MDA spending from all funding sources, the strong influence of external funds contributes to a higher share of the economic sectors (including infrastructure) in the overall total (Figure 2.6). During 2006, these expenditures increased by about 40 percent over the level in 2005. Lower than expected disbursements of external resources for infrastructure, as well as constraints on implementation capacity, affected the sector's ability to meet its ambitious plan for 2006.

**Figure 2.6: Discretionary Expenditures by Sector (All Sources of Funds)[24]**




[23] Includes Consolidated Fund, HIPC and MDRI financed expenditures (see Table 7 of Statistical Annex).

[24] Details of expenditures from all sources of fund are shown in Table 7 of the Statistical Annex.

2.33 The described expenditure trends are reflected in real changes in spending patterns. As proxied by the share of these expenditures in GDP, the social sectors have benefited from real increases in spending, although most of the increase in 2006 reflects the hike in wage rates in the sector (Table 2.5). GoG recognizes that, in order to improve productivity in the sector and achieve the MDGs, increased spending on wages and salaries must be matched by adequate expenditures for improved service delivery and greater coverage of services. As indicated above, overspending on wages has reduced the amount available for investment financed by the Consolidated Fund, particularly in infrastructure, although the reduction in spending also reflects optimism in how quickly the overall level of investment could be raised (reflected in setting the 2006 budget plan), as well as lower than expected external finance on investment (including in infrastructure) and hence lower than expected counterpart financing requirements.

2.34 Comparing the 2006 outturn and 2007 budget shares across all sources of funds, a similar expenditure pattern emerges as for discretionary spending, with higher shares for economic services and public safety, and a steady share for social services. This pattern also holds true for spending as a share of GDP.

**Table 2.5: Discretionary expenditure by sector (All Sources of Funds)**

| | **2004 Actual** | **2005 Actual** | **2006 Budget** | **2006 Prelim** | **2007 Budget** |
|---|---|---|---|---|---|
| | | | % GDP | | |
| **Total** | **25.2%** | **24.9%** | **31.1%** | **28.3%** | **29.1%** |
| of which: | | | | | |
| General public administration[2] | 3.6% | 3.6% | 4.3% | 3.5% | 3.1% |
| Economic services[3] | 6.6% | 7.4% | 9.6% | 6.7% | 9.2% |
| Social services | 11.6% | 11.2% | 12.5% | 13.0% | 12.8% |
| Public safety | 1.8% | 1.7% | 2.4% | 1.9% | 2.4% |

Source: Table 7 of Statistical Annex

2.35 GoG passed a Supplementary Budget in July 2006. The funds were intended to be used primarily for "growth-enhancing" investment expenditures, as well as projects promoting good-governance. As such, the majority of planned expenditures in the Supplementary Budget (Table 2.6) were found in infrastructure (34 percent of total supplementary spending), reflecting its emphasis on investment, and in public administration (33 percent); however, the budget execution rate of infrastructure spending[25] was the lowest amongst all sectors. The Supplementary Budget was funded primarily by external and related sources, including the Millennium Challenge Account, MDRI savings, and planned divestiture revenues. In the end, the privatization program stalled and revenues from divestitures during 2006 were a fraction of those planned.

[25] For all spending, not just funds from the supplementary budget. As the supplementary budget was funded out of the Consolidated Fund, resources destined for supplementary spending were not distinguished from those planned in the original budget.

**Table 2.6: 2006 Supplementary Budget by sector**

| | Share of Supplementary Budget | 2006 Sectoral Outturns as % of Sector Appropriation (%)[1] |
|---|---|---|
| General public administration | 32.6% | 90.8% |
| Economic services | 12.2% | 72.9% |
| Infrastructure | 33.6% | 51.2% |
| Social services | 8.9% | 124.8% |
| Public safety | 12.8% | 96.1% |
| Other | 0.0% | 67.3% |
| **Total** | **100.0%** | **97.0%** |

Note: 1. Data are for MDA expenditures financed from the Consolidated Fund, MDRI and HIPC. Appropriation is total appropriation, including Original and Supplementary Budgets
Source: MoFEP

2.36 Looking in more detail at investment expenditures, the difficulties in increasing domestic investment by MDAs is evident, with investment at nearly half the budgeted level during 2006 (Table 2.7). As indicated above, this is a reflection both of the ambitious increased target for investment in the 2006 budget, but also of the implementation procedures which hamper such an increase taking place in one year. This experience is a useful lesson as the GoG aims to boost investment spending even more in the coming years.

**Table 2.7: Sectoral Expenditures on Investment, 2004-2006**

| Investment by Sector – GoG discretionary[1] | 2004 Actual | 2005 Actual | 2006 Budget | 2006 Actual | 2006 Actual over budget (% growth) |
|---|---|---|---|---|---|
| | | % of GDP | | | |
| General public admin | 0.2% | 0.7% | 1.6% | 1.1% | -31.8% |
| Economic services (incl. infrastructure) | 1.3% | 1.3% | 2.8% | 1.1% | -52.9% |
| Social services | 1.0% | 0.6% | 0.8% | 1.0% | 28.8% |
| Public safety | 0.2% | 0.1% | 0.6% | 0. 1% | -69.7% |
| Other (multisectoral) | 0.4% | 0.1% | 0.6% | 0.3% | -87.7% |
| **Total** | **3.1%** | **2.9%** | **6.4%** | **3.6%** | **-41.6%** |
| | | % of Total | | | |
| General public admin | 6.8% | 24.4% | 25.5% | 29.9% | |
| Economic services | 41.0% | 45.4% | 43.7% | 30.7% | |
| Social services | 32.7% | 22.6% | 12.9% | 27.6% | |
| Public safety | 6.3% | 4.7% | 8.9% | 2.9% | |
| Other (multisectoral) | 13.3% | 2.9% | 9.0% | 8.9% | |
| **Total** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | |

Note: 1. Includes HIPC, which is assumed to be allocated 100% to investment
Source: 2004-2006 CAGD reports

2.37 Recognizing the continuing energy challenges, in July 2007, the Government presented a Supplementary Budget to the National Assembly seeking additional spending authorization of about US$885 million (a 15 percent increase in spending). The bulk of this spending (US$752 million) is for the power sector, comprising emergency expenditures and new investments in generating capacity, as well as the creation of a reserve fund for the purchase of crude oil and natural gas. The remaining amount is mostly for roads and airport upgrading, necessitated by

Ghana's hosting of the Africa Cup of Nations (CAN) 2008 games. Financing for this extra expenditure will come chiefly from divestiture receipts (US$500 million) from the sale of Ghana Telecom and WESTEL, and from new international capital markets borrowing (US$375 million). Depending on the extent to which the supplementary authorizations could be spent before the end of December 2007, the carry-forward of this emergency spending for power has implications for the 2008 budget.

### *Contingency*

2.38 Reflecting a downward trend, contingency spending in the 2007 budget statement at 2.7 percent of total GoG MDA expenditures is a welcome development. This trend was also evident in the 2006 outturn when the share of contingency in total discretionary expenditures was just over 5 percent, a shade lower than planned (Table 2.8). The GoG's plans to complete negotiations with public sector unions over annual pay settlements earlier (ideally, before the beginning of the fiscal year) would assist in more accurate budget planning as well as reduce the amount of contingency required, ensuring that these amounts are reserved for genuine emergencies and unforeseen situations.[26]

2.39 However, there is an inconsistency in the treatment and reporting of contingency between the budget plan and the executed budget. In the Budget Statement, GoG contingency amounts are allocated to each of the four items (personal emoluments, administration, services, and investment) as part of discretionary MDA spending but they are not allocated to an MDA. One of the factors reportedly contributing to the significant share of contingency allocated to personal emoluments in the budget statement is that negotiations on salary increases are conducted after the budget has been approved, and hence the exact amount needed for salary increases by MDA are not known at the time of budget preparation.

**Table 2.8: Reporting of Contingency by MDA and Line Item[1]**

| | **2006 Budget** | **2006 Actual** | **2007 Budget** |
|---|---|---|---|
| | | Bn cedis | |
| Personal emoluments | 749 | 25 | 170 |
| Administration | 47 | 412 | 86 |
| Services | 96 | 413 | 103 |
| Investment | 93 | 80 | 181 |
| **Total** | **986** | **930** | **540** |
| Of which: | | | |
| Ministry of Women Affairs – Personal Emoluments | | 25 | |
| Ministry of Women Affairs - Administration | | 412 | |
| Ministry of Environment – Services | | 413 | |
| Ministry of Foreign Affairs – Investment | | 80 | |
| % of total GoG Discretionary Expenditures | **5.3%** | **5.2%** | **2.7%** |

Source: 2006 CAGD Report and Financial Statements

[26] The OECD manual on PFM good practice suggests a contingency of 1-3% to avoid political bargaining over allocations.

2.40 The reported difference in approach to contingency is illustrated by comparing the planned and actual amounts by line item in Table 2.8. At the budget planning stage, the majority of contingency is expected to be used for paying salary increases (these are budgeted and shown as such under total personal emoluments in the Budget Statement but are not distributed across MDAs). In the budget execution reports, by contrast, the reporting line shown for the use of contingency on personal emoluments is relatively small (cedis 25 billion out of 749 billion). However, salary increases was a key reason leading to the higher than planned outturn of personal emoluments which reached cedis 11.4 trillion compared with a voted amount of cedis 9.9 trillion. Consequently, it is not possible to compare planned and actual contingency spending on a consistent and comprehensive basis, and this contributes to significant deviations between budgeted and actual expenditures and reduced budget credibility (see para 3.5 in Chapter 3 below).

***Recent trends in external resource mobilization***

2.41 The development partners have continued to support the Government's GPRS II policy objectives and its goal of meeting the MDGs. According to estimates prepared for the June 2007 Consultative Group held in Accra, external assistance during 2006 totaled almost US$1.2 billion.[27] Of these resources, budgetary support represented close to 30 percent and the remainder was provided in the form of project support for sectors, with an emphasis on poverty reducing areas and areas which support GPRS priorities, including an increasing emphasis on infrastructure and other private sector development (Table 2.9). The outlook for 2007 continues to be one of strong support to the country's development efforts.

**Table 2.9: Overview of External Financing Flows by Type and GPRS area**

| | 2004 Actual | 2005 Actual | 2006 Prelim | 2007 Prelim |
|---|---|---|---|---|
| | | US$ mn | | |
| MDBS Budget Support | **303** | **277** | **324** | **319** |
| IMF Support | **39** | **38** | **117** | **-** |
| Sector/Investment Support [28] | **608** | **689** | **736** | **997** |
| *By GPRS area:* | | | | |
| Private Sector Competitiveness | *289* | *312* | *362* | *569* |
| Human Development/Basic Services | *278* | *342* | *315* | *343* |
| Good Governance and Civic Responsibility | *41* | *35* | *59* | *85* |
| **TOTAL** | **950** | **1,004** | **1,176** | **1,316** |
| Of which: Credits (%) | 34% | 37% | 37% | 31% |
| Of which: Grants (%) | 66% | 63% | 63% | 69% |

Source: The Ghana Partnership Resource Overview,
Accra, June 2007

[27] HIPC and MDRI debt relief assistance totaling US$174,197 and 307 million for 2004, 2005 and 2006, respectively, is not included in the estimate.

[28] For 2006, ADMD reports actual disbursements of about US$488 million. The major source of discrepancy are grants, for which disbursements reported by ADMD represent 43 percent of those identified in the "Ghana Partnership Resource Overview".

***Poverty-related expenditures***[29]

2.42 Despite wage pressures and the increase in energy subsidies, Government spending maintained its pro-poor orientation. Poverty related expenditures totalled 12.3 trillion Cedis in 2006, an increase of nearly 50 percent over the level in 2005, and accounted for 10.5 percent of GDP, compared to 8.5 percent of GDP in the previous year (Table 2.10). This focus on pro-poor spending is set to continue in 2007 when it is expected to account for 10.4 percent of GDP.

**Table 2.10: Poverty Related Expenditures by Area (in % of GDP)**

| | 2003 Actual | 2004 Actual | 2005 Actual | 2006 Actual | 2007 Proj. |
|---|---|---|---|---|---|
| Total poverty related expenditure 1/ | 6.5 | 7.7 | 8.5 | 10.5 | 10.4 |
| of which: | | | | | |
| Basic Education | 3.6 | 3.7 | 3.8 | 4.0 | 4.3 |
| Primary Health Care | 1.0 | 1.4 | 1.7 | 1.7 | 2.0 |
| Agriculture | 0.2 | 0.2 | 0.2 | 0.4 | 0.4 |
| Rural Water | 0.1 | 0.1 | 0.2 | 0.2 | 0.1 |
| Feeder Roads | 0.5 | 0.4 | 0.4 | 0.6 | 0.4 |
| Rural Electricity | 0.1 | 0.2 | 0.4 | 0.9 | 1.6 |
| Other Poverty Related Expenditure | 1.1 | 1.6 | 1.7 | 2.7 | 1.6 |

Source: Table 8 of Statistical Annex

2.43 The GoG's continuing emphasis on poverty reduction, including the pro-poor orientation of public spending, has contributed to a reduction in the poverty headcount, which according to recently completed 5th Ghana Living Standards Survey has fallen by 11 percentage points since 1998/99, reaching 29 percent in 2005/06. Current projections suggest that Ghana should reach the MDG of halving the 1990 poverty rate before 2015.

2.44 Poverty-reducing expenditures were protected from expenditure cuts during 2006, with spending higher than budgeted in most areas, with the exception of feeder roads (due to longer preparation procedures for investment procurement) and primary health care. Basic education, health and rural electrification represented more than 60 percent of total poverty-related spending. Also important is the increase in non-wage expenditure as a percentage of total poverty expenditure to 55 percent in 2006 from 47 percent the year before. The latter was mostly due to the large amount of MDRI resources approved with the 2006 supplementary

[29] Poverty related expenditures include the following domestically-financed expenditures from the Appropriation Act: (i) Education sector – non-formal education, pre-school, basic education, technical & vocational education, teacher training, and education management and supervision, plus a fraction of the expenditures on special education (90%), general administration (50%); (ii) Health sector – district health services, regional public health expenditures, oncology expenditures, funding for the international red cross, and health learning materials, plus a fraction of the expenditures on regional health support services (50%), psychiatric hospital (50%), regional clinical care (50%), health training institutions (70%), institutional care (60%); (iii) Agriculture sector – crop services provided through the regional agriculture development units and projects funded by IDA; (iv) Works and Housing sector – the community water and sanitation, rural housing and rural hydrological drainage; (v) Roads and Transport sector – feeder roads and road safety; (vi) Energy sector – rural electrification programs; and (vii) Other sectors – national vocational training, social welfare programs and others.

budget. In basic social services, except in health, non-payroll related expenditures represented a greater share of spending.

**Table 2.11: Cross-Country Comparison of Poverty-Reducing Expenditures (as % of GDP)[1/]**

| | 2002 Actual | 2003 Actual | 2004 Actual | 2005 Actual | 2006 Prel. |
|---|---|---|---|---|---|
| 29 Post-HIPC Decision Point countries (weighted average) | 7.3 | 7.9 | 7.8 | 8.4 | 8.8 |
| Ghana [2/] | 4.8 | 6.5 | 7.7 | 8.5 | 10.5 |
| Burkina Faso | 4.7 | 4.7 | 5.4 | 5.5 | 5.5 |
| Cameroon | 3.4 | 1.9 | 5.2 | 5.8 | 6.3 |
| Ethiopia | 11.9 | 12.5 | 12.4 | 14.2 | 15.8 |
| Madagascar | 4.2 | 3.7 | 3.1 | 10.5 | 11.0 |
| Tanzania | 8.1 | 9.1 | 9.0 | 10.5 | 13.4 |
| Uganda | 9.5 | 11.6 | 13.4 | 11.9 | 11.1 |
| Senegal | 5.9 | 6.6 | 7.3 | 7.9 | 7.9 |
| Nicaragua | 10.2 | 11.4 | 12.3 | 13.1 | 12.3 |

1/Data from HIPC and MDRI Status of Implementation Report, August 2007, by World Bank and IMF staffs.
2/Data for 2006 is actual.

2.45 Poverty-reducing expenditures are defined differently across countries and therefore comparisons should be made with caution. However, data in Table 2.11 suggests that by increasing pro-poor spending from 4.8 to 10.5 percent of GDP, Ghana is broadly in line with average spending of Post-HIPC Decision Point countries. However, further efforts are recommended to strengthen the pro-poor focus of public spending in Ghana with a view to narrow the gap comparing with countries such as Ethiopia, Tanzania, Uganda and Nicaragua. To sharpen the pro-poor orientation of public expenditures, it is recommended that a study be conducted to deepen the knowledge about funding gaps faced by regions with higher incidence of poverty (e.g. northern region). This study should also analyze the adequacy of the sectoral composition of poverty-related expenditures.

### Expenditure by key sectors

#### *Education*

2.46 In total, sector expenditures increased from 5.8 trillion cedis in 2004 to 9.5 trillion in 2006. The evolution of expenditures for the education sector as a whole is shown in Table 2.12 below. The GoG funds, including HIPC, account for the majority of resources to the sector, followed by the Ghana Education Trust Fund (GETF) (12 percent in 2006) and IGFs (11 percent in that year). The growing influence of both GETF and Internally Generated Funds (IGFs) sources of sector financing is notable, with increases of 61 percent and 48 percent, respectively, between 2005 and 2006, compared to 33 percent for GoG funds.

2.47 Sectoral spending grew by 30 percent between 2005 and 2006, with relatively faster growth taking place in recurrent expenditures. Amongst education programs, as would be expected for a government which prioritizes poverty-reducing expenditures, the largest share of spending is on primary education, followed by the two types of second-level (secondary education). Tertiary education, with significant financing provided by the GETF, accounts for nearly one-quarter of all expenditure. Over time, primary programs have taken a slightly smaller share of total sectoral expenditures, falling from 32 percent in 2004 to 28 percent last year. Whilst the emphasis on growth-enhancing expenditure in GRPSII would tend to favor expenditure on secondary, vocational and tertiary education, the Government recognizes the need to control recurrent public expenditure on tertiary education, by adopting realistic policies on cost-sharing, in favor of lower-cost polytechnics, and increase the expenditure per student at primary level. The 2007 Education Sector Annual Review (ESAR) acknowledges that although enrolment is increasing at all levels of education, enrolment at the primary level will need to be accelerated if Ghana is to meet the goal of universal primary completion by 2015. [30] The ESAR also identified a number of measures to improve the efficiency of education spending. In this regard, measures focus on teacher management, deployment and utilization, capacity building of management at the various cost centers and effective monitoring of outputs and outcomes. Finally, it will also be important to ensure that wage and non-wage resources are allocated in a balanced way, ensuring that there are adequate levels of spending on educational supplies and on investment in developing and maintaining school, other educational facilities and equipment, and that resources are released in accordance with these plans.

**Table 2.12: Education Sector Expenditures by Program and Source of Funds**

| | 2004<br>% of total | 2005<br>% of total | 2006<br>% of total |
|---|---|---|---|
| ***Program*** | | | |
| Pre-school | 4.0% | 3.4% | 3.9% |
| Primary | 31.6% | 29.9% | 27.6% |
| JSS | 16.0% | 17.8% | 16.8% |
| SSS | 19.9% | 20.8% | 15.8% |
| TVET | 1.1% | 1.2% | 0.9% |
| SPED | 0.4% | 0.4% | 0.4% |
| NPED | 1.6% | 1.9% | 0.7% |
| Teacher Education | 3.7% | 3.9% | 3.5% |
| Tertiary | 21.0% | 19.6% | 22.5% |
| Management, Subvented Agencies | 0.5% | 1.0% | 7.7% |
| HIV-AIDS | 0.2% | 0.1% | 0.3% |
| **TOTAL** | **100.0%** | **100.0%** | **100.0%** |
| ***Financed by:*** | | | |
| GoG | 67.6% | 66.0% | 68.0% |
| Development partners | 7.3% | 8.4% | 2.4% |
| IGFs | 9.1% | 9.4% | 10.7% |
| GETF | 9.5% | 9.7% | 12.1% |
| HIPC | 4.7% | 4.3% | 4.7% |
| DACF | 1.8% | 1.2% | 1.5% |
| EFA Catalytic | 0.0% | 0.5% | 0.3% |
| SIF | 0.0% | 0.6% | 0.4% |

Sources: MoESS, development partners (Table 12 of Statistical Annex)

[30] "Education Sector Performance Report 2007", Ministry of Education, Science and Sports, Republic of Ghana, July 2007.

### *Health*

2.48 Overall, health expenditures increased by 33 percent last year over 2005, to reach 4.8 trillion cedis in 2006, representing around 14 percent of overall government expenditures. The structure of health expenditures over the last three years is shown in Table 2.13 below. GoG discretionary resources, partly reflecting decision by some donors to move towards budget support, IGFs and NHIS funds have grown in importance as sources of funds, and together accounted for nearly 70 percent of sector financing in 2006. As indicated above, the sharp increase in the share of GoG funds is accounted for by the growth in the wage bill for the sector, both in terms of share of overall spending and in absolute terms. The wage deal agreed in 2006 will continue to increase wage rates through 2007, thus squeezing other non-personal emoluments (PE) GoG expenditures, particularly investment.

2.49 As for sources of finance, personnel emoluments are mainly funded by GoG, with a small top-up by IGFs; administration spending comes mainly from IGFs, with some also from GoG and the Health Fund. Service expenditures are funded by most sources, whilst investment relies mostly on financial credits, NHIF, Health Fund and HIPC, with some from the GoG and IGFs. Any reductions in resources from these sources have a negative impact on investment and supplies and materials to support service delivery. This was particularly true in 2006, with only a proportion of collected revenues destined for NHIF actually being transferred to the Fund (1,228 billion cedis collected through the NHIL against transfers to the Fund of 764 billion, a transfer rate of 62 percent of the amount collected).[31]

**Table 2.13: Health Sector Expenditures by Program and Source of Funds**

| | 2004<br>% of total | 2005<br>% of total | 2006<br>% of total |
|---|---|---|---|
| ***Programme/institution level*** | | | |
| Sub-district level services | 7.0% | 7.0% | 6.0% |
| District-level services | 30.0% | 26.0% | 29.0% |
| Regional-level services[1] | 19.0% | 19.0% | 17.0% |
| Tertiary-level services | 16.0% | 17.0% | 17.0% |
| Management, other | 25.0% | 27.0% | 25.0% |
| Subvented organisations | 3.0% | 4.0% | 6.0% |
| **TOTAL** | **100%** | **100%** | **100%** |
| ***Financed by:*** | | | |
| GoG | 40.0% | 43.0% | 53.0% |
| IGF | 12.0% | 12.0% | 13.0% |
| HIPC | 6.0% | 0.0% | 2.0% |
| NHIS | 0.0% | 0.0% | 5.0% |
| Donor Health Fund | 24.0% | 15.0% | 8.0% |
| Programme/project funding | 7.0% | 14.0% | 9.0% |
| Financial credit | 11.0% | 15.0% | 9.0% |
| Other[2] | 0.0% | 1.0% | 1.0% |

Notes: 1. Includes teaching institutions.
2. Unspecified. Sources: MoH, development partners (Table 13 of Statistical Annex).

[31] The transfers from Treasury to the Fund were predicated on the delivery of expenditure plans by NHIF; these plans were delayed and hence led to the delays in the transfer of funds. However, as NHIF is a Statutory Fund, and not an MDA, 100% of NHIL receipts should be transferred to the NHIF.

2.50 In terms of programs, the major destination for health spending in 2006 was for district-level services (29 percent), with spending on headquarter- and other management- functions accounting for one-quarter of spending. During the last three years, the share of total health spending on sub-district level services has slightly decreased, whilst that on tertiary care has marginally increased. Otherwise, there has been little change in the institutional shares.

2.51 In order to support its efforts to streamline public spending and improve outcomes in the education and health sectors, the GoG has completed in July 2007 the field work to collect data for a Public Expenditure Tracking Survey (PETS) exercise, and the analytical report is planned to be completed during the first half of 2008. All 10 regions and about one third of all districts were covered by the PETS survey. The facilities surveyed represent 7 and 26 percent of the total number of facilities, at different levels, of the education and health sectors, respectively. The survey targeted key components of non-wage expenditures.

***Agriculture***

2.52 The current composition of public expenditure on the agriculture sector suggests that the priority to diversifying into crops other than cocoa for income generation and export earnings, stated in the Government's Food and Agriculture Sector Development Policy (FASDEP II), is not being adequately funded. The combined expenditures of the Ministry of Food and Agriculture (MoFA) and the Ghana Cocoa Board (Cocobod) represent about 9.7 percent of the total budget in 2007. However, the share of cocoa related expenditure in total public spending is around 85 percent. Foreign assistance accounts for over half the inflows to the non cocoa sector, and many of these lie outside the control of MoFA. Currently, there is little internal revenue generation although the potential exists for at least partial cost recovery with some services (e.g. certain veterinary and plan protection services).

2.53 Weak budget discipline further complicates funding of non-cocoa expenditures. Except for 2006, when actual spending was slightly higher than budgeted, actual spending funded by the Consolidated Fund has been lower that budgeted allocations (Table 2.14). Moreover, within MoFA, actual expenditures primarily fund staff costs and wage pressures typically result in overspending in salary items while investments fall short of expected disbursements.

**Table 2.14: MoFA Expenditure - Actual versus Budgeted, 2004 – 2006**

| | 2004 | 2005 | 2006 |
|---|---|---|---|
| MoFA total | 92% | 85% | 103% |
| of which: | | | |
| Personal emoluments | 111% | 133% | 134% |
| Investment | 56% | 28% | 63% |

Source: Statistical Annex, Table 6.

2.54 To facilitate implementation of the FASDEP II policy objectives, further analysis is required to inform the policy dialogue and identification of reforms aimed at improving the allocation of public resources to the agriculture sector and its transparency, and to strengthen budget execution. A Public Expenditure Review is underway which will inform the policy dialogue backed by donor-financed sector budget support.

*Natural Resources and Environment*

2.55 Key government entities responsible for the enforcement of environmental legislation are under-funded and fragmentation of the budget is a serious issue in all agencies posing challenges in terms of transparency of the resource envelope and transaction costs within which agencies have to operate. These findings emerged from a public expenditure review of three environmental agencies (Forestry Commission, Minerals Commission and Environmental Protection Agency) and their related line ministries conducted in the context of the recently published Ghana Country Environmental Analysis (CEA).[32]

2.56 Following offshore discoveries in mid-2007, commercial oil production may commence early in the next decade. Ghana has been actively participating in the Extractive Industries Transparency Initiative (EITI). The review strongly supports the authorities' efforts to design a transparent petroleum revenue management system that also suits Ghana's development needs. In this regard, late in February 2008, a workshop on oil sector developments in Accra, which will involve the Bank, the IMF and other donors, will also include a seminar on fiscal management of petroleum revenues. The Government may also include the treatment of petroleum revenues in the forthcoming Fiscal Responsibility Legislation.

**Table 2.15: Natural Resources and Environment - Agency Budgets, 2005-2007**

| Year | Total Budget | Forestry Commission (%) | Minerals Commission (%) | Env. Prot. Agency (%) | Total (%) |
|---|---|---|---|---|---|
| 2005 | GoG Treasury | 14 | 0 | 4 | 18 |
| | IGF | 45 | 6 | 4 | 55 |
| | Donors (recurrent grants) | 27 | 0 | 0 | 27 |
| | **Total** | **86** | **6** | **8** | **100** |
| 2006 | GoG Treasury | 10 | 0 | 3 | 13 |
| | IGF | 65 | 8 | 4 | 77 |
| | Donors (recurrent grants) | 10 | 0 | 0 | 10 |
| | **Total** | **85** | **8** | **7** | **100** |
| 2007 | GoG Treasury | 9 | 1 | 2 | 11 |
| | IGF | 41 | 8 | 3 | 51 |
| | Donors (recurrent grants) | 15 | 0 | 0 | 15 |
| | HIPC fund | 0 | 22 | 0 | 22 |
| | **Total** | **65** | **31** | **4** | **100** |

Source: Table 2 of the program document of the Natural Resource and Environmental Governance budget support operation, under preparation.

2.57 Expenditures of the natural resources and environmental-related agencies are estimated to have increased from about US$19 million in 2005, to US$26 million and US$43 million in 2006 and 2007, respectively. The sources of funding of those expenditures are summarized in Table 2.15 above. While the Forestry Commission (FC) and Minerals Commission (MC) accounted for about half of the budget of the Ministry of Lands, Forestry and Mines, the Environmental Protection Agency (EPA) accounted for 1.5 percent of the budget of the Ministry of Local Government, Rural Development and Environment. Combined expenditures of the FC, MC and EPA are estimated to have represented about 1.2 percent of spending funded by the Consolidated Fund.

[32] World Bank Report No. 36985, November 2, 2007.

2.58 The CEA indicates that while the country has a relatively strong environment framework, weak enforcement capacity has resulted in the rapid depletion of natural resources that threatens sustained growth and poverty reduction in the near future. Building on the CEA findings and recommendations, the Government has decided to implement a comprehensive set of reforms under the five-year Natural Resource and Environmental Governance (NREG) program. To address the weaknesses of the operations of the FC, MC and EPA, the implementation of the NREG will be assisted by donor-funded sector budget support operations aimed at ensuring predictable and sustained financing of the forestry sector as well as forest law enforcement, improving mining sector revenue collection, management and transparency, and addressing social and other environmental considerations across sectors.

### BUDGET ALIGNMENT WITH GPRSII

2.59 In terms of aligning the budget with the GPRS, with the three-year time period for GPRSII starting in 2006, the 2006 budget is the first possible reflection of its priorities (Table 2.16). Amongst 2006 appropriated allocations, private sector competitiveness (including infrastructure development) was accorded a higher share than anticipated in GPRSII (41 percent compared to 36 percent). Planned amounts in the budget for good governance were also higher than anticipated in the GPRS document. These higher-than-expected appropriations were at the expense of human resource development, whose projected share was 36 percent compared to 54 percent in the GPRS.

**Table 2.16: 2006 Budget and GPRSII**

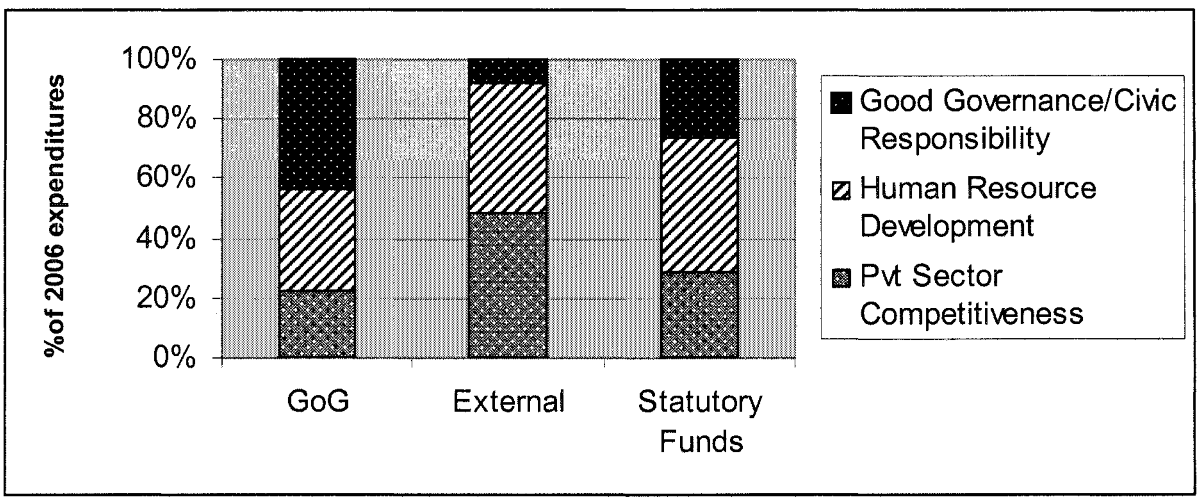
| | GPRSII Allocation Share of total | Budgeted Allocation[1] Share of total | Actual Allocation Share of total | Diff Actual over GPRSII: as % of GPRSII | Diff Actual over Budget: as % of Budget |
|---|---|---|---|---|---|
| **GPRSII Thematic Areas** | % | % | % | % | % |
| **Private Sector Competitiveness** | **36.4%** | **40.5%** | **36.9%** | **-23.5%** | **-35.3%** |
| of which: GoG | | 13.7% | 3.7% | | |
| External | | 20.2% | 22.9% | | |
| Statutory Funds | | 6.6% | 10.4% | | |
| **Human Resource Development** | **53.7%** | **35.8%** | **43.0%** | **-39.7%** | **-14.8%** |
| of which: GoG | | 5.8% | 5.4% | | |
| External | | 11.8% | 21.1% | | |
| Statutory Funds | | 18.3% | 16.4% | | |
| **Good Governance/Civic Responsibility** | **9.9%** | **21.4%** | **20.1%** | **53.8%** | **-33.3%** |
| of which: GoG | | 9.8% | 7.1% | | |
| External | | 1.5% | 3.7% | | |
| Statutory Funds | | 10.1% | 9.4% | | |
| **Other[2]** | **0.0%** | **2.3%** | **0.0%** | **N/A** | **-99.6%** |
| of which: GoG | | 0.0% | 0.0% | | |
| External | | 0.0% | 0.0% | | |
| Statutory Funds | | 2.3% | 0.0% | | |
| **TOTAL** | **100.0%** | **100.0%** | **100.0%** | **-24.6%** | **-29.0%** |
| of which: GoG | | **29.3%** | **16.2%** | | |
| External | | **33.4%** | **47.7%** | | |
| Statutory Funds | | **37.3%** | **36.2%** | | |

Note: 1. As appropriated in the Appropriation Act.
2. Unallocated MDRI and HIPC. Source: NDPC (Table 14 of Statistical Annex).

2.60 With regard to 2006 actual expenditure outturns, these trends were slightly lessened, with private sector competitiveness reducing its share to 37 percent (compared to just over 40 percent as budgeted), whilst human resource development took a larger share than planned in the budget (43 percent compared to the budgeted 36 percent). Some of these changes reflect variations in external resources (e.g. slightly higher than expected resources available for spending on human resource development but fewer funds for private sector competitiveness), whilst others reflect greater resources targeted by GoG and the Statutory Funds during the year.

2.61 The analysis of outturns by funding source and GPRSII area in 2006 (Figure 2.7), shows that whilst GoG resources were reasonably evenly split between human resource development and private sector competitiveness, external resources were overwhelmingly directed to private sector competitiveness. The latter includes spending on infrastructure development. Good governance and civic responsibility was the only thematic area with actual spending above that planned in the GPRS, mainly due to funding channeled to activities in the areas of public policy management and public sector reforms, fiscal policy management and enhancing decentralization.

**Figure 2.7: 2006 Spending and GPRSII**




2.62 Turning to budgeted amounts for 2007, a similar pattern emerges for the current budget year as that which took place in 2006 (Table 2.17 above). Private sector competitiveness continues to enjoy a higher share than expected in GPRSII (44 percent compared to 37 percent), as do budgeted allocations to good governance (16 percent against 10 percent) with the budgeted share for human resource development being lower than expected.

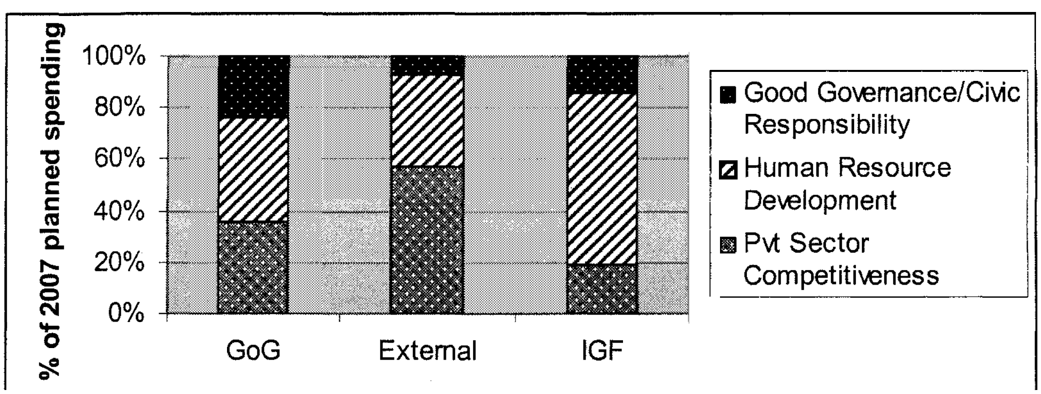
**Table 2.17: 2007 Budget and GPRSII**

| | GPRSII Allocation Share of total | Budgeted Allocation[1] Share | Difference of Planned over GPRSII |
|---|---|---|---|
| **GPRSII Thematic Areas** | % | % | as % of GPRSII |
| **Private Sector Competitiveness** | **36.7%** | **44.4%** | **25.3%** |
| Of which: GoG | | 18.7% | |
| External | | 24.9% | |
| IGF | | 0.8% | |
| **Human Resource Development** | **53.6%** | **39.3%** | **-23.1%** |
| Of which: GoG | | 20.9% | |
| External | | 15.7% | |
| IGF | | 2.8% | |
| **Good Governance/Civic Responsibility** | **9.7%** | **16.3%** | **46.0%** |
| Of which: GoG | | 12.4% | |
| External | | 3.3% | |
| IGF | | 0.6% | |
| **TOTAL** | **100.0%** | **100.0%** | **9.6%** |
| Of which: GoG | | **52.0%** | |
| External | | **43.8%** | |
| IGF | | **4.2%** | |

Note: As appropriated in the Appropriation Act.
Source: NDPC (Table 15 of Statistical Annex).

2.63 Regarding the share by funding source (Figure 2.8), development partners are expected to increase their share of resources directed to human resource development GPRSII areas (representing a 36 percent share of their total resources), balancing out the emphasis on infrastructure development and other private sector development activities (with a planned 57 percent share).

**Figure 2.8: 2007 Planned Spending and GPRSII**



2.64 In terms of monitoring GPRSII, with its greater emphasis on growth-enhancing expenditure, GoG recognizes the need to identify the types of expenditures these represent, and attach an identifying code to these expenditures, as was done for poverty-reducing expenditures. This process is at an early stage of development, and the consultation process is continuing. The current emphasis is on clarifying how to define growth-enhancing expenditures and identifying what coding changes are required. A key objective is to enable the accounting system to be used to track such expenditures; currently, with data on the appropriated budget and the outturns from CAGD, the Activate system can analyze both actual and budgeted expenditures by GPRSII thematic area. The 2008 Budget Guidelines emphasized that GPRSII priorities were to be used for the preparation of the 2008 Budget.

## CONCLUSION AND NEXT STEPS

2.65 Having concentrated on achieving macroeconomic stability over the past several years, the Government's policy focus over the medium term is to move the economy onto a higher growth path to enable it to meet the Millennium Development Goals (MDGs) and achieve its aim of Ghana becoming a middle-income country by 2015. This policy was reflected in the 2007 and 2008 budgets, with their emphasis on higher domestic investments and increases in public sector wages and salaries funded by an increase in revenues from VAT on imports, MDRI grants and divestiture receipts. In order to meet these objectives, GoG will need to ensure that macro stability is further consolidated and the efficiency of public spending is improved to generate savings for scaling up for investment as well as to provide greater value for money in the delivery of public services. In this context, it is important to ensure sound fiscal management to contain the deficit, including during the 2008 electoral cycle.

2.66 In this regard, the analysis of recent spending patterns suggests three main fiscal risks over the short to medium term. The first fiscal risk is that tax receipts will fall short of the ambitious revenue targets set by the Government which are predicated on significant growth projections for GDP and substantial efficiency gains for the revenue agencies from greater integration between computer systems. In terms of the outlook for revenue growth based on the likely revenue drivers, GDP growth prospects are likely to continue to be strong, given high gold prices and new investment in the mining sector, although continued problems with power shortages and any potential delays in new investments coming on stream in the power sector may affect the growth rate. Experience from other countries would indicate that significant gains from greater efficiencies in tax administration (particularly from technological improvements) are likely to take longer to materialize than currently envisaged. A fiscal strategy based upon rapid domestic revenue growth has obvious vulnerabilities as revenue underperformance will require a downward adjustment in expenditures during the year.

2.67 The second fiscal risk is the extent to which GoG will be able to contain payroll expenditures, particularly given the upcoming elections later in 2008. Continued upward pressure on wage expenditures will potentially crowd out other non-wage recurrent expenditures, particularly, maintenance and materials to support service delivery, as well as resources to support domestic investment. The replacement of the Government Universal Salary Structure (GUSS) with a "single spine" for public-sector salaries is to be implemented over the medium term, following investigation by the Fair Wages Commission, established to review levels of pay across the public sector in order to address equity and wage negotiation issues. The establishment of a single pay spine for the public service has the potential to constrain inter-MDA pay leapfrogging, but its credibility will depend on how similar jobs in different services are treated in the pay spine, and how the balance is struck between external labor market pressures, internal equity considerations and overall wage bill sustainability. Whatever the outcome of the Commission, it will be important to ensure that the wage bill as a share of GDP shows no further increases. More generally, the government recognizes that the reform of pay structures and processes needs to be linked to reform of the public sector as a whole, so that new arrangements for remuneration of public servants are linked to improvements in productivity. The total costs of public service reform, including separation payments and pensions, will also need to be closely watched.

2.68 The third fiscal risk is that the energy crisis takes longer than planned to resolve and continues to necessitate the payment of higher than expected levels of energy subsidies. Continuing upward pressure of energy subsidies to consumers will crowd out other non-wage expenditures, such as domestic investment. Higher utility subsidies will be required if there are delays in raising electricity tariffs to cost recovery levels. In addition, the indirect fiscal impact, through slower growth of revenues, will be higher if planned investments in generation, transmission and distribution fail to materialize in a timely manner. There may also be the need to address financial shortfalls in the utility companies resulting from technical and/or commercial losses

# 3. PUBLIC FINANCIAL MANAGEMENT

## REVIEW OF PROGRESS OF GOVERNMENT'S SHORT AND MEDIUM TERM ACTION PLAN

3.1 The GoG is committed to increasing significantly its planned spending on investment, particularly to modernize and expand its infrastructure, in order to boost its growth rate and thereby meet its goals of achieving the MDGs and eventually reaching middle-income country status. It recognizes that ensuring sufficient resources are available for this investment will require improvements in the efficiency of the use of public resources. Generating savings and improving the efficiency and effectiveness and thus greater value for money of spending requires that the underlying Public Financial Management (PFM) systems operate effectively. GoG's plans for improving the effectiveness of the systems are outlined in its Short-Term and Medium-Term Action Plan (ST/MT AP), which has recently been updated to include revised costings of the activities identified.

3.2 The rest of this chapter looks at progress in each of the ST/MT AP priority areas.[33] It begins with a review of the cross-cutting themes of credibility, predictability and transparency of the budget process, before turning to an examination of progress in each of the focus areas in the Action Plan.

### Cross-cutting themes

#### *Credibility of the budget*

3.3 Measured in terms of the difference between approved allocations and actual budget expenditures, budget credibility continues to represent a challenge for the Government, particularly in terms of allocations for MDAs. Whilst in overall terms the execution of the 2006 budget was reasonably close to the planned aggregate level (despite increases in wages and energy subsidies causing a slippage in overall aggregate fiscal discipline), the differences at MDA level were significant.

**Table 3.1: Expenditure Deviations between Original Budgeted and Actual Outturns for 20 Largest Budget Heads, 2004-2006[1]**

| Budget Year | Total expenditure deviation[2] | Total expenditure variance[3] | Variance in excess of total deviation[4] |
|---|---|---|---|
| 2004 | 12.4% | 25.9% | 13.4% |
| 2005 | 8.0% | 33.3% | 25.3% |
| 2006[5] | 6.0% | 28.8% | 22.9% |

Notes: 1. Data cover discretionary and statutory expenditures.
2. Figures refer to the absolute value of the difference between actual outturns and original budgeted amount, expressed as % of original budgeted amount.
3. Figures refer to the sum of the absolute value of deviations as a proportion of the total budgeted allocation for primary expenditure.
4. Percentage difference between expenditure deviations and expenditure variations (previous two columns).
5. CAGD preliminary data, pending confirmation by the Auditor-General.
Sources: MoFEP, CAGD (see Annex 1).

[33] Excluding Focus Areas 8 (financial sector program) and 9 (capacity building), which are either outside of the main PFM areas or indirectly covered as a cross-cutting issue.

3.4 Although the budget deviation index (BDI) (Table 3.1) improved slightly in 2006 compared to the previous year (6 percent in aggregate and 29 percent by MDA compared to 8 percent and 33 percent, respectively), the BDI was nonetheless still sizeable, particularly at the MDA level. Weaknesses in implementing budgets as planned are also demonstrated by deviations across line items.[34] In this regard, greater than expected spending on payroll has been offset by systematic under-spend of domestic investment resources in recent years.

3.5 These deviations reflect weaknesses in budget planning, particularly for wage bill planning, and costing of MTEF programs and activities, and in the procedures for initiating spending on investment items. In addition, as indicated above, a significant factor contributing to these deviations is the difference in the way contingency amounts are reported in the budget compared to the CAGD reports; comprehensive reporting on contingency by MDA in the CAGD reports would help to reduce these deviations. Thereafter, additional reductions would depend on implementing further improvements in budget formulation, particularly for investment resources. Better wage bill planning, in the form of both completing wage negotiations before the beginning of the fiscal year to feed into the preparation of the budget, and avoiding further increases in the wage bill share of GDP, would be a significant step forward in this regard. Earlier approval by Parliament of the budgets for DACF and other statutory funds (i.e. before the beginning of the new fiscal year) would also assist in the planning and execution of both the funds' budgets as well as those for local governments.

***Predictability of the budget***

3.6 Predictability of budget implementation involves ensuring that resources to MDAs are provided in accordance with budgetary needs and in line with planned disbursements, given sufficient availability of cash resources. As the analysis of quarterly spending patterns across items shows (Table 3.2), not all expenditure items are disbursed regularly throughout the year; in particular, there are relatively limited expenditures on services and investment in the first quarter of the year.

**Table 3.2: Quarterly Pattern of Expenditure, 2006[1]**

| | Q1 | Q2 | Q3 | Q4 |
|---|---|---|---|---|
| Personal Emoluments | 18.8% | 24.9% | 30.1% | 26.2% |
| Administration Activity Expenses | 24.1% | 26.7% | 24.0% | 25.3% |
| Service Activity Expenses | 11.8% | 26.3% | 30.5% | 31.5% |
| Investment Activity Expenses | 7.9% | 28.7% | 24.7% | 38.7% |
| Total | 17.5% | 25.9% | 28.3% | 28.3% |

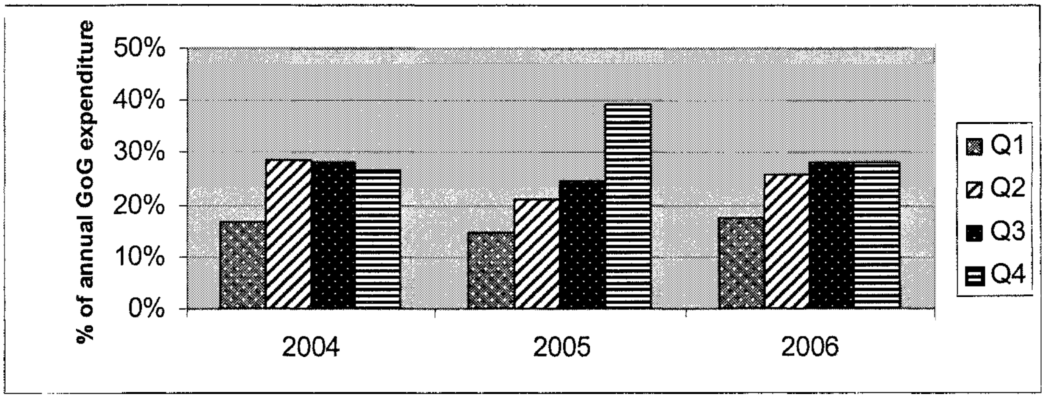
1. GoG discretionary spending only, excluding HIPC.
Source: End of Quarter CAGD Reports.

3.7 Whilst it might be expected that the earlier approval of the budget[35] and the additional time granted to MDAs to prepare their expenditure plans, particularly for investment, could have resulted in changes to the pattern of spending, there is as yet no concrete evidence of any

[34] See Table 1 of Statistical Annex
[35] Beginning with the 2006 budget and continuing with the 2007 budget, Parliament approved the Appropriation Act in December 2005 and 2006 respectively, up to three months earlier than in previous years.

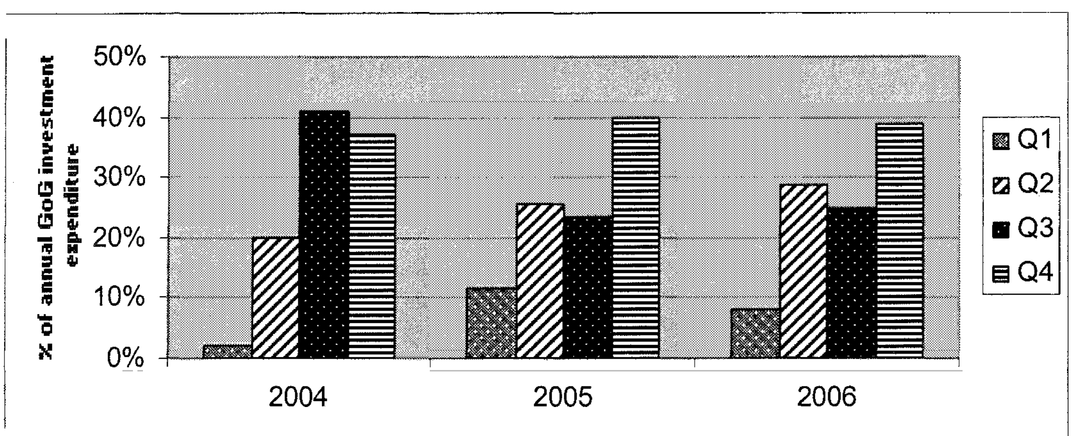
changes (Figure 3.1). As shown, there is no discernible quarterly pattern between 2004 and 2005, with which to compare with 2006.[36] Throughout the three-year period, the majority of spending took place in the second half of the year (e.g. 57 percent in 2006 as against 55 percent in 2004).

**Figure 3.1: Distribution of GoG Discretionary Expenditure by Quarter[37]**




3.8 Since investment spending is the least predictable and requires the longest preparation time, it might be expected that this item would benefit from the earlier approval. However, as Figure 3.2, shows, this does not appear to be the case. Investment spending is overwhelmingly concentrated in the second half of the year (e.g. 63 percent of total spending in both 2005 and 2006).

**Figure 3.2: Distribution of GoG Investment Expenditure by Quarter[38]**




3.9 In some cases, it may be that the earlier approval of the budget beginning with the 2006 budget and the possibility to spend earlier has not necessarily filtered through to MDAs, so that they may be operating under the old system where there was no expectation of significant

[36] The determination of a stable quarterly pattern is not assisted by errors in CAGD outturn data.
[37] Excludes HIPC, MDRI.
[38] Excludes HIPC, MDRI.

spending in the first quarter of the year. There was anecdotal evidence that some were not aware of the re-engineered business processes for release of funds to the decentralized treasuries.

3.10 Nonetheless, in terms of procedures, there has been progress in strengthening in-year budget implementation in recent years through:

- Stronger cash management, particularly in terms of the functioning of the weekly Treasury management committee and the communication of MDAs' spending needs and cash availability on the one hand and the provision of monthly cash ceilings on the other.
- Requirement for MDAs to submit annual expenditure and procurement plans at the beginning of the year and, increasingly, as part of the budget preparation process to provide earlier information on the timing of spending requirements to MoFEP.
- Further strengthening of commitment controls through procedures which ensure that procurement for services and investment in particular cannot be begun without ensuring that the necessary resources are available.
- The facilitation of the payment process by MDAs through the use of decentralized treasuries.

3.11 The commitment control system involving information flows between MoFEP/Central Treasury and MDAs, and the issuing of cash ceilings and releases to MDAs, based on cash availability, has ensured that the budget has been maintained in aggregate, as indicated by the analysis of budget deviations. However, MDAs continue to face challenges in implementing their budgets in a predictable manner, and this can contribute to increased budget deviations for MDAs. If budget implementation processes were working in an ideal manner, cash ceilings would be expected to be issued by item in accordance with the monthly expenditure plans prepared (and regularly updated and communicated to MoFEP) by MDAs, followed by a similar level of releases to decentralized treasures for the given month, followed by payment amounts made in a timely manner on those items for which cash ceilings and releases were issued.

3.12 In practice, an analysis of 2006 budget implementation highlights a number of specific areas of challenge, in which there are cases where:

- Cash ceilings and releases show considerable variation across months (e.g. no releases were recorded for investment for MoESS for the period from January to May).
- There are inconsistencies between cash ceilings and releases (e.g. there were cash ceilings issued each month for investment for MoESS for the period January to May.
- Appropriated and actual expenditures are similar to each other (i.e. small overall deviations) but cash ceilings and releases are lower, meaning that some expenditures take place outside of the ceiling and release process.
- Appropriated amounts, cash ceilings and releases may be in line with each other, but expenditures are significantly greater (e.g. Ministry of Agriculture investment).
- Actual payments (expenditures) are much lower than appropriated (e.g. Works and Housing investment), suggesting delays or other issues with procurement procedures.

3.13 Analyzing the different stages of the implementation process by spending item shows that budget implementation continues to be geared towards meeting payroll obligations, as shown by analyzing the different stages of the implementation process (Table 3.3). The data indicate that cash ceilings and expenditure releases for both personal emoluments and administration (which is also related to spending on personnel) follow predictable patterns broadly in line with appropriated expenditures. For administration spending, releases were in line with cash ceilings but these were around 10 percent lower than appropriated; in fact, actual expenditures exceeded both releases and appropriated amounts (the latter by just under 30 percent). For services (non-capital goods and services to support sectoral service provision), whilst releases ended up being broadly in line with planned (appropriated) spending, cash ceilings (which are expected to be related to releases) were around 35 percent lower than releases.

**Table 3.3: Analyses of 2006 Budget Implementation by Economic Item (billion cedis)[1]**

| | **Appropriated[2]** | **Cash Ceilings** | **Releases** | **Expenditure** | **Releases as % of budget** | **Expenditures as % of budget** |
|---|---|---|---|---|---|---|
| Personal emoluments | 10,011 | 10,066 | 10,066 | 11,415 | 100.5% | 114.0% |
| Administration | 2,239 | 1,987 | 1,987 | 2,867 | 88.8% | 128.1% |
| Services | 1,242 | 807 | 1,241 | 1,277 | 99.9% | 102.8% |
| Investment | 5,506 | 712 | 1,106 | 2,836 | 20.1% | 51.5% |
| TOTAL | 18,998 | 13,572 | 14,401 | 18,394 | 75.8% | 96.8% |

Notes: 1.Data show GoG discretionary expenditures only and exclude HIPC and MDRI.
2. Including original and Supplementary Appropriation Acts.
Source: MoFEP – Activate database.

3.14 More concerning is the fact that investment expenditures are the least predictable and suffer most when either revenue receipts are lower than planned or an expansion of other expenditure items, particularly payroll, is approved. As the data for 2006 show, whilst releases were around one-fifth of appropriated amounts but approximately 50 percent higher than the cash ceilings, they ended up representing around 40 percent of actual expenditures. Without suitable levels of capital investment and appropriate maintenance of this investment, it will be more difficult to sustain improvements in basic services (e.g. primary education) and thereby the gains from increased growth and poverty spending.

**Table 3.4: Analyses of 2006 Budget Implementation for 10 Largest MDAs**

| | Appropriated[2] | Cash Ceilings | Released | Expenditure | Releases as % of budget | Expenditures as % of budget |
|---|---|---|---|---|---|---|
| Ministry of Education | 5,781 | 5,884 | 6,022 | 7,193 | 104.2% | 124.4% |
| Ministry of Health | 2,012 | 1,310 | 1,588 | 2,553 | 78.9% | 126.9% |
| Ministry of Road Transportation | 1,490 | 286 | 218 | 834 | 14.6% | 56.0% |
| Office of Government Machinery | 1,155 | 614 | 548 | 493 | 47.4% | 42.7% |
| Ministry of Interior | 1,119 | 847 | 856 | 1,059 | 76.5% | 94.6% |
| Ministry of Defence | 817 | 357 | 513 | 860 | 62.7% | 105.2% |
| Ministry of Finance | 621 | 223 | 230 | 324 | 37.0% | 52.2% |
| Revenue Agencies | 595 | 562 | 455 | 643 | 76.5% | 108.1% |
| Ministry of Foreign Affairs. | 571 | 471 | 451 | 639 | 79.1% | 111.9% |
| Ministry of Works/ Housing. | 484 | 73 | 150 | 194 | 31.0% | 40.0% |
| Total 10 largest ministries | 14,644 | 10,628 | 11,031 | 14,793 | 75.3% | 101.0% |
| Remaining ministries | 4,354 | 2,945 | 3,370 | 3,602 | 77.4% | 82.7% |
| TOTAL | 18,998 | 13,572 | 14,401 | 18,394 | 75.8% | 96.8% |

Note: 1.Data show GoG discretionary expenditures only and exclude HIPC.
2. Including original and Supplementary Appropriation Acts.
Source: MoFEP- Activate database

3.15 Examining the same type of analysis of budget implementation for the largest MDAs (Table 3.4) shows that those MDAs with a significant share of investment in their domestic budgets (e.g. Road Transport and Works and Housing) have lower cash ceilings and releases than those with lower shares of investment, reflecting the relative unpredictability of the implementation of planned investments, both in terms of Treasury release of resources as well as the difficulties in MDAs' implementation of investment projects (the relation between these two elements is discussed in this Chapter below).

3.16 Some of the reasons for these challenges both for spending items and across MDAs may include:

- Lack of adherence to procurement procedures by MDAs, due to lack of familiarity of these procedures or otherwise. The effect of this may be felt through cash ceilings being issued but no releases made due to not fulfilling the requirements for authorization of procurement, specifically, the issuance of a commencement certificate to the MDA by MoFEP. This is likely to be a particular problem for investment and, to some extent, services.
- Limited information on MDA expenditure requirements through the year, due to the lack of comprehensiveness and updating of expenditure plans by MDAs, including the lack of adherence to the requirement to submit procurement plans, thereby undermining the ability of MoFEP to take into account their expenditure timing needs during budget

preparation and the initial phases of implementation (and thereby affecting the timely issuance of cash ceilings).

- Problems or errors in the recording of commitments in the paper-based system, such that the inputting of commitments in the database is not comprehensive, although they are following the correct procedures.
- The paper-based system may affect the actual timing of releases relative to their expected timing (in line with cash ceilings).
- Paper-based procedures for requesting releases, particularly from the district level, may also affect the timing of releases. This year, for example, no releases are reported to have been made for education spending in districts on services and investment from January through May. An important factor appears to be the detailed processes required (including submission of work plans and monthly cash requirements) to get the requests for expenditures from the districts up to the headquarters.
- Commitment control system may not capture all expenditures, e.g. payment of back pay, once pay negotiations are completed or the procedures for bringing personnel onto a particular pay grade (e.g. for newly qualified teachers).
- It is possible that some extraordinary expenditures may otherwise be authorized outside of the commitment control system, although there is no evidence of this.
- As discussed above and as permitted by FAA, expenditure reallocations, or virements, are made within budget items during the year.[39] If some of these reallocations were made retroactively or across items, then one would not necessarily expect resources to follow the pattern of phases in the commitment control process.

3.17 Further study would be required to analyze the extent to which each of the above reasons contributes to weakening budget implementation at MDA level. From this detailed analysis, a set of corrective measures could be drawn up.

***Budget transparency***

3.18 Budget transparency involves comprehensiveness and accuracy of the information, timeliness of its availability, and accessibility to as wide an audience as possible. GoG's commitment to improving the public's access to budget information is evident. There is already a significant amount of information on the MoFEP website, including current and past Budget Statements and Economic Policy, the Minister's budget speeches, other officials' speeches, analyses of debt trends, and a number of monthly CAGD budget execution reports.

3.19 Nonetheless, some of the information could be made available in a more timely manner. The Budget Statement itself is made available immediately, both in print and in electronic form, and representatives of civil society report that availability of the budget to the public has improved. Less progress has been made on reporting on actual budget spending. The end-of-

[39] The FAA permits MoFEP and MDAs to make extensive administrative reallocations (e.g. MDAs may make changes within economic items with the exception of Item 1, and across items by permission of MoFEP within the overall MDA total) without recourse to Parliament. If the aggregate expenditure ceiling is likely to be breached, the Law requires that a Supplementary Budget must be approved.

year Financial Statement and audit reports are not easily available to the public. In terms of in-year reporting, whilst some progress has recently been made on posting monthly CAGD reports on the MoFEP's website, further improvements are recommended. In November 2007, the most recent report posted on the website was for March 2007.[40] The value of this budget information is in its immediacy, not as a historic reference document. Keeping the monthly expenditure information up-to-date should be a relatively simple process, but it may require establishing a regular (institutional) routine to ensure that the posting of the information is systematic and completed within no more than 4-6 weeks after the end of the month. At the same time, the monthly budget execution reports and the Annual Financial Statements contain numerous errors, including column totals that don't match the figures in the columns, transposition of expenditures figures between lines, and differences in the recording of the same item across different tables, which hamper good fiscal reporting and render fiscal analysis difficult.

3.20 Increasing accessibility and understanding of the public to budgetary information may be more of a challenge. Firstly, relatively limited access to the internet, particularly outside of Accra, limits the general population's ability to gain access to the information on the website. Secondly, the technical nature of the information, and its degree of aggregation, are understandable to a relatively small audience. More timely preparation and dissemination of the citizen's budget would be useful; in 2007, the citizen's budget was not made public until mid-year. Finally, increasing demand from Parliament for understandable information on planned and actual spending would help clarify the needs of the wider public and give motivation to GoG to provide this type of information.

[40] As of end-November 2007, the October fiscal report had been issued by CAGD. At that time, however, the March 2007 CAGD reported was the latest posted on MoFEP's website.

### Box 3.1: Budget Information for the Wider Public

timely, accurate, comprehensive and useful information on the state's fiscal activities helps ensure accountability of the government to its population. In this regard, GoG's commitment to improving the public's access to budget information is evident, including actively seeking engagement from the public in the budget-making process, making available the Budget Statement to civil society, the media and the wider public, and providing fiscal information on MoFEP's website. Nonetheless, some of the information could be made available in a more timely manner, and greater accessibility to the wider public, both in terms of availability of information, as well as its understandability, could be improved. The following table provides suggestions on the types of budget information which could be provided more widely, taking into account the: (i) accessibility of information; (ii) timeliness of the provision of information; and (iii) digestibility of the information.

| Type of Information | Current Dissemination | Remarks |
|---|---|---|
| Annual Budget Statement | In print and on MoFEP website | Widely disseminated |
| Supplementary Budget | MoFEP website | Widely disseminated |
| Minister's Budget Speech | In print and MoFEP website | Widely disseminated |
| Appropriation Act | Not readily available to the wider public | Could be added to MoFEP website |
| Citizen's Guide to the Budget Statement | Not available to the public in a timely manner | When prepared, could be added to the website |
| GPRSII | NDPC website | MoFEP link to NDPC website could be made |
| Mid-Year Budget Statement | If prepared, not publicly available | Could be added to MoFEP website |
| Budget Guidelines (circular) | Not publicly available | Could be added to MoFEP website |
| Macroeconomic data/reports | Ad hoc data/reports are available on MoFEP website | Links in the MoFEP website could be made to the regular macro reports produced by BoG |
| Monthly CAGD fiscal outturn reports | MoFEP website | Timeliness has been an issue – should be published on the website as soon as it is ready (and within 4-6 weeks of end of month) |
| CAGD year-end financial statements | Not easily publicly available | Could be added to MoFEP's website |
| Audited accounts | Not easily publicly available | Could be added to MoFEP's website, or links to GAS' website could be made, when operational. |
| Audit reports | Not easily publicly available | Could be added to MoFEP's website, or links to GAS' website could be made, when operational. |
| Awards of procurement contracts | Not easily publicly available | Could be added to MoFEP's website. Links to PPA website could be made. |

3.21 Box 3.1 above and Annex 2 provide additional suggestions on how to make further progress on improving budget transparency. To go beyond the use of websites and improve accessibility and timeliness of budgetary information, it would also be worth considering dissemination of key budget information in different formats, including: (i) more use of the print and radio/TV media; (ii) public access points, such as libraries; (iii) external groups, such as NGOs or civil society organizations who work with communities; and (iv) development of a program to build public awareness of the importance and relevance of the budget and the budget process, incorporating a series of public district/village meetings.

**Short and Medium-Term Action Plan Focus Areas**

***Focus Area 1 – Fiscal policy management***

3.22 The Government recognizes that stronger fiscal policy management will require greater analytical capacities in order to ensure that the fiscal impact of potential revenue measures is taken into account. As the economy develops and greater domestic resources are directed towards infrastructure investment, a strong analytical basis for revenue projections will be needed to ensure that sufficient resources are available. To improve the analytical basis for these projections, including the likely fiscal impact of proposed tax policy changes, MoFEP is establishing a Tax Policy Unit (TPU). The Unit is currently staffed with personnel from the Policy Analysis Division and will be supplemented by Technical Support staff (recruited from outside of the civil service). Its initial analytical capacities will be supported by technical assistance funded by GTZ and the Swiss government. Issues currently being analyzed include a review of exemptions, and implementation of the new Excise Duty Bill, and possibilities of broadening the tax base through vehicle registration.

3.23 On the expenditure side, the challenges of fiscal management, particularly of keeping the wage bill under control and of providing energy subsidies whilst addressing energy shortages, have been covered extensively in Chapter 1. The discussion below on public investment (from paragraph 3.81) suggests that, in the short term, it will be particularly important to ensure appropriate economic and financial appraisal and value for money analyses for projects using resources mobilized through government borrowing on the international capital markets earlier in the year.

3.24 In order to learn more about how service delivery is affected by the budget implementation process, the government has launched two public expenditure tracking surveys (PETS) covering the health and education sectors. The PETS will help identify factors contributing to spending inefficiencies and provide recommendations to improve value-for-money in these sectors.

***Focus Area 2 – Budget formulation/preparation***

3.25 In recent years, the Ministry of Finance and Economic Planning (MoFEP) has made great strides in improving the budget preparation process, and the 2008 Budget Guidelines indicated that MoFEP is continuing to strengthen the budget process. Progress is being made in particular in:

- Improving the presentation of the budget to make it more comprehensive and easier to follow.
- Facilitating budget implementation and implementing good practice in budget management by ensuring that the Budget is appropriated before the end of the year.
- Linking budgetary allocations to GPRS priorities through the Activate database system.

- Strengthening the analytical scrutiny of budget proposals and thereby improving the effectiveness of budget hearings.
- Greater participation and engagement of the public in the budget process.
- Increased availability of budget information to the public.

3.26 GoG has consolidated improvements it had introduced in previous budget years. Specifically, as with the 2006 budget, the 2007 and 2008 Appropriation Bills were approved in December, prior to the start of the year. This facilitates budget implementation by ensuring that budget implementation plans, linked to cash projections, may be made before the start of the fiscal year. Attempts are also being made to bring forward the preparation and approval of the budgets for Statutory Funds and thereby improve the credibility of their budgets.[41] The latter would help improve the predictability of available resources and enable spending for these funds to take place from the beginning of this year.

3.27 The significant gains made in the comprehensiveness of the Budget Statement have been maintained, with improved coverage of IGFs, externally-financed expenditures and Statutory Funds. In the 2007 budget, the presentation of IGFs is more comprehensive, and MDRI expenditures were included in the 2006 unaudited accounts.

3.28 In terms of budget transparency, the reduction in the number of activities has potentially made the budget easier to read and facilitated the process of linking with policy objectives through making the coding process less burdensome.

3.29 As will be discussed in more detail below, the requirement to submit procurement plans during the budget preparation process has potentially helped with in-year budget planning. However, not all MDAs adhere to the requirement to submit such plans, thereby undermining the ability of MoFEP to take into account their expenditure timing needs during budget preparation.

3.30 The GoG recognizes that the process of facilitating the public to understand and engage with the budget process is important to build increased transparency and lead to better spending outcomes. Commitment to greater public participation in the budget process is clear. GoG has begun the consultation process for the 2008 budget early, with a call for the public to provide comments and advice on priorities for next year's budget appearing in the national media. It could be useful also to hold a series of public budget workshops both to get feedback during budget preparation as well as to inform the public about actions that are being taken in response to issues raised during the consultation process.

3.31 Progress has been slower in strengthening the linkages between GPRS priorities and medium-term budgetary allocations through the MTEF process. With immediate pressures on the recurrent budget, including on the payroll and on energy subsidies, it is difficult for MoFEP and MDAs to take a more strategic view for non-wage discretionary expenditures.

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[41] The budget of the NHIF was approved before the end of the year (December 15, 2006). The budget of other Statutory Funds were approved during the first quarter of the year (GetFund on March 22, 2007 and DACF on March 22, 2007).

3.32 At the same time, there is concern about the operationality of the MTEF, given weaknesses in budget planning as evidenced by the significant budget deviations at MDA level. There appears to be a disconnect between the detailed MTEF activities under objectives and programs and the ability to allocate these resources to these activities in practice. This reflects in part the large number of activities, making it difficult for Parliament and others to see how resources are allocated to meeting specific government policies. With the 2007-2009 MTEF, the number of activities was reduced from several thousand activities to 45 standard activities. However, whilst at the aggregate level the MTEF provides medium-term information and includes indicative totals for individual MDAs by source of funding, the detailed MDA Estimates (contained in separate volumes) include information only on the upcoming budget year and do not provide detail on indicative forward expenditures by activity. At the same time, the sector strategies underpinning the MTEF are not clearly set out.

**Box 3.2: Improving analytical capacities for budgeting**

Strengthening the link between objectives, policies and resource allocations is an important objective for improving the MTEF and ensuring better linkage with GPRS policy priorities. It is important that the allocations of resources are realistic, comprehensive of all resources, and reflect overall financial and physical capacity constraints. Improving MDAs' ability to analyze the cost-effectiveness of alternative options for meeting policy objectives, determine what activities will be required, and how much these activities are likely to cost is critical in this regard.

There are often considerable inefficiencies in the ways that resources are being used, such that existing resource allocations provide little guidance as to the true costs of providing services efficiently. These problems are exacerbated by the fact that financial management often provides limited detail of the unit costs of providing a particular service or running an institution; whilst the information may be available, locating it requires considerable analysis.

Thus, improving the analytical basis for budgeting involves a longer-term process of building up detailed information on the costs and benefits of Government services and activities. Broad programs (as distinct from objectives) may be useful to build this information in such a way that it is clearly linked to government objectives, thus allowing setting priorities among those on an informed basis, but that is not so detailed that the overall strategic direction is lost.

Since comprehensive costing exercises exert substantial and resource-intensive information and analytical demands, the initial priority should be to examine where resources are currently being deployed and to identify those activities which can be undertaken more efficiently, leading to cost savings. It will be important to improve information flows on resources to MDAs, including actual and planned disbursements of external resources, and consolidated information on investment programs, including allocating investment resources in the short and medium term on the basis of total project cost, as opposed to discretely on a year-by-year basis.

Enhancing analytical capacities in MDAs, as well as in MoFEP, will assist in this process. Specific training on budget policy analysis for Budget Division staff in MoFEP can facilitate the evaluation of MTEF and expenditure proposals from MDAs. Similarly, training of MoFEP and MDA staff in budget planning and evaluation techniques (both direct training and training-of-trainers) could be undertaken. Finally, it would be useful for MoFEP and NDPC to develop joint programs for strengthening capabilities in MDAs to analyze public expenditure implications and priorities arising from sector policies and strategies, and to integrate such analyses into MTEF proposals and budget requests.

3.33 In effect, planning of allocations seems to be largely a mechanistic process. Non-discretionary expenditure items (primarily, personal emoluments and administration) for programs and activities are prioritized separately from those estimates which are more discretionary (primarily, services and investment). It is still early days in moving away from a more incremental budgeting process to one where allocations are based on detailed analyses of the likely cost effectiveness of different policy options to meet policy objectives and the identification of efficiency savings.

3.34 Ultimately, these weaknesses are a reflection of capacity constraints at the MDA level. Whilst there have been improvements in the process of MDAs' review of their sector policies, nonetheless analytical capacity constraints mean that many medium-term sector strategies are not fully costed, realistically incorporated into the forward budget estimates, particularly with multi-year investment expenditures, and help to strengthen the process of expenditure prioritization. At the same time, in-year reductions in allocations in one year have an impact on the reliability of the estimates for forward years. In order to make the MTEF at sector/MDA level more meaningful, it would also be useful to develop progressively the format, content and analysis of MTEF strategies to provide clearer guidance for the preparation of budget estimates. Broad descriptions of the strategies underlying the allocations would provide a better basis for analyzing the appropriateness of these allocations and hence the justification for MDA budget requests. At the same time, it would be useful to try to simplify the process by analyzing broader-based programs rather than detailed objectives (see Box 3.2). GoG's and MoFEP's emphasis on improving the relevance of budget hearings may provide an opportunity to strengthen this message.

3.35 The inability to report during budget implementation on the same basis as the very detailed MTEF outputs and activities also hinders the linkage to overall objectives; in other words, there is currently not a mechanism to link activities to resources during budget implementation. The existing classification system used by CAGD does not include the activity codes[42], so reporting on expenditures may not be done on the basis of planned activities, such as those already recorded by the National Expenditure Tracking System (NETS)[43].

3.36 In order to strengthen budget formulation, including the relevance of the MTEF, the Government could build on the findings and recommendations of the "Report on deepening the MTEF process in Ghana" which was commissioned in mid 2007. Most likely, refocusing the MTEF will require to make it less detailed and more strategic, including:

- Incorporating wage-related expenditures (items 1 and 2) into the budget planning/prioritisation (MTEF) process to ensure that all resources are included in MDAs' strategic expenditure plans (and thus that appropriate trade-offs are made taking into account all resources).
- Examining ways to improve the strategic budget presentation to ensure that the links between policies and budget allocations are clearer, more succinct, and more understandable for Parliament. Discussions/workshops between MoFEP and

[42] Although it appears that such codes are being worked on.
[43] NETS is the CAGD system to generate routine monthly expenditure reports based on accounting data.

Parliamentarians (both PFC and PAC) could usefully look at the latter's requirements for improving budget scrutiny.

- Examining possible ways to improve the role of Cabinet in setting policy priorities and expenditure trade-offs across sectors.
- Examining budget classification requirements to enable strategic budget plans to be classified (and thus analyzed) in the same way as actual allocations.
- Examining ways to improve the credibility of outer year projections.

***Focus Area 3 – Budget implementation***

3.37 Improvements in budget implementation in recent years have been concentrated on three main areas: (i) strengthening the commitment control system and ensuring that resources are made available for implementation at the time that they are needed; (ii) facilitating the payment process through the introduction of decentralized treasures and laying the groundwork for moving to a Treasury Single Account (TSA); and (iii) improving the timely availability of budget implementation and accounting information through the implementation of an integrated expenditure management system (BPEMS).

3.38 Procedures for the implementation of the budget should ensure that resources are available to MDAs predictably and in accordance with the appropriations. In this regard, budget predictability involves the processes of knowing what expenditure commitments are planned over time (the timing of releases and commitment control) and ensuring the appropriate amount of liquid resources are available to meet these obligations (cash and revenue management).

3.39 Ensuring appropriate control of commitments and cash management continue to be a priority for MoFEP. The Treasury management committee continues to be operational and has improved the management of cash resources, thereby reducing the cost of government cash holdings. Bank accounts are being consolidated, with the eventual goal of establishing a Treasury Single Account (TSA).

3.40 In terms of cash releases, MDAs agree that the realigned treasuries have improved the speed of processing of payments and the release of funds, particularly for administration. However, as indicated above, the analysis of spending patterns across items over time showed that there is a greater emphasis on spending services and investment during the second half of the year. The analysis of releases during 2006 compared to monthly cash ceilings indicated that releases particularly for services and investment are not timed in line with the warranted amounts. These efforts are strongly supported and the review encourages government to take further action to address factors contributing to variations in budget implementation from commitments through actual expenditures. Mention was already made of the lack of releases being made to districts for education spending for services and investment. An important factor appears to be the detailed processes required (including submission of work plans and monthly cash requirements) to get the requests for expenditures from the districts to the headquarters.

3.41 It would be useful to study how to disseminate and simplify procedures for making requests for the release of funds, whilst still maintaining effective control over commitments. One option is to use the budget road shows to improve MDAs' understanding of revised business processes. As the use of IT in government grows, it might be worth investigating ways to move away from paper-based systems for these approval procedures.

3.42 The impact of delays in releases to MDAs' accounts due to not meeting required procedures also extends to Statutory Funds. In 2006, releases to NHIF represented around half of the level collected by the levy. Not only did this have an impact on the budget execution of the NHIF, but also the holding of these monies as cash balances represents a cash management issue.

3.43 Encouraging progress has been made over the last year on BPEMS. Five modules (purchase order, accounts payable, general ledger, accounts receivable and cash management) are being operated by a number of MDAs on a pilot basis, supplemented by continued manual processes. Monthly reconciliation reports are produced. Pilot MDAs report that there are no major problems with using the system. GoG appropriately commissioned two audit reports of the BPEMS system, which highlighted a number of hardware and software issues, including outdated hardware and limited server capacity. GoG has rightly undertaken to implement the audit's recommendations. The emphasis on ensuring that existing modules are working properly before rolling BPEMS out to the districts is appropriate. In the meantime, it would be appropriate to continue to use the existing budget planning and warranting systems (i.e. Activate) until the replacement system is fully operational. International experiences of introducing IFMS are useful. These would suggest that, given the comprehensiveness of the new system and the degree of migration required from multiple existing systems, implementation of the new system will need to be managed carefully in order to avoid disrupting the core budgeting and accounting processes. In particular, managers need to review business systems and processes, streamline and re-engineer existing processes and procedures, and train staff within the context of the transition from the existing to the new system.

3.44 In terms of fiscal reporting, timeliness of reporting improved later in 2007. While the July 2007 CAGD report was issued six weeks after the end of the month (September 14), the October 2007 report was the first released within the good practice standard of 4 weeks after the end of the month (November 23). Sustaining gains on timeliness is critical and the next challenge is to improve the comprehensiveness of reports by including externally financed project expenditures and internally generated funds by MDA. Attention would also need to be paid to improving data accuracy through careful data reconciliation before both monthly budget execution reports and the Annual Financial Statements are finalized.

***Focus Area 4 – Financial regulatory and management framework***

3.45 This component of the ST/MT Action Plan focuses on two main areas, procurement and internal and external audit. The issue of procurement is the subject of a separate chapter and volume (Volume II), whilst the role of procurement in the budget process is dealt with above. Thus, the discussion in this sub-section concentrates on internal and external audit.

3.46 Concerning external audit, the Ghana Audit Service (GAS) continues to show progress in clearing the backlog of audits and submitting the audited annual accounts prior to the statutory deadline of 30 June, with the final 2005 Consolidated Fund accounts completed on time. The final 2005 MDA audits were completed in January 2007.[44] The 2006 annual accounts for the Consolidated Fund were submitted by CAGD to GAS on 26th March 2007; the report on MDAs' accounts has not yet been submitted. The current status of financial statement audits is set out in Table 3.5.

**Table 3.5: Current status of audits of financial statements by GAS**

| Financial statements | Status[1] | Comment[2] |
|---|---|---|
| 1. Consolidated Fund | 31/12/05 | Current |
| 2. MDAs | 31/12/05 | Current |
| 3. Foreign Exchange receipts and payments | Draft 31/12/05 | Almost current |
| 4.Public Boards, Corporations & Other Statutory Institutions | Extensively delayed | Overdue |
| 5. Pre University Educational Institutions | Draft 31/12/05 | Almost current |
| 6. District Assemblies and Traditional Councils | 31/12/05 being complied | Slight delay |
| 7. District Assemblies' Common Fund | 31/12/01-04 under review | Delayed |

Notes: 1. The date refers to the year to which the audit refers. For example, 31/12/05 refers to the audit for the fiscal year 2005.
2. Refers to whether or not the audits are within the statutory deadline (referred to as "current").
Source: Ghana Audit Service.

3.47 The status clearly reflects the extensive efforts being undertaken to update and have current audited financial statements throughout all public sector institutions. Whilst most entities have been able to positively respond, the Public Boards, Corporations and Statutory Institutions still pose a formidable challenge as most of the accounts and financial statements continue to lag behind for several years. The additional challenges posed are the need to address the findings of the Auditor General where the accounts of the Consolidated Fund for the year ended 31 December 2005 were qualified on two counts: (i) unsubstantiated cash balances amounting to 4,565 billion cedis; and (ii) uncertainty regarding the recoverability of loans amounting to 6,710 billion cedis.

3.48 The Executive's timely follow-up to the findings of the Auditor-General (A-G), particularly where the accounts are qualified, could be strengthened. As required, audited entities provide a formal response to A-G on its findings in the audit reports, although the responses vary in terms of extensiveness and their timeliness. Part of the delay in their response relates to delays by PAC to debate the A-G's report. The A-G keeps a record of its recommendations on audit reports, the response by the entity, and the actions undertaken by the entity against each recommendation. However, the A-G does not report on the follow-up to these responses, in terms of verifying actions undertaken, in its subsequent reports, although it has indicated its plans to do so in future, at the request of PAC.

### *The Internal Audit Agency*

3.49 The Internal Audit Agency (IAA) was established by the Internal Audit Agency Act, 2003 with the objective to co-ordinate facilitate and provide quality assurance for internal audit activities within MDAs and MMDAs. As the internal audit function is still being established, it is too early to assess its effectiveness, although important progress has been recorded.

[44] Although the audit report is dated December 31, there was a delay in making these audits available.

Specifically, the IAA had set up 79 internal audit units (IAUs) by the end of 2006. The operational framework of the internal audit units, with procedures still being put in place or under review, has been enhanced by the adoption of public sector internal audit regulations and standards and the use of an internal audit manual and programs. The operational efficiency of the MDAs and MMDAs has been measured and monitored by the IAA by reviewing the submissions received relating to the: (i) internal audit charters; (ii) annual audit plans and (iii) quarterly audit reports. The quarterly internal audit reports have been further subjected to scrutiny for adherence to quality standards and compliance with statutory regulations and procedures. The total submissions of quarterly reports received during the four quarter period (4$^{th}$ quarter 2005 to 3$^{rd}$ quarter 2006) reflected 121 reports received out of a possible estimated 320. Whilst this rate of submission may appear low, it is reflective of the need to further strengthen the support being given to the IAA as it aims to obtain higher compliance from IAUs whilst at the same time maintain quality reporting. The 2006 IAA annual report highlights some of the challenges of obtaining higher IAU compliance, including capacity constraints amongst IAU staff in carrying out their duties according to the required standards.

***Ghana Audit Service and the Internal Audit Agency***

3.50 The relationship between the IAA and Ghana Audit Service (GAS) is good and should be strengthened by fostering formal dialogue between the two institutions to examine areas of commonality. Of particular interest are the special audits being undertaken. Performance audits are being undertaken by both institutions. GAS reports are made to Parliament whilst those of the IAA are directed to the appointing authority. The underlying objective of both initiatives is to promote economy, efficiency and effectiveness in which public resources are being utilized. Both institutions have the mandate to undertake the audits. The IAA is a relatively new institution and its work and coverage is continuing to develop at a rather rapid pace. The GAS also continues to broaden the scope of work which it undertakes and it has been noted that technical assistance has been requested to even further improve the technical skills of its staff to undertake forensic and procurement audits. Undoubtedly, an overlap appears imminent, which would not reflect the best use of the limited resources available.

3.51 Given these limited resources, external audit institutions are encouraged to adopt where possible the work of internal audit institutions where the standards adopted by the internal audits are sufficiently robust to permit the external auditor to place reliance on that work. Formal dialogue would serve as a first step to achieving that objective. The IAA (2007 to 2009) Strategic Plan should then be updated to capture these initiatives within a defined time scale. Shared planning of audit work would also assist in driving this agenda forward.

***The oversight role***

3.52 Responsibility to enforce and follow up of auditing findings is given to the Audit Reports Implementation Committees (ARICs).[45] ARICs are required under section 30 (1) of the Audit Service Act 2000 to be established in all ministries, departments, agencies, metropolitan, municipal and district assemblies. ARICs are responsible for following up Auditor General and Public Accounts Committee recommendations as well as internal audit reports. The majority of

[45] As in other countries, these committees assist MDA management to ensure that its funds are spent appropriately.

the existing ARICs are newly established during 2006 and comprise approximately 25 percent of the total required number. The effectiveness of any audit finding whether internal or external will be determined by the timeliness and fortitude by which the oversight body exercises its authority in that process. ARICs have a vital role to play in this process and their ability to perform will be paramount to strengthening the accountability institutions. The limitation of resources may hinder the establishment of ARICs to be undertaken in all MDAs and MMDAs. There is thus the need to prioritize the available resources to where the greatest possible gains and maximum impact can be achieved whilst bearing in mind the need for compliance with legal obligations.

3.53 There is an issue of the timeliness of Parliamentary consideration of the Auditor General's reports due to resource constraints of the Committee. The Public Accounts Committee (PAC) was unable to consider the 2000-2002 MDA reports laid before Parliament before the end of the Parliamentary session and hence, by Parliamentary rules, the consideration of the reports lapsed. PAC deliberated on the Auditor General's 2003 report on the accounts of MDAs, laid before Parliament in March 2005, and its report was adopted by the full House in July 2006. In October 2007, PAC has considered the Auditor-General's 2004 and 2005 reports of MDAs' accounts, presented to Parliament in February 2007. The audited report of the 2006 Consolidated Fund was presented to the Speaker of Parliament late in June 2007 but, as of end November, the report was yet to be presented to the Public Accounts Committee. Consequently, the report had not been laid before the full House at that time.

***External scrutiny***

3.54 There has been notable progress in strengthening external scrutiny in recent years, which is critical for ensuring accountability for the appropriate use of public resources. For the first time, the PAC's hearings on the 2004 and 2005 MDAs accounts were open to the public in October 2007. Opening the hearings to the public will help to hold the executive to account by scrutinizing the audit results against the testimony of executive officials and other experts, whilst at the same time raising public interest and awareness of important policy issues. In addition, public hearings may help create a greater understanding amongst the public both of the Auditor-General's function and of PFM oversight more generally.

3.55 Accountability for the use of public funds is also important during budget formulation. The Parliamentary Finance Committee takes an active role in scrutinizing the budget proposals; however, their work is hampered by the excessive detail in budget information for individual MDAs, and the lack of historical data (such that spending in recent previous years is not provided in the budget). The latter makes it difficult to follow and link the achievement of overall policy objectives and corresponding medium-term budget allocations. These factors limit Parliament's ability to scrutinize whether or not resources are being planned efficiently to meet the Government's stated policy priorities. Recommendations have been made above on strengthening budget formulation which should also facilitate Parliamentary scrutiny of budget proposals.

3.56 Powers for investigating fraud and corruption in the public sector rest with the Serious Fraud Office (SFO), the Commission for Human Rights and Administrative Justice (CHRAJ) and the Ghana Audit Service (GAS), but it is the judicial system (through the Attorney General and the courts) which is responsible for prosecuting cases. In general, SFO and GAS respond to reports of malpractice, rather than initiating investigations themselves. Other measures undertaken in recent years intended to strengthen governance in the use of public resources include the introduction of the Procurement Act and the Whistle Blowers Act.

3.57 The strengthening of internal audit, through the efforts of the Internal Audit Agency, is also a positive step in addressing improper use of public funds. In this regard, in July 2007, the IAA has launched a public sector fraud risk assessment across MDAs. The objective of the assessment is to enable the government to effectively monitor cases of fraud in the public sector and ensure that responsible public officers play their roles in fighting fraud where ever it is found as well as facilitate the processes of dealing with people who are alleged to have been involved in fraudulent practices. The IAA expects that discussion of the assessment's findings in a public forum, later in 2007, will help identify positive actions for fraud prevention.

***Focus Area 5 – Integrated payroll and personnel system***

3.58 It is clear that ensuring the full operationality of the upgraded integrated payroll and personnel system (IPPD2) is a priority for the Government. Implementation of the system has been under way since October 2006, when the central payroll for ministries and departments as well as Ghana Education Service (GES), the largest public employer, was fully migrated from the previous IPPD1 system, which was then shut down. While IPPD2 has been running, there were some teething problems earlier in 2007. Given that the system's authorizing environment to hire staff into public service proved to be weak, this function has been re-centralized.

3.59 The benefit of IPPD2 to the government is that it enables each MDA to run its payroll independent of all others and to consolidate the results of the payroll runs. In terms of payroll administration, a limited number (8) of pilot MDAs have online access to their payrolls; the remaining MDAs must use the central terminals in CAGD. GoG has a timetable for on-line access for the rest, but in the light of other challenges to the system it is reportedly delaying the roll-out for now. GoG's short-term plans to continue to improve the system include upgrading the software, increasing the amount of hardware to ensure sufficient server capacity in order to prevent downtime during payroll processing, improving constant (remote) access to the network, and further user training.

3.60 The upgrading of the system from IPPD1 represents a change in personnel management since IPPD2 includes the potential also to manage personnel human resources information, including recruitment, training and skill development, and potentially performance management. The realization of this potential of the system to manage personnel beyond payroll administration will require a number of agencies across Government to co-ordinate their activities, including OHCS and GES, as there is currently the separation of responsibilities for payroll information and for HR/personnel information. The gradual development of these further functionalities is expected to follow any changes introduced as part of the civil service reform program and is not expected in the short term.

3.61 In view of the progress made in introducing IPPD2, it is important to address the concerns about the effectiveness and reliability of the system, particularly in terms of its robustness, inadequate management and the number of errors generated. Insufficient management arrangements and inadequate attention to change management may exacerbate some of these problems.

3.62 The reliance on IPPD2 for the management of both HR and payroll means that the timeliness, accuracy, and completeness of data in the system are critical. With the speed of inputting required for the data on both central government payroll and now with the subvented agencies migrated onto IPPD2, there have been concerns about the accuracy and completeness of the data, resulting in errors in the payroll, due both to the speed of the migration from IPPD1 but also to systemic issues. Specifically, the errors appear to reflect a range of problems, including data inaccuracies (e.g. people being incorrectly identified as ghost workers), database problems, server capacity, as well as system crashes. These have led to errors being made in the size of deductions and payments made. Other problems include the lack of pay notices being sent, which together with delays in the transfers to bank accounts, causes confusion to civil servants; the lack of a remote back-up facility; insufficient back-up generators, and the lack of documented payment histories, which has led to the inability to validate the accuracy of salary arrears. The review welcomes the completion in November 2007 of a census (headcount) of the total payroll of public servants to validate both newly and previously migrated information.

3.63 In addition to the systemic problems of the payroll and HR system, there are also concerns about the lengthy manual verification procedures to get information on new recruits onto the system. In the case of GES, the largest Government recruiter, this has resulted in the delay of up to 7 months (October to May) before the new teachers are officially recognized as employed and their full salaries processed through the payroll (this affects around 9,000 new teachers each year).[46] Once they are transferred onto the system, they are entitled to receive their backdated wages. Whilst these are not considered to be salary arrears in strict cash accounting terms, the need to make these payments during the year increases the unpredictability of payroll spending, affecting cash management both for GoG as well as for the individual teachers. Government has indicated that it is planning to establish a post in Kumasi to serve the northern region in order to facilitate the processing and availability of payroll information to the regional and district offices that until now rely on Accra for updates to their payroll details.

3.64 The process of migrating data for the subvented agencies, which began in September 2006, is currently on-going, and MoFEP plans to complete this process in 2008. Migration of the data for subvented agencies has been slower than expected. There are questions over the accuracy of the data on numbers of personnel in these agencies, and limited verification of the data has taken place thus far. Since it is likely that the speed with which these are migrated is inversely related to the accuracy of the migrated data, it would be advisable to ensure that the timetable allows for the appropriate checks on the data to be made.

3.65 Furthermore, given the need to ensure robustness and appropriate management arrangements of IPPD2, MoFEP has commissioned two reviews (Performance and Health Check) of the system. The draft report was issued in August. After the report is finalized and issued to stakeholders, MoFEP plans to implement the necessary recommendations along a realistic timetable. International lessons of implementing such systems may be instructive in considering the recommendations of such an audit (see Box 3.3).

[46] Prior to that point, they are officially considered to be trainee teachers and are paid allowances as such.

**Box 3.3: International lessons for the management of computerized budget systems**

International lessons for managing computerized budget systems may be instructive in considering the recommendations of the IPPD2 audit. To be effective, implementation and management of new systems require [1]:

- Clear Government commitment and ownership, including clear institutional designation, clear authority to implement, and active involvement, with no undue delegation to suppliers.
- Clarity in roles and responsibilities of agencies involved.
- Robust systems of re-engineered business processes and controls, ensuring that sufficient skills and training in the new processes are available.
- Central agencies monitoring and ensuring compliance.
- Effective leadership and active management, including adequate management skills, managers with appropriate motivation, and in-house maintenance capacity identified, in place and properly costed.
- Capacity to operate and manage the new system with the new processes, including sufficiently robust hardware.
- Adequate resources for long-term operation and maintenance.
- Appropriate incentives/sanctions for compliance/non-compliance with the new system.

[1.] See Diamond and Khemani, "Introducing Financial Management Information Systems in Developing Countries", IMF Working Paper 05/196, 2005.

***Focus Area 6 – Aid and debt management***

3.66 MoFEP has strengthened its management capacity of external financial assistance through the Aid and Debt Management Division (ADMD), which has recently been upgraded from a Unit, with the recruitment of additional staff.

3.67 On the basis of information from both Government and development partners, ADMD compiles comprehensive information on flows of external assistance, including the amount of likely budget support for the coming year(s), the timing of releases, actual disbursements, as well as comprehensive data on project assistance. Amongst the five largest donors (World Bank, EU, AfDB, Canada and Denmark), ADMD receives comprehensive information on projections and disbursements of project flows for the coming year. However, the overall execution of official development assistance (ODA) to finance project implementation still falls short of budgeted targets (Table 3.6). In addition to improving disbursement of committed ODA, reporting (including execution rates for donors) needs to be improved as discrepancies still persist between ADMD data and the one collected for the annual CG meetings (see footnote 28 above).

**Table 3.6: Overview of Project Disbursements, 2006-2007**

| | 2006 – Actual vs Projected (%) | | | 2007- Actual vs Projected (%) 1/ | | |
|---|---|---|---|---|---|---|
| | **Total** | **Loans** | **Grants** | **Total** | **Loans** | **Grants** |
| **Total** | 78 | 87 | 71 | 44 | 55 | 32 |
| of which: | | | | | | |
| Min. Food and Agriculture | 99 | 93 | 104 | 32 | 37 | 29 |
| Min. Education | 133 | 64 | 190 | 54 | 106 | 30 |
| Min. Energy | 130 | 136 | 125 | 53 | 54 | 20 |
| Min. Finance and Econ. Planning | 146 | 238 | 126 | 26 | 49 | 15 |
| Min. Health | 61 | 79 | 55 | 53 | 53 | 53 |
| Min. Lands, Foresty and Mines | 43 | 68 | 35 | 33 | 40 | 29 |
| Min. Loc. Govt., Rur. Devel., Envir. | 156 | 159 | 146 | 31 | 34 | 26 |
| Min. Transportation | 57 | 67 | 39 | 35 | 38 | 25 |
| Min. Water Res., Works & Housing | 72 | 111 | 47 | 54 | 69 | 43 |
| Min. Trade and Industry | 11 | 12 | 9 | 30 | 54 | 12 |

1/ Actual by end-September, Projected for the year.
Source: 2006 –data from ADMD/MoFEP, May 2007; 2007 – 2008 Budget Statement, Annex 18

3.68 Work is also continuing with CAGD to include flows of external assistance in CAGD reports. In order to broaden the reportage of the budget, Government is taking steps to include information on all loans and grant agreements in the Government's Budget Statement. With this development, the CAGD reports are expected over time to encompass more complete revenue and expenditure information on externally-funded projects and retained internally generated funds[47]. As a result of the realignment of treasuries, which began in September 2006, information on externally-funded projects and on retained internally generated funds (IGFs) will gradually be integrated into treasury bank accounts, the exception being those externally-funded projects that still require separate bank accounts.

***Focus Area 7 – Revenue management***

3.69 The 2007 revenue targets assume significant efficiency savings by the revenue agencies. In recent years, the revenue agencies have made progress in improving tax administration.

3.70 The establishment of the Large Taxpayers Unit in 2004 to provide the approximately 360 large taxpayers with a "one-stop shop" services for direct and indirect taxes has been credited with increasing the collection particularly of VAT.

3.71 The establishment of the Non-Tax Revenue Unit in 2002 has had significant success in increasing the reporting of IGFs, as well as the amount collected for both lodgment and retention.

3.72 Recent introduction of the Revenue Protection Unit (RPU) and its mobile revenue protection teams have been particularly successful in increasing indirect tax receipts. In particular, there have reportedly been improvements in CEPS' attempts to capture/track attempted smuggling of goods along the border with Togo.

[47] The 2006 CAGD report and financial statements reports external loans by sources of funding. As for grants, only data for budget support is provided in this CAGD report.

3.73 Work has taken place in VATS and CEPS on improving IT systems. In particular, within the LTU, some degree of computerization/automation of direct and indirect taxes have resulted in the greater capture of these revenue sources. The agencies' long-term aim is to establish an integrated IT system that combines both indirect and direct taxes.

3.74 The Revenue Agencies Governing Board has helped to co-ordinate activities across the three agencies and succeeded in increasing revenue receipts in recent years. In terms of reporting, the reconciliation of accounts with CAGD and RAGB has improved.

3.75 Nonetheless, efficiency of tax collection operations is hampered by manual processes. For IRS, for example, it is difficult to link taxpayers to the sources of their income. Whilst a unique taxpayer identification number for all business taxpayers operates across all of the agencies, taxpayer information continues to be registered in separate systems for income tax, VAT, and customs and excise. The RAGB is in the process of linking the three systems, but the links are not yet operational.

3.76 Non-compliance is also an issue for the three agencies. For VAT, this involves under-registration, under-declaration of turnover and tax, and inflated claims for VAT refunds. Whilst penalties for infractions exist, enforcement appears to be patchy, and there continue to be breaches of taxpayer requirements for registration and declarations across the revenue sources. Penalties are reportedly set at too high levels leading to problems with evasion.

3.77 The collection of outstanding tax arrears continues to be a challenge for the revenue agencies. Arrears across the three agencies (CEPS, VATS, and IRS) totaled around 482 billion cedis (around 2 percent of total tax revenues) in 2006 compared to around 400 billion cedis one year earlier. Recovery of these amounts remains relatively limited.

3.78 Looking ahead, GoG has been examining ways to strengthen its revenue administration, including the possibility of restructuring the way that the revenue agencies are organized and managed, as well as improvements in information technologies through the introduction (e.g. in the case of IRS) and further integration of IT systems. To this end, the RAGB has a medium-term program (covering 2007-2009) for strengthening the IT base underlying the agencies. Areas planned to be addressed include: (i) increasing the automation within IRS; (ii) improving the networking and interconnection across agencies; (iii) increasing the comprehensiveness of information on risk profiling; (iv) improving data integrity; and (v) strengthening the registration and use of Trader Identification Numbers (TIN).

3.79 Areas to address in the organizational and operational capacity of RAGB and the revenue agencies include: (i) strengthening capacities for management, including strategy setting and internal audit; and (ii) identifying common management and administrative support systems and harmonizing procedures. Also being discussed are ways to enhance the audit function and thereby improve compliance through strengthened National Tax Audit Bureau: audit strategy, referral criteria, and referral mechanisms.

3.80 The efficiency of revenue collections and the Government's ability to increase the administrative efficiency including enforcement of its activities will be critical in achieving its planned revenue targets.

## SCREENING CAPITAL EXPENDITURES, ITS QUALITY AND INSTITUTIONAL ARRANGEMENTS

3.81 GoG is committed to increasing significantly its planned spending on investment, particularly to modernize and expand its infrastructure. It recognizes the need to strengthen the management of public investment in order to ensure that these resources are used efficiently and effectively and provide appropriate value-for-money.

3.82 No common framework and set of procedures exist for the planning and management of externally and domestically financed public investment. Procedures differ depending on the nature of the investment and the funding source. Until last year, the majority (around 60 percent of the value) of overall investment was externally-financed.[48] The planning and management of these investments tend to be undertaken in conjunction with the relevant development partner. These investments tend to be multi-year in nature and reasonably well-costed. By contrast, for most MDAs (with the exception of works/housing, and roads/transport) the majority of investment (by volume) tends to be for small-scale capital items (e.g. vehicles, office equipment, etc), rather than for projects. The majority of investment is annual.

### Current procedures for screening and managing public investment by MDAs

#### *Strategic planning of investment*

3.83 In terms of the strategic planning of investment, the GPRS is intended to be the guiding principle for prioritizing investments. However, it is insufficiently detailed to enable MDAs to plan their detailed investment programs. Some sectors have a medium-term development program (e.g. roads), but these may not be rolled over and/or linked to the MTEF. In practice, broad strategic planning of investment for the major spending sectors (e.g. health, education, roads) takes place annually, as part of the annual sector review with development partners, culminating in the preparation of the sector's Annual Program of Work (POW).

3.84 Nonetheless, large variations between investment allocations and outturns undermine the credibility and the integrity of the MTEF and the annual budget and undermine the ability for MDAs to be strategic in their investment plans. Such variances are due primarily to within-year cutbacks during budget implementation due to domestic investment allocations being treated as a residual in budget management; and overoptimistic budgeting of spending on both domestically and externally financed projects.

#### *Identification, preparation and appraisal*

3.85 The processes of investment project identification, preparation and appraisal differ according to the source of financing. Projects which are more substantial, many of which are funded by development partners, tend to be identified through discussions between the development partner and the relevant MDA and typically linked to supporting key sector policy objectives and related program initiatives (e.g. through the Annual Sector Review process). Projects are subject to relatively detailed preparation and appraisal, following the procedures of

[48] In 2006, the influence of MDRI meant that the value of domestic investment overtook externally-financed investment for the first time.

the development partner with much of the design and appraisal work undertaken mostly by external consultants.

3.86 Investments which are purely domestically-financed are identified through a decentralized (bottom-up) process, with the MDAs relying on their regional and district offices to gather requests for investment project proposals. Once a project has been identified, it is prepared, costed and appraised by the decentralized department or agency. There appear not to be guidelines for screening and appraisal criteria in current use.[49] In some cases, project requests may be made by MPs or District Assemblies. These requests are aggregated by the parent MDAs. Technical specifications and supply-side issues (needs-basis) are likely to be the main determinants in the selection of projects, as is the completion of on-going projects. Linkages to medium-term resource constraints and overall sector policy and program priorities appear to be less critical factors. In other words, initially-identified projects are needs-based rather than resource-constrained. During budget preparation, the investment proposals are discussed between the MDA and MoFEP and the proposals may be cut back to fit within the MTEF resource ceiling. In general, the use of in-depth appraisal in the preparation and analysis of investment proposals appears to be relatively limited.

*Approval and financing*

3.87 All capital investments, regardless of their source of financing, are included in the MTEF and the annual budget and go through the normal appropriation process. The approval process depends on the scale and type of financing for the investment. For large, strategically important projects and those involving external financing, Cabinet approval is sought.

3.88 Whilst the MTEF gives three-year resource indications, the MDAs prepare annual budget proposals which are above their ceilings (e.g. in education, for example, the initial total needs-based budget submitted was 75 percent higher than the final allocation of 7.9 trillion). Given weaknesses in the credibility of annual budgets (discussed above), particularly with respect to investment, and the practice (verging on the expectation) of additional top-up amounts following negotiation with MoFEP, planning for a higher budget amount represents a rational strategy for MDAs, although this may affect the efficiency of the preparation and negotiation process. The result is that investment planning and budgeting remain incremental. This, together with the use of a separate budgeting process for personnel and related costs, effectively undermines the strategic budget planning approach whereby all recurrent and investment resources should be prioritized and spending trade-offs made within the available resources (the resource constraint).

3.89 However, in some cases, particularly where detailed costings of investments are limited, MoFEP lacks sufficient information on on-going public investment projects to set realistic expenditure ceilings for the MTEF and the annual budget and hence MTEF ceilings are unable to take account fully of forward funding commitments, both those required to complete on-going projects adequately, and recurrent implications of investment. There is thus a break in the feedback loop between the MDAs, tasked with feeding their analytical information on the prioritization and costings of their investment projects and programs to MoFEP, and MoFEP,

[49] Whilst there were no doubt guidelines and procedures in place when GoG prepared PIPs in the past, these procedures do not appear to be widely used currently.

tasked with reviewing, analyzing and incorporating this information into the subsequent ceilings. Without the former, the latter cannot be fully informed.

### *Implementation*

3.90 All public investment projects are appropriated through the annual budget process. As part of the budget preparation process, MDAs are expected to prepare and submit annual procurement plans, indicating the expected monthly timing through the year and size of likely investments. This is intended to assist MoFEP with cash management and to ensure the availability of resources to MDAs to implement the budget through the year. Compliance with this request appears to be uneven. In future, it is planned that the non-submission of procurement plans will prevent MDAs from appearing at budget hearings.

3.91 Efficient implementation of investment projects is hampered by lengthy procurement procedures and non-timely releases of funds. As part of the strengthened commitment control procedures, releases for investment[50] are linked to the granting by MoFEP of a letter of commencement (LC), also known as a commencement certificate. Before an MDA can enter into (i.e. sign) a contract with a supplier, it must apply for an LC. Before granting an LC, MoFEP will ensure that the investment is included in the budget, and that the amount is within the relevant monthly ceiling. Without an LC, MoFEP will not release funds for the investment. Whilst these procedures have strengthened the control of commitments, they serve to slow down implementation of investments since the specific procedures are not necessarily universally known across MDAs. The result, as shown above, is that domestic investment is concentrated during the third and fourth quarters of the year.

3.92 The current procedures can lead to inefficiencies in the management of public investment. The reliance on single year contracts can lead to increased costs when contractors have to remobilize to continue work in the following year. The concentration of implementation activities during the latter part of the year means that contracting capacities are not efficiently utilized through the year contributing to increased unit costs. The small size of contracts reduces opportunities for achieving economies of scale and can be expected to further overstretch limited contract supervision capacities. At the same time, revenue shortfalls during the year can result in funding releases being delayed and budgets cut-back mid-year.

### *Reporting, Evaluation, and Auditing*

3.93 Evaluation of public investment is largely limited to externally financed projects and is undertaken either directly by or with significant support from development partners. The large number and relatively small size of domestically financed projects restricts monitoring to basic implementation and financial indicators. Internal evaluation within MDAs, through internal audit, is still relatively undeveloped. A more pro-active role for MoFEP and MDAs in monitoring public investment would help ensure that constraints to the efficient and timely implementation of investment projects can be identified and addressed, and lessons learnt from the review and evaluation of individual projects are fed back into the forward planning of public investment.

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[50] The same procedure applies to service-item expenditures.

**Strengthening Public Investment Management**

3.94 MoFEP has recognized that the financing of large-scale investment projects will require significantly increased analytical and management capacities beyond those already in place. As such, it is establishing a Project and Financial Analysis Unit (PFAU) reporting to 0the Chief Director. The objective of the Unit is to act as a high-level project evaluation unit to assess and monitor projects (mainly, relating to infrastructure in energy, transportation and water undertaken under public-private partnerships [PPP] agreements) to be undertaken specifically with resources raised from the international capital market. It is intended to function as an "Internal Consulting Unit" for these projects on behalf of MoFEP and to focus particularly on value-for-money considerations. Two approaches to its assessment work are being considered, either: (i) reviewing (appraising and prioritizing) as a whole the subset of all projects worth more than US$50 million; or (ii) considering relevant projects (those over the US$50 million threshold) on a project-by-project basis.

3.95 However, measures to improve the identification, appraisal and management of investment should not be limited to strategic investments. National procedures for project identification, appraisal and approval using domestic resources are poorly defined, are not applied uniformly and could be strengthened. As indicated above, externally-financed projects are subject to more rigorous selection and appraisal than domestically financed projects, and for the former there is also a more explicit approval process. Moving towards a common process to apply to both domestically and externally financed investments would ensure that all public investment is subject to a common appraisal requirement regardless of the source of financing. At the same time, strengthening capacities for costing, appraisal and evaluation would help ensure that investment represents an effective and efficient use of limited resources. This will be particularly important if the Government enters into PPP contracts, where international experience shows the importance of detailed planning and appraisal to ensure appropriate efficiency gains from this type of financing and better value-for-money than with purely public funds. Finally, overcoming delays in procurement procedures will be important to ensure that the release of resources for investment and the implementation of these projects are undertaken with more predictability and timed throughout the year.

3.96 To improve the implementation of public investment projects, the GoG could consider:

- Strengthening the co-ordinating and oversight function within MoFEP for public investment as a whole. This could take the form of a gradual extension to the functions and capacities of the PFAU, for example.
- As part of this oversight function, it will be important to ensure that strengthened procedures for project identification, appraisal and approval are documented (e.g. through the publication of investment guidelines or a manual) in order to ensure that the procedures are applied consistently.[51] These procedures should apply to all public investment resources, covering both domestically and externally-financed projects and should be planned and budged strategically through the MTEF process.

[51] Many countries produce guidelines for the appraisal and management of capital expenditure proposals in the public sector, including covering public-private partnerships. These provide a consistent framework for all public investment. Examples of these guidelines may be illustrative.

- Increasing the capacities in MDAs for the costing and appraisal of investment projects and the identification of recurrent cost implications for these projects.
- Strengthening the link between the budget and the MTEF through expanding the use of multi-year implementation contracts awarded against the total estimated cost of projects. This could be facilitated by grouping smaller investments within larger multi-year projects.
- Enforcing the requirement for MDAs to prepare annual procurement plans once the draft budget is finalized so that procurement procedures (including obtaining the relevant Treasury authorization) can start before the new financial year commences.
- Speeding up procurement procedures, including by gaining authorization for entering into contracts. This could include publicizing the revised business procedures in conjunction with the decentralized treasuries more widely.
- Strengthening internal audit and contract supervision capacities to ensure greater efficiency in the use of public investment resources.

### CONCLUSION AND NEXT STEPS

3.97 The Government continues to make positive progress in implementing its wide ranging program to strengthen PFM. Although it is too early to undertake a full update of the PEFA indicators, some recent developments may be mentioned. These include:

- The assessment of the procurement system provides information for evaluating the procurement indicator (PI-19), and for progressively improving procurement performance.
- Regarding the availability of information on resources received by service delivery units (PI-23): the GoG launched two PETS exercise early in May 2007 (covering health and education), and these surveys will provide information on resources actually received by front-line services, such as schools and health clinics.
- With the approval of both the 2006, 2007 and 2008 budgets before the beginning of the next fiscal year, significant progress has been made with the measure of timely budget approval by the legislature (PI-11).
- There is greater transparency in inter-governmental fiscal relations (PI-8) with the approval of the DACF formula before the beginning of the fiscal year.
- Progress in the quality of debt data recording and reporting (PI-17) will be assisted with the use of CS-DRMS for domestic debt.
- The undertaking of a payroll census will boost the measure of the effectiveness of payroll controls (PI-18).
- The strengthening of the internal audit function (PI-21) has improved the outlook for this indicator.
- The shortfall in revenue collections in 2006 will have affected the assessment of PI-3.

3.98 In other areas, however, there is concern that without additional efforts potential gains may not be realized. These include:

- In the absence of more complete reporting of external finance in CAGD reports, it would be difficult to realize potential improvements to the level of unreported government expenditures (PI-7). This is likely to require the leadership of CAGD and improved co-ordination between different departments in MoFEP and with DPs.
- Variations in the implementation process from commitments to actual expenditures will have an adverse effect on the predictability of expenditure planning information provided to MDAs (PI-16) and on the effectiveness of commitment control (PI-20).[52]
- Progress in improving the timeliness of external scrutiny of the Auditor General's reports could be undermined if the legislature does not complete their examination within 6 months from receipt of the reports (PI-28).

3.99 Building on this Review's findings and in order to further strengthen PFM and ensure that public resources are used most effectively, it would be useful to focus on implementing the following measures, many of which are already identified in the Government's action plan (see Table 3.7 below).

***Quick wins***

3.100 Building on the findings from the commissioned audit of IPPD2 and the recent census of public servants, implement corrective measures to address data inaccuracies, the robustness of controls, and the capacity of systems to ensure the adequate operationality of the payroll administration. At the same time, establish a back up system for the existing IPPD2 and finalize the planned migration of data from subvented agencies onto IPPD2. To reassert control of the wage bill implement the already adopted public sector reform program.

3.101 Containing energy subsidies while the government implements investments and reforms to bridge the gap in power supply and to remove bottlenecks in electricity transmission and distribution is essential along with firm actions to maintain the wage bill under control. Both are key to create the fiscal space to fund priority expenditures to promote growth and poverty reduction. With regard to the latter, going forward, efforts should be made to increase further poverty-related expenditures. In this regard, a study should be conducted to deepen knowledge about funding gaps faced by regions (e.g. northern region) with higher poverty incidence which should also review the adequacy of the sectoral composition of pro-poor expenditures. Moreover, analysis of regional distribution of public spending and its efficiency at sector level would contribute to identify actions to improve the impact of public expenditures.

3.102 Continued efforts remain necessary to improve the monitoring of expenditures, including by external actors, such as civil society. To improve comprehensiveness of CAGD reports and increase comparability with the budget, the key challenge is to include externally financed project expenditures and internally generated funds by MDA. Attention should also be paid to improving data accuracy through careful data reconciliation before both monthly budget execution reports and the Annual Financial Statements are finalized. In addition, it is important to ensure routine timely public disclosure of monthly CAGD reports on MoFEP's website and/or

[52] See discussion in paragraphs 3.8-3.15 above.

in the Gazette so that more systematic information on budget execution is available to the general public.[53]

3.103 At the same time, MoFEP may wish to consider improving the timeliness and dissemination of its Citizen's Guide to the Budget Statement to broaden the accessibility to budgetary information and thereby improve the quality of public participation in the budget process. Road shows could incorporate public meetings to explain not just the upcoming budget process but also the 2007 budget parameters.

**Table 3.7: Proposed Key Measures and Sequencing**

| PFM Challenges identified by the ERPFM | Recommendation | Sequencing: Quick win | Sequencing: Medium Term |
|---|---|---|---|
| Need to better control the wage bill and address weaknesses in payroll management and administration | Implement corrective measures to follow up on findings from census of public servants and IPPD2 audit, establish back up system and finalize migration of personnel information of subvented agencies onto IPPD2 | X | |
| Improve the comprehensiveness, quality and timeliness of in-year and end-year reporting on the implementation of the budget. | Include external financed project expenditures and IGFs by MDA in CAGD reports and improve data accuracy strengthening by reconciling data before report finalization | X | |
| | Ensure timely public disclosure of monthly CAGD reports on MoFEP website or Gazette. | X | |
| Weaknesses in the budget execution process | Address factors contributing to variations and delays in the process from commitments to actual expenditures | X | |
| | Improve budget execution of donor commitments, particularly project funding | X | |
| Need for strengthened processes to plan, develop and manage IFMIS | Implement recommendations from audit of BPEMS | | X |
| Continue revenue mobilization efforts | Implement measures to meet ambitious revenue targets | | X |
| Address the issue of significant budget deviations | Ensure consistent reporting on the use of contingency by MDA/line item between appropriated and executed budgets, particularly of personal emoluments, and bring forward public sector wage negotiations | X | |
| | Adopt short and medium-term measures to deepen MTEF process | X | |
| Strengthen the pro-poor focus and impact of public spending | Increase further poverty-related expenditures, including by targeting regions with higher poverty incidence | X | |
| | Deepen knowledge about funding gaps faced by regions with high incidence of poverty and efficiency of public spending at sector level[54] | X<br>X | |

[53] Good practice (PEFA) establishes at one month the timeline between in-year fiscal report completion and disclosure.
[54] Build on PETS and other studies.

| PFM Challenges identified by the ERPFM | Recommendation | Sequencing | |
|---|---|---|---|
| | | Quick win | Medium Term |
| Continue strengthening of capacities for external and internal audit | External audit: identify potential cost savings to enable GAS' limited resources to be deployed more effectively<br>Internal audit: continue to strengthen internal audit practices and build capacities in both IAA and across IAUs | | X<br>X |
| Need to ensure sustainable development of the energy sector | Contain energy subsidies while government implements investments and reforms to bridge the gap in power supply and to remove bottlenecks in electricity transmission and distribution | X | |
| Need to ensure value-for-money for all public investment resources | Establish PFAU, ensure robust procedures and strengthen institutional capacities for planning, prioritizing and managing public investment resources | | X |

3.104 To strengthen budget execution it is necessary to investigate in detail the specific factors contributing to breaks or variations in the budget execution process from commitments to actual expenditures. The results from this analysis should help identify time-bound corrective measures. In addition, improving budget execution of donor commitments, particularly of project funding, is also required to support the country's goal to further accelerate growth and poverty reduction.

3.105 Reducing the deviations between budgeted and actual expenditures is critical to improve budget credibility. In the short term, the Government could identify a set of measures (covering the short, medium and long-term) to deepen the MTEF process and improve the link between policy priorities and planned and actual expenditures. The recently commissioned analytical work on MTEF could inform this process. Moreover, it would be important to ensure consistent reporting on the use of contingency by MDA/line item in budget execution reports to facilitate comparisons between appropriated and executed MDA budgets. Finally, the review notes and supports the Government plans to bring forward public sector wage negotiations to ensure these are approved before the Annual Budget is finalized.

***Medium-and longer -term actions***

3.106 The analyses set out in this report also imply longer-term actions. Regarding BPEMS, it would be important to implement the audit recommendations, particularly to upgrade the hardware first (as identified in the audit) before introducing the Public Sector Budgeting (PSB) module. Examining lessons from international experience of IFMIS systems may be relevant. In particular, given the comprehensiveness of the new system and the degree of migration required from multiple existing systems, implementation of the new system will benefit from careful management (including a detailed change management strategy) to avoid disrupting the core budgeting and accounting processes.

3.107 The GoG fiscal strategy based upon rapid domestic revenue resource mobilization growth calls for measures to meet the revenue targets. This will require strengthening tax enforcement and the recovery of tax arrears, widening the tax base (e.g. flat VAT rate scheme and IRS tax stamp to cover the informal sector) and improving the efficiency of tax administration, including further computerization of the tax system. Such actions call for co-ordinated efforts by the Revenue Agencies, the RAGB, and the Tax Policy Unit in MoFEP.

3.108 On external scrutiny, it would be useful to prioritize scarce audit resources and identify potential cost savings to enable the Auditor's General's limited resources to be used more effectively. Greater efficiency in internal and external audit operations could result, for example, from measures to enable analyses by the IAUs to feed into reviews carried out by GAS. This would reduce potential duplication of effort and free up resources to apply to targeted performance reviews based on analyses of risk factors. It is clear that realizing these gains will require greater collaboration between the IAA and GAS. In addition, continued support to IAA to consolidate and deepen progress recently made in strengthening internal audit will be important, particularly with respect to building capacities in IAUs.

3.109 Ghana is likely to require continued high levels of public investment in order to sustain economic growth with substantial infrastructure investment requirements particularly in the energy and transport sectors. With the potential scaling-up of public investment, it will be important to ensure that all investments are planned and managed appropriately in order to ensure value-for-money. The setting up of the PFAU (particularly linked to access to international capital markets) at the centre with greater analytical capacity is a useful initiative – in future, the capacity built up could be used to boost MDA capacities for analyzing their investments. Looking further ahead, as resources for domestic investment become more significant and donor resources less dominant, it will be important to ensure that domestic institutional capacities for investment in terms of the project cycle and the overall prioritization of investment funds are strong.

3.110 At present, limited capacities to oversee and implement large projects and weaknesses in costing investment projects represent potential constraints to significantly higher levels of capital spending in the near term. At the same time, increases in investment expenditures will require higher levels of recurrent spending, both in terms of the maintenance of new infrastructure, but also to ensure that sufficient levels of accompanying labor, materials and supplies are provided for the operation of services using the infrastructure (e.g. schools). To the extent that PPP approaches provide a contract for an agreed level of services, these direct costs would be transferred to the private sector. However, international experience of PPP initiatives indicates that in order to achieve savings on operating costs, it is essential that a strong regulatory framework is in place and that the contract ensures an appropriate transfer of risk to the private sector operator.

3.111 Finally, it is worth noting that, in line with other countries' experiences of scaling up investment, capacity constraints, including staff capacities for carrying out technical and financial appraisal, and contractor absorption capacities, if not properly addressed, are likely to hamper a rapid increase in investment expenditures. Thus, it would be worth the GoG's reconsidering the extent of the planned scale-up over the medium-term and ensuring rigorous selection and prioritization of proposed projects.

# 4. PUBLIC PROCUREMENT

## BACKGROUND

4.1 In 2003, the OEDC/DAC and the World Bank established the Roundtable on Strengthening Procurement Capacities in Developing Countries with the aim to create better tools and techniques to strengthen procurement in developing countries. In 2005, the Joint Venture for Procurement was set up with a mandate to fulfill the Paris Declaration on Aid Effectiveness and its commitments to: strengthen national procurement systems; support capacity development; and use local country systems. The "Methodology for Assessment of National Procurement Systems" was developed as a tool to assess procurement systems.[55]

4.2 Ghana has been actively involved in the Roundtable and has developed a methodology for assessment of compliance and performance of procurement entities, referred to as the Public Procurement Model of Excellence (PPME). The tool was piloted in 2005 and a large scale assessment of more than 200 entities was carried out in 2006.

4.3 For 2007, the expenditures for public procurement in Ghana are estimated at over 17 percent of GDP and around 80 percent of tax revenue.[56] Due to the important role public procurement plays, there is a strong link between the efficiency of the national procurement system, its impact on Public Financial Management as a whole and the achievement of development goals stated in the GPRS II.

4.4 The goal of this assessment is to support the Government's reforms to increase the value for money (VFM) and to establish a baseline against which future progress in the quality and performance of the country's public procurement system can be measured. It follows the 2006 ERFPM finding to be critical to continue strengthening public procurement through implementation of the Public Procurement Board's reform strategy.

4.5 This chapter first summarizes developments since the CPAR 2003. Then, presents an overview of the: (i) independent review of the Government's self-assessment of the performance of its procurement entities; and (ii) joint assessment of the formal and functional features of the national procurement system. The following sections analyze the main strengths and challenges of Ghana's public procurement system, the Government's procurement reform program, the degree to which there is correspondence between the identified main challenges and the Ghana's ongoing reforms. Finally, it presents priority recommendations to further strengthen the procurement system, reviews institutional issues and sums up key conclusions and next steps. The comprehensive and detailed Public Procurement Assessment Report is attached as Volume II of the 2007 ERPFM.

[55] www.oecd.org/dac/effectiveness, Methodology for Assessment of National Procurement Systems (Version 4)

[56] Volume II, Chapter 1.

## DEVELOPMENTS SINCE CPAR 2003

4.6 The Country Procurement Assessment Review (CPAR) undertaken by the Bank in 2003 recommended actions to improve the public procurement system focused on all aspects of the system including the legal and institutional framework, procurement procedures, proficiency, oversight mechanisms and anti-corruption measures. Overall, substantial progress has been achieved since 2003 in strengthening public procurement Highlights include: (i) enactment of the Public Procurement Law (Act 663 given assent on December 31, 2003); (ii) establishment of the Public Procurement Authority (PPA); (iii) development of standard bidding documents and request for proposals; (iv) establishment of an appeals and complaints panel; (v) the development of a software package for procurement planning; (vi) the development of core short-term training modules for public officials, the private sector and national oversight bodies; and (vii) development of the PPME tool to collect and assess data on compliance and performance. A detailed account of implementation of actions recommended by the CPAR is presented in Chapter 2 of Volume II.

4.7 A number of other areas identified in the CPAR are being addressed by the Strategic Plan 2007 – 2009 of the Public Procurement Board. Among others, these comprise mainstreaming of the procurement planning and budgeting process, training of public sector entities and other stakeholders to undertake public procurement in accordance with the provisions of Act 663 and establishing a career path for procurement in the public sector.

## INDEPENDENT REVIEW OF THE GOVERNMENT'S SELF-ASSESSMENT OF PUBLIC PROCUREMENT

4.8 The Government's objective in conducting the 2006 self-assessment of public procurement was to obtain a countrywide view in terms of performance and compliance with the provisions of the Public Procurement Act (Act 663). The entities covered by the assessment were selected to achieve a nationwide overview and to cover six main categories of spenders including state-owned enterprises, central Government institutions, and local Government entities.

4.9 To conduct the self-assessment, the Public Procurement Model of Excellence (PPME) tool was used. For each entity, an individual assessment report was prepared. On this basis, three consolidated reports are generated to reflect the status of the procurement system at the national level: (i) the Performance Assessment System (PAS) Report groups the results of a number of qualitative Key Performance Criteria (KPC) into the areas of Management Systems, Information & Communication, Procurement Process and Contract Management; (ii) the Performance Measurement Indicator (PMI) Report presents quantitative data (percentages or number of days) for 16 performance indicators; and (iii) the Baseline Indicator System (BIS) Report is only produced at the national level by technically linking the KPC's of the PAS with the OECD Baseline Indicators. The findings of the government self-assessment are reported in the Nationwide Procurement Assessment Report 2006 issued in March 2007.

4.10 The development and implementation of the PPME tool is a remarkable achievement and highlights the government's commitment to monitor the implementation of its procurement law. Additionally, it contributed to dissemination of the new legislation and to raise management's awareness of the operational challenges involved.

4.11 The country's self-assessment was reviewed by the ERPFM team to validate the usefulness of the PPME tool to monitor public procurement practices at the entity level. The key findings of the review are the following:

- The findings of the PAS Report 2006 are credible given the information received from other sources such as interviews with procurement entities, and the private sector and considering the publicly accessible website of the PPA.
- To further strengthen the PAS qualitative assessments, the PPA has already identified the need to refine some Key Performance Criteria (KPC's) which proved to be difficult to apply in the self-assessment and at the same time considered not to be relevant. With a view to better align PAS results and the OECD/DAC Baseline system to deliver a unique range of qualitative compliance and performance data, the average rating of each KPC could be disclosed and linkage to the OECD/DAC Baseline indicators improved particularly with regard to the Compliance and Performance Indicators (CPI).
- To ensure a reliable and representative database for quantitative assessments, the Performance Measurement Indicator (PMI) Report would benefit from considering the following actions: (i) improve sampling of contracts which should cover goods, works and services (ii) adjust some formulae to be consistent with their stated objective; and (iii) strengthen key role of quality control. Due to these shortcomings, the validity of the findings of the PMI report and consequently the possibility to extrapolate its findings on performance is limited.
- To further improve the robustness of the PAS and PMI reports, it would be important to add to the entity selection criteria another dimension to ensure that the sample is representative with regard to the annual value of procurement operations.
- After review of the BIS report, the joint assessment concluded that the operational relevance of this report could not be clearly identified and therefore the PPA has decided to discontinue this PPME reporting module.

4.12 Overall, the PPME tool offers a good platform for tracking compliance and performance of public procurement systems. Once strengthened along the lines described above, the tool's robustness and reliability would be improved and the PMI report would be very useful to obtain nationwide quantitative results. PPA plans to use a refined PPME tool and methodology in rolling out the assessment later in 2007. The detailed independent evaluation of the Government's self-assessment is presented in Chapter 3 of the attached Volume II.

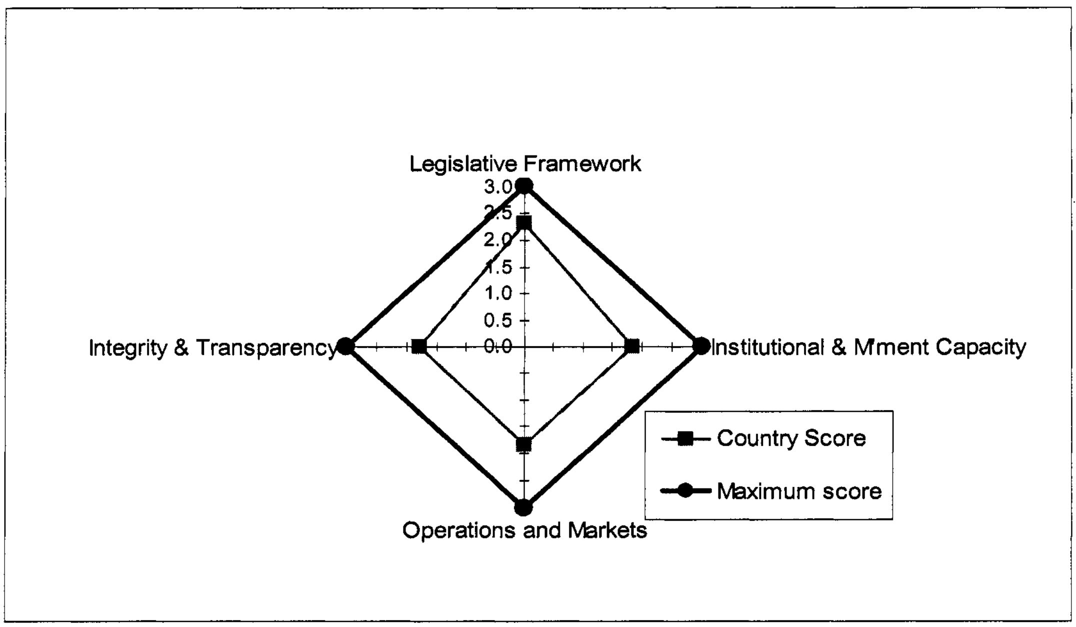
### JOINT ASSESSMENT OF PUBLIC PROCUREMENT USING THE OEDC/DAC BASELINE INDICATORS

4.13 The joint assessment using the OECD/DAC "Methodology for Assessment of National Procurement Systems" has been undertaken to evaluate the quality of the functional and formal features of the current system with a view to establishing a baseline against which future progress can be measured. While the Government of Ghana was mainly represented by the Public Procurement Authority (PPA), MoFEP, Ghana Audit Service and the Internal Audit Agency were also involved when assessing the linkages between public procurement and public financial management, external and internal audit mechanisms. Consultations took place with procurement entities, private and professional sector representatives and civil society organizations for triangulation of data and information.

4.14 The OECD/DAC methodology targets four pillars (Pillar I - Legislative and Regulatory Framework, Pillar II - Institutional Framework and Management Capacity, Pillar III - Procurement Operations and Market Practices, Pillar IV- Integrity and Transparency of the Public Procurement System) organized around 12 indicators and 54 sub-indicators. The sub-indicators were scored using a 0 to 3 scale in which:(i) score 3 indicates full compliance with the stated standard; (ii) score 2 indicates that the system exhibits less than full achievement and needs some improvements in the area being assessed; (iii) score 1 indicates that substantive work is needed to meet the standard; and (iv) score 0 indicates failure to comply with the proposed standard.

4.15 Whilst the majority of the scores were agreed by the joint team, there were some dimensions where agreement was not reached. These have been noted, in Chapter 4 of the Public Procurement Assessment Report, attached as Volume II, which provides the detailed assessment of each of the 54 sub-indicators covered by the OECD/DAC Baseline Indicators.

**Figure 4.1: Ghana's Public Procurement System - Score Aggregated by Pillar**




4.16 Overall, the joint assessment concluded that the quality of the Ghanaian public procurement system is above average.[57] As illustrated by Figure 4.1 (above) the strongest component of the country's procurement system is the robust legislative and regulatory framework (Pillar I) which is well within the norms with an average score of 2.3. All other Pillars reach an average score of 1.8.

[57] Taking average as 1.5, the mid-point of the OECD/DAC scale.

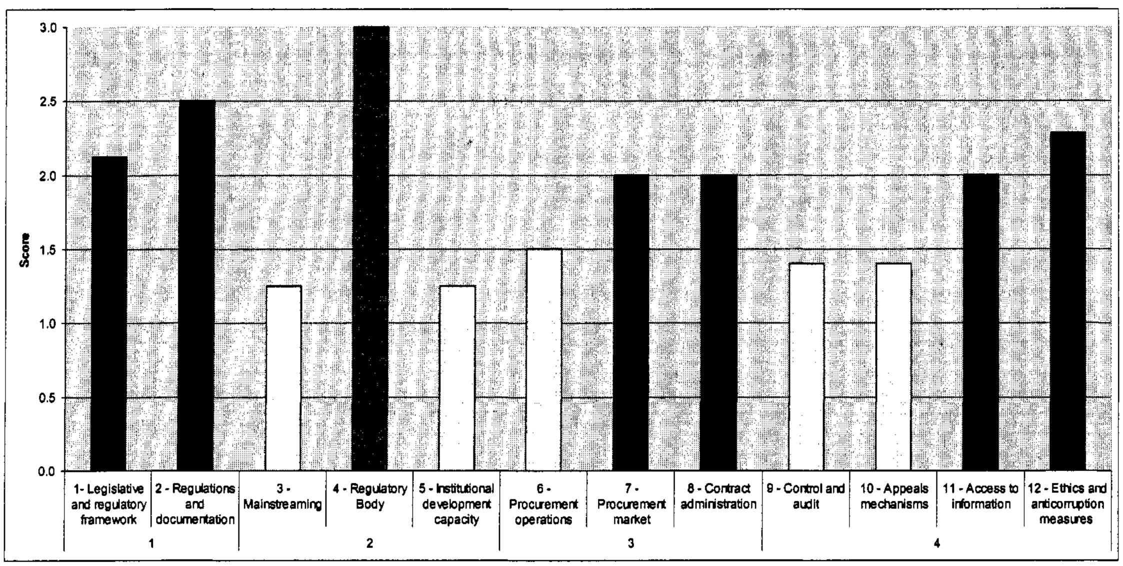
4.17 The above "big picture" conclusions are based on a detailed joint assessment of the OECD/DAC set of sub-indicators, summarized in Table 4 of the executive summary (Summary of the Baseline Scores - Ghana's Public Procurement System), with scores aggregated to the indicator and pillar level by applying simple average calculation. At the sub-indicator level, the assessment shows that about 30 percent of the 54 scores fully achieve (score 3) the OECD/DAC standards and another 41 percent less than fully achieve (score 2) those standards. Additionally, about seven percent of the sub-indicators (four in total) fail to meet the standard (score 0).

4.18 As illustrated by Figure 4.2 below, at the indicator level challenges to meet the OECD/DAC standards remain in the areas of further linking procurement with public financial management, enhancing the institutional development capacity, improving the efficiency of procurement operations and operational practices, addressing procurement-related issues in control and audit systems and making operational the appeals mechanisms.

### STRENGTHS AND CHALLENGES OF GHANA'S PUBLIC PROCUREMENT SYSTEM

4.19 The various strengths and outstanding challenges of the public procurement system in Ghana are highlighted in this section. First, it focuses on the Government's self-assessment, while the four following sections focus on each of the four pillars of the joint assessment.

**Figure 4.2: Ghana's public procurement system, score aggregated by indicator**




## The Government's Self-Assessment

4.20 With the development and implementation of the PPME tool, Ghana has established a good platform to track compliance and measure performance of the country's public procurement system. Also, the PPME has a high potential to deliver robust and well-aligned compliance and performance data for the OECD/DAC Baseline indicator system. In this respect, Ghana is well ahead of other developing countries and its experiences and lessons learned will prove valuable to them.

4.21 There are a number of outstanding challenges that the authorities may want to consider addressing to ensure that PPME attains its potential. They are mentioned in paras. 4.11 and 4.12 above, and include the need to increase the reliability, validity and general relevance of the tool. Specific recommendations are elaborated in paras. 4.50 to 4.67, below, under "Prioritization and Sequencing of Procurement Reform Program".

***Legislative and Regulatory Framework***

4.22 The establishment of a solid legal framework for public procurement is clearly one of the main strengths of the procurement system in Ghana. Act 663 should be welcomed as a notable achievement and represents a solid foundation on which to build. Moreover, once the Regulations currently in draft are formalized, Ghana will further complete its legal and regulatory framework which includes the Standard Tender Documents and Manual that are already in place. At the same time, the PPA has identified areas of improvement of the current Act which will possibly be amended in the near future. While dissemination efforts should continue, the law and supplementing documents have been posted at the PPA website and a public forum focusing on "Public Procurement and Good Governance" was carried out in August 2006.

***Institutional Framework and Management Capacity***

4.23 It is a notable achievement that Ghana scored a maximum of 3 for the indicator covering institutional set-up of PPA. Clearly the PPA rests on a solid legal framework with core funding from Parliament secured through the Act. Another notable success is the fact that the PPA in close collaboration with local training institutions (notably GIMPA) is at the brink of rolling out a nation wide short-term training program on procurement which is based on a comprehensive training needs assessment that was carried out in 2006. Moreover, PPA's commitment to improving management of procurement has been further demonstrated by the current initiative to put in place a web-based electronic interface for entry and submission of procurement plans at the entity level.

4.24 However, a number of challenges remain. These include the need for mainstreaming procurement planning into the national budget process. In particular, procurement plans need to be submitted by all procurement entities as part of budget preparation and they need to be revised to meet the forward budget estimates before expenses are committed. Another challenge concerns collection and analysis of national aggregated statistics which is likely to be facilitated by the development of the web-based procurement planning system. The launching of the Procurement Bulletin on August 22, 2007 is an encouraging development that needs to be consolidated through regular publication to provide comprehensive information on business opportunities and contract awards.

4.25 The PPA may also need to continue encouraging domestic training providers to follow in the steps of GIMPA with a view to provide a more diversified supply of both long and medium term procurement-related training programs. In this regard, GIMPA is already using PPA's training module in their courses. Given that the above mentioned training needs assessment revealed a lack of procurement competence at all levels (management, staff, review and control bodies), it is critical that along with training initiatives, efforts should be made to further professionalize procurement staff. The PPA will need to monitor that procurement entities do apply quality control standards (as outlined in the procurement manual) when conducting staff appraisals.

***Procurement Operations and Market Practices***

4.26 Ghana has made good progress defining the skills and knowledge profiles for specialized procurement jobs by proposing the establishment of a Career Path system for procurement professionals in the public sector and in establishing a national body for accreditation of procurement professionals.

4.27 The main challenge for the public procurement system lies in improving overall implementation and strengthening operations so that the country achieves the value for money that should follow from its robust legal and regulatory framework. There is a lack of understanding of the procurement law among all level of staff in the MDAs and MMDAs. This was confirmed by most of the procurement entities interviewed during the assessment. Moreover, the Ghana Audit Service, in the context of its regular financial audits, has detected examples of procurement thresholds not being respected by the procurement entities. This adds further to the impression that awareness of the applicable legislation and associated implementing instruments is insufficient at the level of the procurement entities.

4.28 It is however encouraging that GAS reports state that the number of violations is decreasing. Moreover, PPA has developed a comprehensive training program soon to be implemented which with the previously released procurement manual and standard tender documents create necessary (although not sufficient) conditions for strengthening procurement operations. The challenge is now to effectively implement the training program and ensure that issues singled out as particular weaknesses such as contract management and record keeping are effectively addressed. Moreover, stakeholders have pointed out that it will be necessary to ensure continuous quality assurance of the training program to make certain that it has the desired impact.

4.29 To further strengthen procurement competence, the establishment of a career path for procurement professionals, as suggested in the report - "Establishment of Career Path and Career Development of Procurement Professionals and Practitioners in the Public/Civil Service" - would create a platform for a systematic matching of skills against requirements for competitive recruitment. The PPA should be praised for having commissioned the report which is comprehensive and has specific proposals on a career structure for procurement professionals, with detailed skills and competencies profiles, requirements for advancement/promotion, and includes a draft 'scheme of service'. The report was approved on June 20$^{th}$, 2007 by the Office of the Head of the Civil Service with recommendation for immediate implementation. It will now be important for PPA to work closely with the relevant authorities so that the provisions of the report are implemented and used as a basis for future creation of positions, development of job descriptions, recruitment, training and staff appraisal. The rapid implementation of a career structure will provide a clear incentive for procurement professionals nationwide to engage themselves fully in the forthcoming training programs.

4.30 The PPA has also made significant headway in establishing a national body for accreditation of procurement professionals. A planning committee has been established, which has issued two separate reports: the final report for the constitution of the Ghana Institution of Procurement and Supply Chain Management (GIPSCM), and a corresponding code of ethics for the GIPSCM. The code is being considered by the PPA's board while the Institute is expected to be inaugurated by December 2008.

4.31 With respect to the capacity of the private sector to participate in the procurement market, in spite of Ghana displaying an increasingly vibrant private sector, the Micro and Small Medium Enterprises sector has limited international market exposure and a lack of management capacity. This results in a limited number of contractors who are in a position to compete for large-volume contracts. Private sector representatives consulted during the assessment reported that many bidders are not professional in their approach to preparing tenders. The tender documentation is reportedly studied superficially or examined too close to the submission deadline to allow them to prepare bids of the required quality. It is positive that PPA has held meetings involving private sector representatives and dedicated awareness workshops have been offered to a number of private sector organizations.

4.32 PPA faces an important task in continuing to reach out to the private sector to upgrade their skills and ability to bid for contract opportunities. The PPA and the Government in collaboration with private sector representatives may also consider ways to address the systemic constraints (eg. lack of access to credits) inhibiting access of particularly MSMEs to participate in the procurement market. The PPA's training program has targeted the private sector.

4.33 Finally, to provide for a more efficient procurement process, especially at the MMDA level, it will be important to consider how the current architecture of Entity Tender Committees and Tender Review Boards can be simplified. The PPA has already been considering ways to reduce the number of levels of Tender Review Boards and plans to deal with this issue in the proposed amendments of Act 663. At the same time consultations have indicated that the work load of the Tender Review Boards is excessive and that incentives for participating in the Boards may need to be reconsidered to make it more attractive.

***Integrity and Transparency of the Public Procurement System***

4.34 Arrangements for external and internal audits are well defined in the respective Acts for the Ghana Audit Service and Internal Audit Agency. However, except for donor funded activities, specialized procurement audits have largely not yet been carried out). In practical terms, the procurement audit framework is still at an early stage of development. Only 25 percent of MDAs and MMDAs have established internal audit units and internal audit standards focus mostly on compliance but not on procurement performance audits. Currently, about 25 percent of the entities have established Audit Reports Implementation Committees which are entrusted with assisting management to enforce and follow-up of audit findings. The procurement competence among auditors is generally low and planned support to the Ghana Audit Service (and Oversight Bodies) to strengthen their capacity should be implemented as a matter of priority. Consultations with private sector representatives have further indicated that institutionalization of professional procurement audits is expected to play an important role in detecting and preventing corruption.

4.35 With regard to the appeals mechanism for procurement-related complaints, it has been institutionalized with the recent establishment of the Appeals and Complaints Panel (ACP). By April 2007, 21 complaints had been received by the PPA. No information could be obtained on the status of any of these cases and there is no evidence that any decisions have been published. The ACP is dominantly composed by PPA members and therefore not fully independent and autonomous with regard to resolving complaints. Potential areas of interference or conflict of interest may arise and could for, example, affect the current definition of the right to review or advice given by the PPA help desk. It is vital to make the ACP fully operational and ensure that decisions are taken on the basis of agreed procedures and disclosed to the public to complement information already being made available.

4.36 Transparency of PPA operations is promoted by the wealth of information already accessible to the public through the PPA website and it would further benefit if the site listed up-to-date information on contracts awards and procurement plans. To further strengthen integrity of the procurement system, PPA, GAS and IAA should strengthen their coordination and work to raise the understanding of procurement issues among IAA and GAS staff.

4.37 Most of the tender documents contain anti-corruption provisions and offences are defined and penalties provided for in Act 663. Stakeholders consulted during the assessment identified the main problem as lack of implementation of what was generally perceived as a relatively solid legal framework for combating corruption. Some civil society organizations have started rolling out to implement initiatives to monitor compliance with the new procurement law and to track budget and expenditure in the field of public works.

4.38 Finally, to strengthen ethical behavior from within, the PPA plans to develop a code of conduct for procurement staff.

## OVERVIEW OF THE GOVERNMENT'S PROCUREMENT REFORM PROGRAM

4.39 MoFEP-led public financial management reforms include selected public procurement reforms. However, the three-year rolling strategic plan of the PPA is a more comprehensive document that outlines the main Government's actions aimed at strengthening public procurement. This PPA plan is revised annually to reflect developments and challenges during implementation of Act 663 and related legislative instruments.

### *MoFEP Public Financial Management Reform*

4.40 According to the "Three-Year Strategic Plan, Short and Medium Term Action Plan" which covers public financial management reform in general, MoFEP will continue to ensure that the provisions of the Public Procurement Act are fully implemented and applied including the submission to the PPA of procurement plans by key MDAs. More specifically the following two actions are identified as short-term priorities:

- Publishing the proposed PPA's monthly procurement bulletin containing detailed information on upcoming tenders, contract awards and resolution of complaints.
- Implementing the already developed procurement monitoring tool (PPME).

In the longer term the plan identifies the following procurement-related activities as priorities:

- Building the capacity and institutionalizing the role of internal and external audit, including the scrutiny of compliance with procurement rules and regulations.
- Benchmarking, Monitoring and Evaluation of 100 key entities.
- Harmonizing Law with BPEMS Purchase and Accounts Payable Systems.
- Completion of skills and training needs assessment.

4.41 With respect to the above actions, plans have been developed to increase the procurement expertise in both the internal and external procurement audit entities. PPA has made good progress in rolling out the PPME tool and has completed the training needs assessment. The Procurement Bulletin has been officially launched on August 22, 2007. No evidence has been obtained to document whether progress has been made in terms of harmonizing the procurement legislation with the BPEMS systems.

***The 2007-2009 PPA Strategic Plan***

4.42 This is the most recent version of PPA's strategic plan, and the main goals and associated activities are summarized as follows:

- **Policies, Standards and Rules.** This area includes a broad range of actions such as the consolidation of the PPA secretariat and the establishment of the Appeals and Complaints Panel. These activities are supplemented by proposed reviews and updates of operational manuals and Act 663.
- **Mainstreaming.** The overriding priority for this area is to ensure that procurement is increasingly aligned with budget preparation and management as well as payment and audit processes.
- **Monitoring and evaluation.** The PPA proposes to continue using the PPME tool to ensure full implementation of Act 663. Other M&E-related activities include plans to establish procedures for monitoring procurement processes, and the establishment of joint working practices for procurement audits with relevant audit institutions.
- **Capacity Development**. Under this goal, the PPA proposes to develop core training modules with a view to train staff of procurement entities (among others) throughout Ghana in the short term (100 percent coverage by 2008). The PPA also has plans to strengthen local educational institutions to ensure that they offer training modules of relevance to the public sector. Finally, it is proposed to develop a career path for procurement professionals and practitioners in the Public/Civil Service.
- **Promote Local Business**. The PPA proposes to assist local businesses and firms to be more competitive in the provision of goods, works and services in an efficient and cost effective manner.
- **Information Systems and Database Development**. Several activities are proposed under this heading including the need to develop and roll-out (including. training) the web-based procurement planning software, continuous update of the website, stakeholder consultations and publication of PPA activities to increase the public's awareness of PPA and its role.

4.43 The strategic plan is also presented in a planning matrix with outputs, activities and deadlines. It is assumed throughout that the PPA is responsible for implementation. No detailed allocation of responsibility to departments/entities within PPA is indicated.

4.44 A budget with costing at the goal level has been prepared on a year by year basis. No budget figures are presented at the activity level. The total cost of the plan for the three-year period is estimated at Cedis 70 billion (about US$7.7 m). The PPA notes in this respect that 'inadequate and irregular' funding has in the past hampered project implementation. Clearly external donor funding is an implied prerequisite for implementation and is expected to cover half of the budget. The United Kingdom's Department for International development (DFID), which has supported public procurement reform in Ghana since 2004, has agreed to provide about US$ 1.8 m in support of PPA's strategic plan for the period Jan 2007-Dec 2008. The support will among other things, focus on strengthening the PPA secretariat and its monitoring & evaluation capacity. In addition, an agreement has been signed in mid September 2007 to fund US$2.3m under a compact signed with the Millennium Challenge Corporation. The five-year compact has a specific provision for funding for "development of procurement professionals". Overall, a remaining gap of 2.5 million has yet to be funded to cover actions such as short term training (US$1.7 million), PPME roll out to 600 entities including data base management (US$0.5 million) and other activities such as, the processes for the amendment of the public procurement Law (Act 663) and the regulations, mainstreaming public procurement into financial management and assisting local businesses to be more competitive (US$0.3 million).

4.45 Overall, the plan is comprehensive and clearly ambitious. PPA has therefore made explicit its priorities in implementing these activities. According to the strategic plan, the following should be implemented in order of priority: (i) institutional strengthening; (ii) approval of revised schedules and sections of Act 663; (iii) implementation of regulations and manuals; (iv) communication and publicity; (v) capacity development; and (vi) monitoring and evaluation including continued assessments using the PPME tool, In the view of the ERPFM team, the most critical component in the plan to achieve value for money in public procurement is capacity development.

### HOW WELL ALIGNED IS THE GOVERNMENT'S REFORM PROGRAM

4.46 The public procurement assessment identified a number of challenges as detailed in section 3.2. Table 4.1 below shows the extent to which the Government's reform program, as outlined above, addresses the challenges in a comprehensive and effective way.

4.47 One major area that is not addressed in the current GoG procurement reform planning documents is the need to refine the approach and methodology of the PPME tool. A recommendation to address this challenge is proposed in the next section.

4.48 Another issue not explicitly addressed in the Government's reform program is the need to streamline the current institutional set-up by providing for a more effective operational system of tender review boards. Under the current system, procurement may be delayed when tender review boards are unable to assemble as per requirements and demand. PPA has rightly decided to prepare amendments to Act 663 to address this issue.

## Table 4.1: Main Challenges and the Government's Procurement Reform Program

| Challenge identified by the Public Procurement Assessment | Government's planned response[58] | Reference | Status of implementation |
|---|---|---|---|
| Supplementing Legal Framework | Review Act 663 | Goal 1 - Policies, Standards, and Rules | Amendment under preparation. PPA plans to have the amendments approved by December 2007 |
| | Implementation of regulations and manuals | List of prioritized actions | Regulations to be tabled before Parliament |
| Capacity development | | | |
| • Mainstreaming Procurement | Synchronize procurement activities into budget, payment and audit processes | Goal 2 - Mainstreaming | Training on web based procurement planning tool has started. PPA plans to make the tool fully operational by January 2008 |
| • Increasing Institutional Development Capacity | Strengthen local (training) institutions | Goal 4 - Capacity Development | GIMPA is already using PPA's training module in their courses |
| | Facilitate accreditation | Goal 4 - Capacity Development | National body for accreditation established. |
| • trengthening Procurement Operations and Contract Administration | Short-term training program | Goal 4 - Capacity Development | Program has started in August 2007. PPA secures funding until 2009 at which time procuring entities are expected to have budgetary provisions for funding their participants. |
| | Facilitate establishment of procurement as career | Goal 4 - Capacity Development | Proposal approved by the Office of the Head of Civil Service on June 20, 2007 |
| | Review organizational set-up of Tender Review Boards | Goal 1 – Policies, Standards and Rules | Amendment under preparation |
| • Building Capacity of Public Procurement Market | Equip local business development with knowledge and skills | Goal 5 - Local Business Development | Local business included in short-term training program |
| • Strengthening internal and external scrutiny of procurement decisions | Establish an Appeal and Complaints Panel | Goal 1 - Policies, Standards and Rules | Panel established |
| | Joint working arrangements for audit | Goal 3 - Monitoring and Evaluation | No information |
| | Securing full access to Information:<br>Update website<br>Publication of activities<br>Stakeholder consultations | Goal 6 - Information management and dissemination | In process, but website is not yet complete in terms of information on contract opportunities and awards and procurement plans |
| | Publication of procurement bulletin | List of prioritized actions | Procurement Bulletin was launched on August 22, 2007. Regular publication to be monitored |

[58] PPA Draft Strategic Plan 2007 – 2009.

4.49 With respect to the Appeals and Complaints Panel, the Government's current focus is on the strengthening of the newly established Panel, but more ambitious goals with respect to the output of the panel seem also to be justifiable given the fact that a number of cases are yet to be dealt with and/or communicated to the public.

## PRIORITIZATION AND SEQUENCING OF PROCUREMENT REFORM PROGRAM

4.50 The joint assessment has brought to the fore information that can usefully help update and prioritize the Procurement Reform Program to facilitate achievement of critical milestones. As discussed above, there is wide agreement with the Government's procurement action plan and the list of key measures proposed by this Review should largely be seen as an endorsement of the PPA Strategic Plan 2007-2009. Overall a distinction is made between short-term actions to be completed within 12 months (also referred to as quick wins) and those that will be carried out in the medium term (up to 3 years).

4.51 The proposed key measures are elaborated further below and in selected areas could help refine the Government's action plan. Table 4.2 lists these measures and a more detailed description is also available in Volume II, Chapter 6.

### Quick wins

4.52 In Table 4.2 below, eight out of 12 recommendations are identified as quick wins. Quick wins are generally defined as actions that with limited use of resources can bring about notable changes and improvements within a year. Moreover, these are actions at an advanced stage of implementation.

**Table 4.2: Proposed Key Measures and Sequencing**

| Challenges identified by the Public Procurement Assessment | Recommendation | Sequencing | |
|---|---|---|---|
| | | Quick win | Medium Term |
| Supplementing Legal Framework | Seek approval of the proposed amendments of Act 663 and formalize the regulations | X | |
| Improving Assessment Framework | Reconsider strategy, preparation and conduct of future self-assessments (increasing focus on risk factors, and quality assurance) and refine PPME tool prior to rolling out assessment later in 2007 | X | |
| Capacity development for public procurement | | | |
| • Mainstreaming Procurement | Make operational web-based procurement planning tool in January 2008. | X | |
| • Increasing Institutional Development Capacity | Build up sustainable procurement training programs within local training institutions | | X |
| | Establish national standard certification system | X | |

| Challenges identified by the Public Procurement Assessment | Recommendation | Sequencing | |
|---|---|---|---|
| | | Quick win | Medium Term |
| • Strengthening Procurement Operations and Contract Administration | Execute the short term training program launched in August 2007. | X | |
| | Implement recently approved career path for procurement professionals | | X |
| | Establish efficient mechanisms to delegate authority for procurement decisions (amendment of Act 663) | X | |
| • Building Capacity of Public Procurement Market | Strengthen private sector capacity to successfully compete for government contracts | | X |
| Strengthening internal and external scrutiny of procurement decisions | Consolidate the Appeals and Complaints Panel, strengthen its independence and publicize the number of existing complaints that have been addressed | X | |
| | Strengthen procurement expertise among audit institutions | | X |
| | Publish regularly the Procurement Bulletin and supplement the PPA website with information on contract opportunities, contract awards and procurement plans | X | |

4.53 Seek approval of the proposed amendments of Act 663 and formalize the regulations. To augment the provisions of the law, it is important to formally approve the regulations and issue them. The Government may also want to consider building on the current assessment to update the overall legal framework, particularly as it considers amending Act 663. The particular provisions that would benefit from being addressed are identified in Volume II. These amendments are expected to be approved by December 2007.

4.54 Reconsider strategy, preparation and conduct of future self-assessments and refine the PPME tool. To ensure value for money and strengthen the focus on risk mitigation when rolling out the PPME tool, build on findings of the present report (section 3.2), to improve future assessments in the following areas:

- Representativeness of sampling at the entity level.
- Appropriateness of qualification of assessors (including procurement);
- Comprehensiveness of instructions for assessors.
- Planning sufficient time for assessments considering the size of the procurement entity to be assessed.
- Quality control.

- Sequencing further PPME roll out with capacity building initiatives and prioritization of key procurement entities (based on annual volume of contracts).

4.55 With regard to the PPME tool, the indicators, formulae, and reporting may also be further improved by considering the following proposed actions:

- Refine some Key Performance Criteria (KPCs) (particularly the ones that were scored N.A. often).
- Publish the average rating of each KPC and link them to the respective OECD/DAC Baseline Indicators for qualitative performance and compliance measurement.
- Correct/align some formulae for improved accuracy in generating Performance Measurement Indicators (PMI).
- Reconsider usefulness of PPME Baseline-Indicator System (BIS) report.

4.56 PPA plans to use a refined PPME tool in rolling out the assessment later in 2007. The new strategy will include updated guidelines with special attention on big spenders and high volume contracts and completeness of spectrum to cover Works, Goods and Consultants contracts.

***Capacity Development***

4.57 Make operational the web-based procurement planning tool. The PPA is encouraged to make operational the recently developed web-based procurement planning system to improve the quality of procurement plans and to generate aggregate national procurement statistics. Training on the use of the procurement planning tool has already started and it is expected that the tool will be operational by January 2008 to allow monitoring of quality assurance of the plans and of their quarterly required up-dating.

4.58 Establish national standard certification system. It will be imperative for PPA to ensure that the documents prepared for the establishment of the Ghana Institution of Procurement and Supply Chain Management are fully adapted to the needs and requirements of both the private and public sectors in Ghana. Once this has been ensured, the PPA should put its full weight behind the formalization of the Institution, its Charter and Code. This process should be closely coordinated with the current drive to institutionalize and develop high-quality medium and long-term training programs. There should be a clear linkage between degrees and certificates from such programs and subsequent accreditation from the authorized body. The final report to establish the Ghana Institute of Procurement and Supply Chain Management is ready and being considered by the PPA, which plans to inaugurate the institute by December 2008.

4.59 Execute the Short Term Training Program. The training program launched in August 2007 represents a "window of opportunity" to strengthen compliance with the legal framework. If funding poses constraints, it is suggested that the PPA deals with the organizational aspects of the workshops while the funding of participants (transport/per idem etc.) is covered, totally or partially, by the training budget of the respective procuring entities. For now, PPA plans to secure funding until 2009 at which time, procuring entities are expected to have budgetary provisions for funding their participants. It is further recommended that the program is closely monitored and updated to put emphasis to the extent possible on critical areas already identified by the GoG self assessment report.

4.60 Establish efficient mechanisms to delegate authority. The current architecture of entity tender committees and tender review boards does not allow for expedient processing of procurement processes. It is encouraging that the Government is aware and looking into this issue and it is recommended that action is taken, after careful consideration of the associated risks, to streamline and simplify the current architecture allowing for more swift and flexible operations of these structures. PPA has included this recommendation in the proposed amendments of Act 663, which are expected to be approved by December 2007.

***Strengthening internal and external scrutiny***

4.61 Consolidate the Appeals and Complaints Panel, strengthen its independence and publicize the number of existing complaints that have been addressed. It is considered vital for the overall credibility, accountability and transparency of the procurement system, that the Appeals and Complaints Panel (ACP) implement the rules as soon as possible to start clearing the backlog of cases submitted for administrative review, follow up on sanctions, and generally act as an advocate for law enforcement. PPA has recognized the importance to ensure full independence and autonomy of the ACP from the rest of the system with regard to resolving complaints and plans to revise its composition by December 2007 with a view to make it a completely independent entity.

4.62 Publish regularly the Public Procurement Bulletin and supplement the website with information on contract opportunities, contract awards, and procurement plans. Following its launching on August 22, 2007 the Public Procurement Bulletin should now be published regularly to ensure wide and easily accessible publication of business opportunities and to comply with Act 663. Also, while it is commendable that PPA has put in place a very comprehensive website which is regularly updated, it is proposed that PPA further increases the value and usefulness of the site by adding up-to-date information on contract opportunities, awards and procurement plans. This will greatly strengthen the transparency and accountability of the public procurement system and will also allow potential bidders more time to plan ahead and prepare bids.

**Medium Term**

4.63 Medium term actions are expected to be achieved within the planning horizon of the PPA rolling strategic plans (three years).

4.64 Build up sustainable procurement training programs within local training institutions. It is strongly recommended that the PPA encourages existing training institutions in the private and public sector to develop high-quality programs in procurement training. In this regard, GIMPA is already using PPA's training module in their courses. It will be vital to create an incentive structure that will inspire procurement professionals to enroll in professional courses. If participation in training courses is associated with accreditation and increased likelihood for career progression, the incentive to sign up will increase. It will also be necessary for MDAs to allocate sufficient funds for training of their procurement staff. In turn this will depend on the development of a broader environment of accountability for performance, and thus the efficient management of procurement as a critical contributor to this.

4.65 Implement career path for procurement professionals. Building on the PPA's commendable achievement of having prepared proposals on "Establishment of a Career Path and Career Development of Procurement Professionals and Practitioners in the Public/Civil Service", it is important to proceed with implementation following its approval on June 20th 2007, by the Office of the Head of the Civil Service. The establishment of a career path is central to the development of a procurement cadre and will link career decisions with staff performance appraisal reports. It is expected to contribute to creating an incentive system for procurement professionals from a monetary and status point of view.

4.66 Strengthen private sector capacity to successfully compete for government contracts. Workshops on how to do business with the government in compliance with Act 663 should be offered on a regular basis, ideally as an integrated part of the short term training program. The private sector is one of the main targets of PPA's short term capacity building program. In addition, the PPA could advocate for and assist in offering workshops by Professional Associations. If private companies realize the chance to gain a competitive advantage by being better trained and informed, they would be expected to enlist in courses even if offered on a cost-covering basis. Successful workshops for service providers would create a win-win situation for the private sector, its professional associations and the procurement entities.

4.67 Strengthen procurement expertise among audit institutions. To increase the effectiveness of control and audit systems, it is important to strengthen collaboration among the oversight bodies including IAA, GAS and PPA. With respect to the capacity to undertake procurement audits, training is already addressed to some extent under the short-term program, but more efforts are needed to build the necessary body of knowledge on procurement related issues among the auditors. Besides this, topics for consideration could comprise specific requirements for procurement compliance and performance audits, planning annual procurement audits and follow-up mechanisms.

## INSTITUTIONAL ISSUES OR PROCUREMENT REFORM

4.68 The procurement reform process in Ghana is facilitated by domestic political will and support from the executive and it fits well with the international consensus embodied in the Paris Declaration on aid effectiveness. Nevertheless, effective and sustainable implementation of procurement reform rests to a large degree on the capacity and working relationships between the various responsible institutions. This section explores some of these key institutional issues, focusing on MOFEP, the PPA Secretariat, the procurement entities, the administrative review body, the external audit body and training institutions.

### Relations with the Ministry of Finance

4.69 The members of the Board of the PPA are appointed by the President in consultation with the Council of State. The Board is required to submit an annual report to the Minister responsible for Finance. The strength of the PPA-MoFEP relationship is also critical for legal reform as evidenced by the current PPA effort to amend Act 663 which requires the Minister's concurrence before the Attorney General can be requested to initiate the amendment.

4.70 Although the relation is formally with the Minister and not the Ministry *per se*, the relation with MoFEP is one of the most important from a strategic point of view and the PPA underlines this fact by characterizing the MoFEP as the "lead ministry on procurement management issues". It is a welcome development that earlier in 2007, MoFEP defined more clearly the requirements for procurement planning to be considered by the procurement entities and PPA's quality assurance role in this context. The Budget Circular 2008 specifies that procurement plans are to be provided for budget preparation. The process to further mainstream procurement planning into the regular budget preparation and execution process is a key area where the PPA and the MoFEP are required to work in tandem.

**Strengthening the PPA Secretariat**

4.71 The capacity of the PPA secretariat to spearhead procurement reform is critical to success. The Secretariat is currently in the process of completing recruitment for the various posts still open. PPA's intention is to have in place all staff by 2007. The PPA is broken down into the following directorates and units, according to the PPA organogram (with target staffing levels in parenthesis):

1. Policy and Strategy (3 staff);
2. Legal and Public Affairs (3 staff);
3. Benchmarking, Monitoring and Evaluation (2 staff);
4. Management Information Systems (5 staff);
5. Capacity Development (3 staff);
6. Finance and Administration (18 staff); and
7. Internal Audit Unit (2 staff).

4.72 According to the March 2007 PPA project proposal submitted to DFID, actual staffing corresponds to roughly two-thirds of the establishment. The process of fully staffing the directorates will be critical if PPA is to successfully meet the various challenges lying ahead. For example, the Benchmarking, Monitoring, and Evaluation Department will need considerable time to reconsider the strategy, implement the respective measures and refine the PPME tool to further roll out the self-assessments. Additionally, for PPA's own purposes, it will be critical to have the necessary capacity (in-house or contracted) to analyze the data collected through the PPME exercise. Another important area that either the BME or the MIS Departments may want to address is the need for regular production of procurement statistics once the web-based procurement software becomes fully operational.

**Supporting Institutionalization at the Entity Level**

4.73 According to Act 663 (15) a procurement entity "is responsible for procurement" subject to the Act and other conditions. The definition of a procurement entity has been subject to some confusion which led PPA to issue a clarification included in the 2006 Annual Report. It has been spelled out that procurement entities, among other things, are characterized by having an account holder as its head, a budget at its disposal, and authority to undertake procurement and enter into contracts.

4.74 As stipulated in section 17 of Act 663, each entity is required to establish an Entity Tender Committee in charge of approving procurement decisions at the entity level below a defined threshold. Section 20 of the Act also provides for Tender Review Boards at central, ministerial, regional and district level for concurrent approval over the thresholds of the Entity Tender Committees.

4.75 While it is estimated by PPA that about 80 percent of the Entity Tender Committees (ETCs) and the corresponding Review Boards have been established throughout the country, the PPA has rightly identified capacity building as a main priority to make them operational and facilitate their ability to comply with Act 663. It is a welcome development that PPA's short-term training program identifies ETCs and Tender Review Board (where these still exist, see below) members as a primary group to undergo training.

4.76 Another important target group for the short-term training program is the procurement practitioners. The procurement staff (and other staff directly involved in procurement at the entity level) will be exposed to all of the 25 modules developed for the training program.

4.77 According to the Training Needs Assessment carried out for PPA, IAA and GAS last year, 18 of 38 entities assessed did not have a dedicated procurement unit in place. Hence, the function as head of the procurement unit is in these cases typically left to other heads who take this responsibility on in addition to their regular (non-procurement) tasks. This may have negative implications for taking a comprehensive approach to procurement in particular if the annual procurement volume constitutes a significant part of the entity's annual expenditures.

4.78 The PPA has correctly noted the need to clarify and possibly simplify the current number of review boards. According to the implementation plan for the short-term training program, PPA has indicated that certain Entity Tender Committees will assume "functions of the current Tender Review Boards in addition to their Entity Tender Committee function". Notwithstanding the final decision, the overriding consideration should be the design of an expedient and effective system for procurement procedures.

4.79 In addition to the above mentioned procurement related committees, boards and units, many procurement entities still have to establish and staff internal audit units, as noted in the 2006 annual report from the internal audit agency. The IAA has as of December 2006 overseen the establishment of 97 Internal Audit Units. As part of its annual report, the IAA carried out an evaluation of 20 Ministries, 45 Departments and Agencies, and seven MMDAs to establish the status of internal auditing. Among its findings, the evaluation concluded that 26 percent of the entities assessed had an internal audit charter in place, 65 percent of the entities lacked the requisite professional resources to execute audit assignments, and the majority was yet to establish Audit Report Implementation Committees (ARICs), as mandated by the law.

4.80 PPA will benefit from working closely with the IAA to ensure that the internal auditors are sensitized to the role of procurement and how procurement related functions and processes should be controlled. In this context it is encouraging to note in the IAA 2006 Annual Report that the Agency intends in 2007 to direct IAUs to include procurement (including contract management) in their audit plans, assignments and reports. To further support this activity, the IAA has also developed a checklist specifically for review of procurement procedures.

4.81 Finally, it should be mentioned that full institutionalization of the national procurement system rests on the decision of the various development partners to make the widest possible use of the national system. A 2006 study carried out by COWI on water and sanitation related procurement by a number of development partners in Ghana reveals a mixed picture: Some DPs such as DFID use the Ghanaian national system. The World Bank (WB) uses national procedures mainly in relation to National Competitive Bidding (NCB), subject to some restrictions such as in the use of domestic preference margin in the evaluation of bids. WB uses its own procedures for international competitive tendering. Other DPs predominantly apply their own procedures. This picture was confirmed by stakeholders consulted during the evaluation.

**Administrative Review**

4.82 A recent and welcome institutional development is the establishment of the Appeals and Complaints Panel (ACP) which replaced the Board of the PPA as the administrative review body. An October 2006 document prepared by the Appeals and Complaints Task Force outlines the composition and procedures for the Panel. However, since the ACP is part of PPA and 4 PPA officials are among its seven members, it is not fully independent and autonomous from the rest of the system with regard to resolving complaints. PPA is considering various options to strengthen further the autonomy and independence of the ACP.

4.83 Given that no decisions have been taken so far with respect to the complaints received by the Board, it will be important to ensure that the Panel has in place procedures that allow for effective and expedient processing of received complains. Section 5 of the "proposed rules and procedures for the establishment of the appeals and complaints panel" sets out deadlines for expedient registration and acknowledgement of complaints by the Panel, but no specific deadlines have been issued with respect to the Panel's hearing of appeals and complaints. It is instead proposed that the Panel be guided by "its diary". It will be important to assess once the panel has been in operation for a period of 6 months to one year whether it satisfies the expectations for expedient, fair and independent processing based on relevant evidence. One important indication will be whether decisions have been taken with respect to the cases already received by the Board and whether decisions have been published in a timely manner. Special attention should be given to potential areas of interference and conflict of interest.

**Strengthening relations with Auditor General**

4.84 The PPA has already demonstrated will and capacity to establish a strategic relationship with the office of the Auditor General (GAS). For example, a training needs assessment was carried out at their joint initiative (IAA was also included) in 2006 to assess awareness and implementation of the Acts for external audit, internal audit and procurement.

4.85 The relation with the GAS is also formalized in section 91 of Act 663 in which it is stated that the Auditor General shall "conduct annual audits of the procurement activities (...)" and "also carry out specific audits into the procurement activities of entities and compliance by contractors, suppliers, and consultants ...".

4.86 As documented by the annual reports from the GAS, procurement is covered in the normal financial audits of the entities. Despite the existence of procurement-related findings in the regular audit reports, consultations with the GAS and PPA revealed that copies of these reports are not systematically requested by the PPA as the Act provides for.

4.87 Moreover, there is no evidence of the Board requesting the GAS to carry out specific procurement audits into the procurement activities of entities and compliance by contractors with the procurement requirements in the Act as the Act provides for as well. Hence, to improve performance and compliance at the entity level, it will be critically important for the PPA to further develop its relationship with the Ghana Audit Service. An important step has been taken with the GAS decision to strengthen the procurement expertise of its auditor corps with financial support from a World Bank grant. Likewise the PPA rightly decided to include auditors in its target groups for the forthcoming short-term training program.

**Partnerships for capacity building and professional development**

4.88 The need for capacity building/training is fully acknowledged in the PPA strategic plan. In this context it is encouraging that a short-term training program has been developed with the close involvement of GIMPA. In the future it may be useful for PPA to involve GIMPA in the selection of candidates to carry out initial "training of trainers" workshops. Considering that this is a critical step for the effectiveness of the overall program, the involvement of an experienced training institution could add value to this part of the process

4.89 Looking beyond the short-term training module, it will be important for PPA that a broad array of medium and long-term quality courses in procurement is offered on a regular basis. Such courses targeted at the formal education of procurement professionals are already on offer by GIMPA (higher national diploma top up, diploma, and BSc degree in procurement) and other tertiary training institutions. Also, GIMPA is already using PPA's training modules in its courses. However, information and training programs should regularly be offered and tailored to the private sector to be capable to meet the public procurement requirements, e.g. tender preparation, contract management, right to review decisions.

## CONCLUSIONS AND NEXT STEPS

4.90 The public procurement assessment has documented that the functional and formal features of the public procurement system in Ghana are at above average level. This is the case in particular of the quality of the legal framework and the institutional set-up of the Public Procurement Board.

4.91 The Ghanaian commitment to procurement reform is underlined by the fact that the PPA has been very proactive in developing the PPME-tool for assessment of procurement entities. Commitment has also been demonstrated through efforts to follow up on most of the recommendations singled out in the 2003 CPAR.

4.92 At the same time a number of challenges have been identified. The PPME-assessment tool can be further improved to provide a more solid and representative basis for monitoring compliance and performance at the entity level. Access to high-quality performance data will be vitally important for PPA to develop corrective measures and strategies to increase procurement proficiency and efficient operations.

4.93 Moreover, the need to focus on performance and implementation was confirmed by the joint assessment, and the current efforts to roll-out a nation-wide training program are therefore considered timely and a very relevant response to the current challenges. Capacity development at all levels, including mainstreaming procurement, institutional development capacity, procurement operations and contract administration, public procurement market and internal and external audits is considered to be the key challenge in the coming years.

4.94 While the 2007 review has demonstrated that the PPA Strategic Plan 2007 - 2009 is well aligned with the findings of the assessment, it has also shown that some challenges emerging from the review are not identified in the Strategic Plan. With respect to next steps it is proposed that the Government and the PBB consider adopting the key recommendations outlined above.

# ANNEXES TO VOLUME I

# Annex 1: Calculation of Deviations by Budget Head, 2004-2006[59]

| Deviations for 2004 (billion cedis)<br>Budget Head | Budget | Actual | Difference | Absolute | Percent |
|---|---|---|---|---|---|
| Min.of Education (excl.G.E.T.F.) | 3,331.9 | 3,983.7 | 651.8 | 651.8 | 19.6% |
| HIPC | 1,206.4 | 1,787.1 | 580.7 | 580.7 | 48.1% |
| Min of Health (excl. N.H.I.F.) | 1,027.5 | 1,020.7 | -6.8 | 6.8 | 0.7% |
| Contingency | 870.8 | 611.2 | -259.6 | 259.6 | 29.8% |
| Ghana Education Trust Fund | 810.5 | 871.4 | 60.9 | 60.9 | 7.5% |
| DACF | 787.2 | 803.3 | 16.1 | 16.1 | 2.0% |
| Min.of Interior | 674.5 | 677.2 | 2.7 | 2.7 | 0.4% |
| Min.of Defence | 636.1 | 506.9 | -129.2 | 129.2 | 20.3% |
| Road Fund | 607.7 | 639.5 | 31.8 | 31.8 | 5.2% |
| Office of Government Machinery | 526.7 | 452.3 | -74.4 | 74.4 | 14.1% |
| Social Security | 484.5 | 495.1 | 10.6 | 10.6 | 2.2% |
| Min. of Foreign Affairs | 474.2 | 521.2 | 47.0 | 47.0 | 9.9% |
| National Health Insurance Fund | 420.4 | 0.0 | -420.4 | 420.4 | 100.0% |
| Utility price subsidies | 392.0 | 1,819.2 | 1,427.2 | 1,427.2 | 364.1% |
| Revenue agencies | 387.6 | 347.0 | -40.7 | 40.7 | 10.5% |
| Pensions | 374.2 | 518.2 | 144.0 | 144.0 | 38.5% |
| Min.of Roads Transp. (excl. R.F.) | 325.5 | 294.8 | -30.7 | 30.7 | 9.4% |
| National Electoral Commission | 206.8 | 77.8 | -129.0 | 129.0 | 62.4% |
| Gratuities | 196.2 | 232.6 | 36.4 | 36.4 | 18.6% |
| Min. of Finance and Economic Planning | 177.3 | 225.7 | 48.4 | 48.4 | 27.3% |
| 21 (= sum of remaining budget heads) | 2,327.5 | 2,381.1 | 53.6 | 53.6 | 2.3% |
| Total Expenditure Deviation | 16,245.5 | 18,265.9 | 2,020.5 | 2,020.5 | 12.4% |
| Composition Variance | 16,245.5 | 18,265.9 | | 4,202.0 | 25.9% |

[59] Methodology uses PEFA analytical framework for performance indicators PI-1 and PI-2 (see www.pefa.org). For 2006, data are based on the 2006 Supplementary Appropriation Act, the draft 2006 CAGD Report and Financial Statements on the Public Accounts of Ghana. Data on revenue agencies are shown separately.

**Deviations for 2005 (billion cedis)**

| Budget Head | Budget | Preliminary | Difference | Absolute | Percent |
|---|---|---|---|---|---|
| Ministry of Education, Youth and Sports | 3,920.1 | 5,115.3 | 1,195 | 1,195 | 30.5% |
| Contingency | 1,988.6 | 598.9 | -1,390 | 1,390 | 69.9% |
| HIPC | 1,594.4 | 1,943.7 | 349 | 349 | 21.9% |
| Ministry of Health | 1,552.0 | 1,546.4 | -6 | 6 | 0.4% |
| National Health Insurance Fund | 1,339.2 | 0.0 | -1,339 | 1,339 | 100.0% |
| Education Trust Fund | 1,124.2 | 691.4 | -433 | 433 | 38.5% |
| DACF | 1,048.4 | 701.9 | -347 | 347 | 33.1% |
| Settlement of non-roads arrears | 1,016.7 | 200.7 | -816 | 816 | 80.3% |
| Road Fund | 883.3 | 926.9 | 44 | 44 | 4.9% |
| Ministry of Interior | 624.4 | 788.9 | 165 | 165 | 26.3% |
| Social Security | 618.8 | 628.1 | 9 | 9 | 1.5% |
| Pensions | 613.8 | 769.5 | 156 | 156 | 25.4% |
| Office of Government Machinery | 527.6 | 489.7 | -38 | 38 | 7.2% |
| Ministry of Foreign Affairs | 511.7 | 592.9 | 81 | 81 | 15.9% |
| Revenue agencies | 497.9 | 412.5 | -85 | 85 | 17.2% |
| Ministry of Road Transport | 429.1 | 364.8 | -64 | 64 | 15.0% |
| Ministry of Defence | 408.2 | 581.8 | 174 | 174 | 42.5% |
| Gratuities | 355.9 | 327.5 | -28 | 28 | 8.0% |
| Other transfers | 350.0 | 234.7 | -115 | 115 | 32.9% |
| Utility price subsidies | 349.5 | 781.2 | 432 | 432 | 123.5% |
| 21 (= sum of remaining budget heads) | 2,854.6 | 3,112.6 | 258 | 258 | 9.0% |
| Total Expenditure Deviation | 22,608.3 | 20,809.3 | -1,799 | 1,799 | 8.0% |
| Composition Variance | 22,608.3 | 20,809.3 | | 7,523 | 33.3% |

**Deviations for 2006 (billion cedis)**

| **Budget Head** | **Budget** | **Actual** | **Difference** | **Absolute** | **Percent** |
|---|---|---|---|---|---|
| Ministry of Education and Sports | 5,626.6 | 6,950.5 | 1,324 | 1,324 | 23.5% |
| Ministry of Health | 2,011.6 | 2,553.4 | 542 | 542 | 26.9% |
| Ministry of Interior | 1,119.0 | 1,058.9 | -60 | 60 | 5.4% |
| Office of Government Machinery | 1,388.4 | 688.8 | -700 | 700 | 50.4% |
| Ministry of Foreign Affairs | 561.2 | 635.6 | 74 | 74 | 13.2% |
| Ministry of Road Transport | 1,489.8 | 834.4 | -655 | 655 | 44.0% |
| Ministry of Defence | 817.4 | 894.5 | 77 | 77 | 9.4% |
| Ministry of Food and Agriculture | 366.7 | 377.8 | 11 | 11 | 3.0% |
| DACF | 1,204.3 | 1,281.0 | 77 | 77 | 6.4% |
| Pensions | 705.9 | 925.8 | 220 | 220 | 31.2% |
| Gratuities | 409.4 | 466.4 | 57 | 57 | 13.9% |
| Social Security | 711.6 | 957.7 | 246 | 246 | 34.6% |
| National Health Fund | 1513.7 | 764.1 | -750 | 750 | 49.5% |
| Education Trust Fund | 1386.3 | 922.3 | -464 | 464 | 33.5% |
| Road Fund | 1068.9 | 1,054.1 | -15 | 15 | 1.4% |
| Utility price subsidies | 805 | 0.0 | -805 | 805 | 100.0% |
| Other transfers | 350 | 986.5 | 637 | 637 | 181.9% |
| HIPC | 1822.1 | 1,998.0 | 176 | 176 | 9.7% |
| Revenue agencies | 813.5 | 642.9 | -171 | 171 | 21.0% |
| Contingency | 986.2 | 930.4 | -56 | 56 | 5.7% |
| 21 (= sum of rest) | 4,954.5 | 3,388.5 | -1,566 | 1,566 | 31.6% |
| total expenditure deviation | 30,112.1 | 28,311.6 | -1,801 | 1,801 | 6.0% |
| composition variance | 30,112.1 | 28,311.6 | | 8,681 | 28.8% |

Annex 1 - Source of Data: Budget from Appropriations Acts for 2004, 2005 and 2006; 2004 and 2005 Actual - Audited Annual Financial Statements of Consolidated Fund; 2006 Preliminary from Unaudited CAGD Report and Financial Statements.

## Results Matrix

| | For PI-1 | | for PI-2 |
|---|---|---|---|
| year | total exp. Deviation[1] | total exp. Variance[2] | variance in excess of total deviation[3] |
| 2004 | 2.3% | 15.8% | 13.6% |
| 2005 | 12.4% | 25.9% | 13.4% |
| 2006 | 6.0% | 28.8% | 22.9% |

Note: 1. Calculated as the difference between actual primary expenditure and the originally budgeted primary expenditure (i.e. excluding debt service charges and externally financed project expenditure).

2. Calculated as the deviation between actual and originally budgeted expenditure calculated as a percent of budgeted expenditure on the basis of the administrative (MDA) classification, using the absolute value of deviation (excluding debt service and externally-financed project expenditures).

3. Extent to which variance in primary expenditure composition exceeded overall deviation in primary expenditure, measured as the difference between total expenditure variance and total expenditure deviation

Sources: Appropriation Acts 2004, 2005 and 2006 (budget figures); CAGD Annual Financial Statements, 2004-2006 (actual expenditures).

## Annex 2: Transparency of Budget Information

### Introduction

Transparency and information can be important tools to assist governments with their reforms. Access to timely, accurate, comprehensive and useful information on the state's fiscal activities helps ensure accountability of the government to its population. Specific objectives of greater provision of such information can include: (i) to enhance the role of external scrutiny of the use of budgetary of resources (i.e. accountability for the use of taxpayers' money); (ii) to improve the link between public priorities and expenditures through facilitating a greater public voice in the budget process; (iii) to increase awareness and understanding of the use of public resources; (iv) and thereby to stimulate greater demand by the public for the appropriate use of these resources; (v) to help the legislature understand the budget they are asked to approve; and (v) to enable internal budget processes (e.g. budget execution) to be undertaken more efficiently.

In this regard, GoG's commitment to improving the public's access to budget information is evident. It actively seeks engagement from the public in the budget-making process, makes available the Budget Statement to civil society, the media and the wider public, and provides fiscal information on MoFEP's website. Nonetheless, some of the information could be made in a more timely manner, and greater accessibility to the wider public, both in terms of availability of information, as well as its understandability, could be improved.

Information flows concern two main types: (i) those concerning information for internal PFM processes, such as budget execution, for those both directly and more broadly involved (e.g. transfers of appropriations between and within agencies, and the process behind funds releases to MDAs and MMDAs for specific items); and (ii) budget information in an accessible and understandable manner to the public to inform them of the availability and use of resources and help their engagement in the wider process of ensuring accountability for the use of public funds.

### Budget information already publicly available

MoFEP already publishes a wide range of information on its website, including current and past Budget Statements and Economic Policy, the Minister's budget speeches, other officials' speeches, analyses of debt trends, and a limited number of monthly CAGD budget execution reports. In addition, the Budget Statement is readily available in printed form at the time of the Minister's Budget Speech.

Improvements to the public availability of existing information could be made. The end-of-year Financial Statements and audit reports are not easily available to the public. In terms of in-year reporting, whilst some monthly CAGD reports appear on the website, in November 2007, the most recent report posted on the MoFEP website was for March 2007. The value of this information is in the timeliness of the information to ensure that the monitoring of expenditure is up-to-date and relevant. Keeping the monthly expenditure information up-to-date should be a relatively simple process, but it may require establishing a regular (institutional) routine to ensure that the posting of the information is systematic.

Budget information beyond that of the annual Budget Statement could be disseminated to a wider audience without access to the internet through:

- More use of the print and radio/TV media;
- public access points, such as libraries;
- external groups, such as development partners, NGOs or civil society organizations who work with communities, to disseminate;
- community/village groups; and
- development of a program to build public awareness of the importance and relevance of the budget and the budget process, incorporating a series of public district/village meetings.

**Budget information which could be provided**

Understanding and engaging with the budget process is important for the wider public to build increased transparency and lead to better spending outcomes. In 2006, MoFEP produced a Citizen's Budget, setting out a simplified version of the 2006 Budget. In mid-2007, a Citizen's Budget for the 2007 Budget was prepared. The usefulness of these budgets would be enhanced by making them widely available once the budget has been presented to Parliament.

In addition to wider and more timely dissemination of the Citizen's Budget, a simple explanation of the overall budget process in cartoon form, setting out the role of civil society in helping to determine budget priorities and in monitoring budget outcomes to verify that these priorities are being followed in practice, could help this process.[60] A broad range of information disseminated in a range of formats would be worth considering. In turn, better engagement with the budget process by civil society is dependent on the information available on the government's intentions, spending and actual delivery, and on the public's capacity and willingness to engage. In order to ensure better-informed consultation and participation, information should be widely available in a form that is understandable to a non-technical audience, may also need to be translated.

The following tables provide suggestions on the types of budget information which could be provided more widely, taking into account the: (i) accessibility of information; (ii) timeliness of the provision of information; and (iii) digestibility of the information.

[60] MoFEP's website contains a short briefing document on the budget hearing, but this type of information could be made more prominent and more of this type of briefing could be produced.

## Table 1: Budget Information for the Wider Public

| Type of Information | Current Dissemination | Remarks |
|---|---|---|
| *National budgets* | | |
| Annual Budget Statement | In print and on MoFEP website | Widely disseminated |
| Supplementary Budget | MoFEP website | Widely disseminated |
| Minister's Budget Speech | In print and MoFEP website | Widely disseminated |
| MTEF/budget books | Not readily available | Could be added to MoFEP website |
| Appropriation Act | Not readily available to the wider public | Could be added to MoFEP website |
| Citizen's Budget | Not available to the public in a timely manner | When prepared, could be added to the website |
| GPRSII | MoFEP website | Links to NDPC website could be made |
| Pre-Budget Policy/Strategy Paper | If prepared, not publicly available | Could be added to MoFEP website |
| Mid-Year Budget Statement | If prepared, not publicly available | Could be added to MoFEP website |
| Budget Guidelines (circular) | Not publicly available | Could be added to MoFEP website |
| Macroeconomic data/reports | Ad hoc data/reports are available on MoFEP website | Links in the MoFEP website could be made to the regular macro reports produced by BoG |
| Debt data/reports | Ad hoc data/reports are available on MoFEP website | |
| Monthly CAGD fiscal outturn reports | MoFEP website | Timeliness has been an issue – should be published on the website as soon as it is ready (and within 4-6 weeks of end of month) |
| CAGD Year-end financial statements | Not easily publicly available | Could be added to MoFEP's website |
| Audited accounts | Not easily publicly available | Could be added to MoFEP's website, as well as GAS'. Links to GAS website could be made, when operational. |
| Audit reports | Not easily publicly available | Could be added to MoFEP's website, as well as GAS'. Links to GAS website could be made, when operational. |
| Awards of procurement contracts | Not easily publicly available | A comprehensive list of contracts could be added to MoFEP's website. Links to PPA website could be made. |
| Other budgets | | |
| MMDA budgets – planned and executed | Not currently readily available to the public | |
| Budgets of Statutory Funds – planned and executed | Not currently readily available to the public | Revenue and Expenditure Statements for prior years' Statutory Funds are included in the annual Budget Statement |
| Information on total executed expenditures by sector and by geographic area | Such information is not yet readily available | |
| Information on total planned expenditures for individual service delivery units | Such information is not yet readily available | |
| Information on service delivery performance | Such information is not yet readily available | |

The following information items (Table 2) could also be made available to the public on request.

**Table 2: Additional Information Which Could be Made Available to the Public on Request**

| Type of Information | Remarks |
| --- | --- |
| Information on total planned and executed expenditures by sector and by geographic area | Will require consolidation of MDA and MMDA data |
| Information on total planned and executed expenditures for individual service delivery units | Will require work on the flows of information. PETS analyses currently under way should provide supplementary data in health and education sectors. |
| More detailed budget execution reports, showing budget implementation by main agencies, function, as well as economic items | Will require changes in how information is coded – coding changes currently being planned. |
| More disaggregated information from MDAs (e.g. supporting documentation behind determination of budget allocations) | |
| Information on service delivery performance | Collection of this information will be longer-term in nature. |

# Annex 3: Statistical Annex

# Annex 3: Statistical Annex

**Table 1: Overall Fiscal Performance, 2003-2007**

| | 2003 Actual | 2004 Actual | 2005 Actual | 2006 Budget | 2006 Prelim. | 2007 Budget |
|---|---|---|---|---|---|---|
| | | | Billion Cedis | | | |
| **Total Revenues and Grants** | **16,862** | **24,074** | **28,256** | **34,136** | **31,764** | **39,123** |
| Own revenue | 13,743 | 18,994 | 23,156 | 26,439 | 25,569 | 30,178 |
| Grants | 3,119 | 5,080 | 5,100 | 7,697 | 6,195 | 8,945 |
| **Total Expenditures** | **19,035** | **26,584** | **29,895** | **38,884** | **40,051** | **45,235** |
| Non-interest expenditure | 14,943 | 23,111 | 26,355 | 35,393 | 36,160 | 41,587 |
| Interest expenditure | 4,092 | 3,473 | 3,450 | 3,491 | 3,891 | 3,648 |
| **Aggregate Deficit**[1] | **-2,884** | **-2,836** | **-2,869** | **-4,749** | **-8,917** | **-6,112** |

Notes: 1. After outstanding payments clearance, VAT refunds and including grants and discrepancy.
Source: Ghanaian authorities, IMF Staff Report (June 2007)

**Table 2: Revenue Performance, 2004-2006**

| | 2004 Actual | 2005 Actual | 2006 Budget | 2006 Preliminary | 2006 % Dev. btwn Prelim & Budget | % Increase 2005-2006 |
|---|---|---|---|---|---|---|
| | | Billion Cedis | | | % | % |
| **Direct taxes** | **5,344** | **6,615** | **7,269** | **7,341** | **1.0%** | **11.0%** |
| Personal | 2,194 | 2,782 | 2,683 | 3,510 | 30.9% | 26.2% |
| Company | 2,340 | 3,108 | 3,789 | 3,154 | -16.8% | 1.5% |
| Other | 810 | 725 | 797 | 677 | -15.0% | -6.6% |
| **Indirect taxes** | **8,250** | **9,416** | **12,087** | **11,129** | **-7.9%** | **18.2%** |
| VAT | 4,516 | 4,987 | 7,032 | 6,230 | -11.4% | 24.9% |
| Domestic | 1,460 | 1,832 | 2,318 | 2,335 | 0.7% | 27.5% |
| Imports | 3,056 | 3,155 | 4,714 | 3,895 | -17.4% | 23.5% |
| Petroleum | 3,119 | 3,751 | 4,175 | 4,152 | -0.6% | 10.7% |
| Excise | 615 | 678 | 880 | 747 | -15.1% | 10.2% |
| **International trade taxes** | **3,809** | **4,114** | **4,859** | **3,991** | **-17.9%** | **-3.0%** |
| ***Tax revenues sub-total*** | 17,403 | 20,145 | 24,214 | 22,461 | -7.2% | 11.5% |
| ***Non-tax revenues***[1] | 2,206 | 3,107 | 2,278 | 2,841 | 24.7% | -8.6% |
| NHIL | 0 | 1,157 | 1,514 | 1,247 | -17.6% | 7.8% |
| ***Grants*** | 5,080 | 5,100 | 7,697 | 6,195 | -19.5% | 21.5% |
| **TOTAL REVENUES AND GRANTS** | **24,689** | **29,509** | **35,703** | **32,744** | **-8.3%** | **11.0%** |

Notes: 1. IGFs both lodged and retained. See Statistical Annex, Table 3.
Source: RAGB (tax revenues), NTRU (non-tax revenues), Ghanaian authorities and IMF Staff Report (June 2007) (Grants)

## Table 3: Collection and Retention of Internally Generated Funds, 2004-2007

| SECTOR/MDA | 2004 Actual | | | 2005 Actual | | | 2006 Budgeted | | | 2006 Preliminary | | | 2007 Budgeted | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. |
| Local Govt. & Rural Dev. | 4.6 | 0.0 | 4.6 | 5.8 | | 5.8 | 6.1 | 0 | 6.1 | 6.7 | 0 | 6.7 | 17 | 10.6 | 6.4 |
| Foreign Affairs | 179.1 | 0.0 | 179.1 | 68.9 | | 68.9 | 113.9 | 15 | 98.9 | 167.6 | 0 | 167.6 | 102.5 | 15.4 | 87.1 |
| Government Machinery | | | | 0.7 | 0.5 | 0.1 | 0.8 | 0.4 | 0.4 | 2.9 | | 2.9 | 7.5 | 3.5 | 4 |
| Finance | 726.1 | 2.6 | 723.5 | 1539.6 | 4.2 | 1535.5 | 291.9 | 3 | 288.9 | 439.8 | 9.2 | 430.6 | 436.3 | 4.9 | 431.4 |
| Parliamentary | | | | 0.3 | | 0.3 | 0.0 | 0 | 0.0 | 0.0 | 0 | 0.01 | 0.0 | | 0.0 |
| Office of the President | | | | 5.1 | 4.3 | 0.8 | 4.5 | 4.5 | 0 | 2.4 | 2.4 | | 0 | | |
| Information | 35.1 | 34.8 | 0.3 | 24.3 | 23.7 | 0.6 | 52.5 | 51.9 | 0.6 | 39.5 | 38.8 | 0.7 | 195.6 | 0.8 | 194.8 |
| **Total Administration Sector** | **945.0** | **37.4** | **907.6** | **1644.7** | **32.7** | **1612.0** | **934.9** | **145.2** | **789.7** | **658.9** | **50.4** | **608.5** | **758.9** | **35.2** | **723.7** |
| Works and Housing | 4.6 | 1.9 | 2.6 | 7.3 | 1.4 | 5.9 | 10.3 | 2 | 8.3 | 10.5 | 2.6 | 7.9 | 17.2 | 5.6 | 11.6 |
| Roads and Transport | 28.2 | 1.5 | 26.7 | 25.1 | 0.5 | 24.6 | 42.1 | 2.4 | 39.7 | 35.2 | 2.9 | 32.3 | 25.1 | 4 | 21.1 |
| Ports, Harbours & Railways | 0.6 | 0.0 | 0.6 | 0.6 | | 0.6 | 0.7 | 0 | 0.7 | 0.4 | 0 | 0.4 | 0.4 | | 0.4 |
| Communications and Technology | 1.3 | 0.0 | 1.3 | 2.6 | 0.2 | 2.4 | 22.2 | 19.4 | 2.8 | 3.1 | 0.8 | 2.3 | 3.4 | 0.9 | 2.5 |
| **Total Infrastructure Sector** | **34.7** | **3.4** | **31.3** | **35.6** | **2.1** | **33.5** | **75.3** | **23.8** | **51.5** | **49.2** | **6.3** | **42.9** | **46.1** | **10.5** | **35.6** |
| Food and Agriculture | 29.6 | 7.7 | 21.9 | 17.1 | 2.4 | 14.7 | 23.3 | 7.2 | 16.1 | 15.3 | 2.4 | 12.9 | 14.6 | 4.8 | 9.8 |
| Fisheries | | | | 0.6 | | 0.6 | 14 | 14 | 0 | 12.7 | 12.7 | 0 | 16 | 16 | |
| Lands and Forestry | 150.3 | 107.2 | 43.1 | 113.4 | 65.8 | 47.6 | 291.9 | 217.8 | 74.1 | 463.4 | 361.9 | 101.5 | 424.6 | 221.6 | 203 |
| Energy | | | | 0.0 | | | 0.4 | 0 | 0.4 | 0 | | | 0 | | |
| Trade and Industry | 25.8 | 14.2 | 11.6 | 25.6 | 10.4 | 15.3 | 55.7 | 32.5 | 23.2 | 49.4 | 31.4 | 18 | 57.5 | 26.3 | 31.2 |
| Tourism | 1.9 | 1.6 | 0.2 | 3.0 | 2.3 | 0.8 | 2.2 | 2 | 0.2 | 2.6 | 2.4 | 0.2 | 2.4 | 2.2 | 0.2 |
| Environment & Science | 5.8 | 5.8 | 0.0 | 8.1 | 8.1 | | 16 | 16 | 0 | 12.6 | 12.6 | | 0 | | |
| Mines | 11.3 | 9.5 | 1.8 | 0.0 | | | 0 | | | | | | 0 | | |
| **Total Economic Services Sector** | **224.7** | **146.1** | **78.6** | **167.9** | **89.0** | **78.9** | **403.5** | **289.5** | **114** | **556** | **423.4** | **132.6** | **515.1** | **270.9** | **244.2** |
| Education | 524.7 | 524.7 | 0.0 | 645.6 | 645.6 | | 813.2 | 813.2 | 0 | 761.1 | 761.1 | 0 | 1125.6 | 1125.6 | 0 |
| Manpower Devel. and Employment | 7.5 | 7.0 | 0.4 | 9.0 | 9.0 | | 13.5 | 12.9 | 0.6 | 7.8 | 6.3 | 1.5 | 14.6 | 13.5 | 1.1 |
| Ministry of Youth and Sports | 2.9 | 2.9 | 0.0 | 3.3 | 2.2 | 1.1 | 0 | | | 0 | | | 0 | | |
| National Commission on Culture | 2.3 | 2.0 | 0.2 | 0.0 | | | 3.3 | 3 | 0.3 | 3.1 | 3.1 | | 0 | | |

| SECTOR/MDA | 2004 Actual | | | 2005 Actual | | | 2006 Budgeted | | | 2006 Preliminary | | | 2007 Budgeted | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. | Col. | Ret. | Lodg. |
| Health | 314.0 | 314.0 | 0.0 | 442.8 | 442.7 | 0.1 | 314 | 314 | 0 | 636.1 | 636.1 | 0 | 521 | 521 | |
| Chieftancy and Culture | | | | | | | 0 | | | 0.1 | | 0.1 | 6.7 | 6.7 | |
| Womens' and Childrens' Affairs | 0.0 | 0.0 | 0.0 | 0.2 | | 0.2 | 0.8 | 0.4 | 0.4 | | | | 0.06 | 0.03 | 0.03 |
| **Total Social Services Sector** | **851.4** | **850.7** | **0.7** | **1100.9** | **1099.5** | **1.4** | **1144.8** | **1143.5** | **1.3** | **1408.2** | **1406.6** | **1.6** | **1667.96** | **1666.8** | **1.13** |
| Justice | 36.6 | 0.2 | 36.4 | 38.9 | 0.4 | 38.5 | 48.6 | 0.6 | 48 | 44.5 | 0.1 | 44.4 | 46.5 | 7.4 | 39.1 |
| Defence | 11.6 | 11.6 | 0.0 | 18.0 | 18.0 | | 23 | 23 | 0 | 21.9 | 21.9 | 0 | 25 | 25 | |
| Judicial Service | 28.4 | 3.5 | 24.9 | 32.6 | 4.1 | 28.4 | 50.5 | 7.6 | 42.9 | 36.6 | 4.1 | 32.5 | 44.9 | 6.7 | 38.2 |
| Interior | 55.2 | 3.3 | 51.8 | 68.4 | 5.3 | 63.2 | 62.5 | 3.7 | 58.8 | 65.2 | 5.5 | 59.7 | 70.5 | 17.4 | 53.1 |
| **Total Public Safety Sector** | **131.8** | **18.6** | **113.1** | 157.9 | **27.8** | **130.1** | **184.6** | **34.9** | **149.7** | **168.2** | **31.6** | **136.6** | **186.9** | **56.5** | **130.4** |
| Others | 18.3 | 9.7 | 8.6 | 0.0 | | | 0 | | | 0.7 | | 0.7 | 0 | | |
| **GRAND TOTAL** | **2205.8** | **1065.9** | **1139.9** | **3107.0** | **1251.2** | **1855.8** | **2277.9** | **1566.5** | **711.4** | **2841.2** | **1918.3** | **922.9** | **3175.0** | **2039.93** | **1135.1** |

Source: 2004-07Appropriation Acts. 2004&05 Audited Accounts (Consolidated Fund). 2006 data from NTRU

**Table 4: Total Spending by Line Item, 2004-2007**

| | 2004 Actual | 2005 Actual | 2006 Budget | 2006 Prelim | % dev. btwn 2006 prelim & budget | % change 2005-2006 |
|---|---|---|---|---|---|---|
| | | Billion Cedis | | | % | |
| **Current expenditures** | **16,695** | **18,221** | **21,590** | **25,559** | **18.4%** | **40.3%** |
| Wages and salaries | 6,988 | 8,243 | 9,990 | 11,370 | 13.8% | 37.9% |
| Goods and services | 2,737 | 3,105 | 3,613 | 4,277 | 18.4% | 37.7% |
| Transfers | 1,291 | 2,921 | 3,691 | 3,348 | -9.3% | 14.6% |
| *of which: to households* | *784* | *988* | *1,115* | *1,764* | 58.1% | 78.5% |
| *to Statutory Funds* | *495* | *1,615* | *2,225* | *1,584* | -28.8% | -2.0% |
| Subsidies[1] | 2,207 | 412 | 805 | 2,673 | 232.1% | 548.8% |
| Interest payments | 3,472 | 3,540 | 3,491 | 3,891 | 11.5% | 9.9% |
| *Of which: domestic* | *2,545* | *2,689* | *2,427* | *3,031* | 24.9% | 12.7% |
| **Capital expenditures** | **9,889** | **11,673** | **17,255** | **14,492** | **-16.0%** | **24.1%** |
| *of which: domestically-financed* | *3,207* | *3,781* | *7,370* | *6,176* | -16.0% | 63.3% |
| *externally-financed* | *4,812* | *5,946* | *8,063* | *5,279* | -34.5% | -11.2% |
| *HIPC* | *1,870* | *1,947* | *1,822* | *1,792* | -1.7% | -8.0% |
| *MDRI* | *0* | *0* | *0* | *1,246* | | |
| **TOTAL** | **26,584** | **29,895** | **38,884** | **40,051** | **3.1%** | **34.0%** |

1/ Subsidies to energy companies.
Source: MoFEP, IMF Staff Report (June 2007).

## Table 5: Ghana budget estimates and outturn by Broad Functional Classification, 2004-2006

| | Budget Allocation (billions cedis) | | | Actual Allocation (billions cedis) | | | Variance (%) | | |
|---|---|---|---|---|---|---|---|---|---|
| | **2004 V** | **2005V** | **2006V** | **2004A** | **2005A** | **2006A** | **2004** | **2005** | **2006** |
| **Discretionary Domestic. Financed Expenditure** | **10,513** | **12,694** | **18,545** | **10,110** | **12,474** | **17,820** | **-4%** | **-2%** | **-4%** |
| Personal Emoluments | 6,632 | 8,683 | 9,990 | 6,942 | 8,173 | 11,436 | 5% | -6% | 14% |
| Administration | 1,559 | 1,613 | 2,138 | 1,514 | 2,395 | 2,887 | -3% | 48% | 35% |
| Services | 1,176 | 970 | 1,064 | 973 | 1,029 | 1,274 | -17% | 6% | 20% |
| Investment | 1,147 | 1,428 | 5,353 | 681 | 876 | 2,224 | -41% | -39% | -58% |
| *Of which* | | | | | | | | | |
| **General Administration** | **1,910** | **1,818** | **3,324** | **1,713** | **1,960** | **2,377** | **-10%** | **8%** | **-28%** |
| Personal Emoluments | 762 | 845 | 991 | 865 | 908 | 1,203 | 14% | 7% | 21% |
| Administration | 317 | 364 | 381 | 334 | 491 | 445 | 5% | 35% | 17% |
| Services | 550 | 244 | 328 | 419 | 389 | 314 | -24% | 60% | -4% |
| Investment | 280 | 366 | 1,622 | 95 | 172 | 416 | -66% | -53% | -74% |
| **Economic Services** | **563** | **564** | **1,170** | **512** | **595** | **830** | **-9%** | **5%** | **-29%** |
| Personal Emoluments | 301 | 284 | 352 | 331 | 351 | 439 | 10% | 23% | 25% |
| Administration | 68 | 66 | 91 | 73 | 101 | 66 | 7% | 55% | -28% |
| Services | 97 | 54 | 86 | 49 | 38 | 123 | -50% | -30% | 42% |
| Investment | 97 | 160 | 641 | 59 | 106 | 202 | -39% | -34% | -68% |
| **Infrastructure** | **472** | **570** | **2,100** | **402** | **533** | **1,076** | **-15%** | **-7%** | **-49%** |
| Personal Emoluments | 73 | 95 | 100 | 87 | 106 | 138 | 19% | 12% | 37% |
| Administration | 39 | 47 | 35 | 33 | 59 | 37 | -14% | 27% | 5% |
| Services | 36 | 16 | 20 | 24 | 13 | 57 | -32% | -20% | 188% |
| Investment | 325 | 412 | 1,945 | 258 | 355 | 845 | -21% | -14% | -57% |
| **Social Services** | **4,485** | **5,636** | **7,807** | **5,127** | **6,798** | **9,743** | **14%** | **21%** | **25%** |
| Personal Emoluments | 3,933 | 5,033 | 6,693 | 4,611 | 6,052 | 8,531 | 17% | 20% | 27% |
| Administration | 214 | 287 | 438 | 259 | 466 | 463 | 21% | 62% | 6% |
| Services | 239 | 179 | 284 | 202 | 200 | 223 | -15% | 12% | -22% |
| Investment | 100 | 136 | 392 | 55 | 80 | 526 | -45% | -41% | 34% |
| **Public Safety** | **1,506** | **1,300** | **2,264** | **1,325** | **1,574** | **2,222** | **-12%** | **21%** | **-2%** |
| Personal Emoluments | 1,043 | 739 | 731 | 954 | 719 | 1,050 | -9% | -3% | 44% |
| Administration | 238 | 327 | 771 | 203 | 678 | 871 | -14% | 107% | 13% |
| Services | 138 | 66 | 207 | 124 | 94 | 146 | -10% | 43% | -30% |
| Investment | 87 | 168 | 555 | 44 | 82 | 155 | -49% | -51% | -72% |

Source: 2004-06Appropriation Acts. 2004&05 Audited Accounts (Consolidated Fund), and 2006 Unaudited CAGD accounts for Consolidated Fund

## Table 6: Voted and Actual Government Discretionary Expenditure by MDA and Item, 2004-2007

| | 2004 *Voted* | 2004 *Actual* | 2005 *Voted* | 2005 *Actual* | 2006 *Voted* | 2006 *Supplementary* | 2006 *Total Budget* | 2006 *Actual* | 2007 *Voted* |
|---|---|---|---|---|---|---|---|---|---|
| **Discretionary Domestic Expenditure** | **10,513** | **10,110** | **12,694** | **12,474** | **14,670** | **3925.1** | **18545.3** | **17820.4** | **19963.3** |
| Personal Emoluments | **6,632** | **6,942** | **8,683** | **8,173** | **9,990** | **0.0** | **9990.0** | **11435.9** | **13165.8** |
| Administration | **1,559** | **1,514** | **1,613** | **2,395** | **2,187** | **1.5** | **2138.2** | **2886.5** | **3208.0** |
| Services | **1,176** | **973** | **970** | **1,029** | **809** | **255.4** | **1064.2** | **1274.2** | **996.3** |
| Investment | **1,147** | **681** | **1,428** | **876** | **1,685** | **3668.2** | **5353.0** | **2223.8** | **2593.3** |
| **Of which:** | | | | | | | | | |
| **General Administration** | **1,910** | **1,713** | **1,818** | **1,960** | **2,043** | **1280.2** | **3323.52** | **2377.2** | **2399.7** |
| Personal Emoluments | **762** | **865** | **845** | **908** | **991** | **0.0** | **991.34** | **1203.1** | **1033.0** |
| Administration | **317** | **334** | **364** | **491** | **381** | **0.0** | **381.32** | **444.7** | **575.5** |
| Services | **550** | **419** | **244** | **389** | **306** | **22.9** | **328.45** | **313.7** | **353.3** |
| Investment | **280** | **95** | **366** | **172** | **365** | **1257.3** | **1622.41** | **415.7** | **438.0** |
| ***Of which:*** | | | | | | | | | |
| **Min. of Local Government and Rural Devt** | **172** | **177** | **181** | **213** | **200** | **27.4** | **227.16** | **261.7** | **326.3** |
| Personal Emoluments | 128 | 147 | 138 | 164 | 156 | 0.0 | 156.1 | 240.2 | 275.3 |
| Administration | 6 | 10 | 6 | 11 | 6 | 0.0 | 6.0 | 6.8 | 9.0 |
| Services | 21 | 19 | 13 | 10 | 13 | 0.0 | 13.0 | 8.2 | 14.8 |
| Investment | 17 | 11 | 25 | 29 | 25 | 27.4 | 52.1 | 6.5 | 27.2 |
| Discrepancy | | -10 | | | | | | | |
| **Office of Government Machinery** | **527** | **452** | **528** | **490** | **657** | **731.6** | **1388.34** | **683.9** | **501.7** |
| Personal Emoluments | 179 | 154 | 177 | 125 | 284 | 0.0 | 284.4 | 190.4 | 78.8 |
| Administration | 59 | 26 | 75 | 72 | 80 | 0.0 | 80.0 | 81.3 | 120.5 |
| Services | 201 | 224 | 134 | 255 | 150 | 9.2 | 159.2 | 166.4 | 170.3 |
| Investment | 87 | 48 | 142 | 38 | 142 | 722.4 | 864.7 | 245.8 | 132.1 |
| **Min. of Foreign Affairs** | **474** | **521** | **512** | **593** | **515** | **45.7** | **561.19** | **632.7** | **663.6** |
| Personal Emoluments | 224 | 316 | 270 | 339 | 270 | 0.0 | 270.0 | 368.5 | 309.7 |
| Administration | 160 | 154 | 143 | 206 | 147 | 0.0 | 147.0 | 175.8 | 227.5 |
| Services | 35 | 18 | 12 | 9 | 12 | 0.0 | 11.8 | 18.2 | 23.0 |
| Investment | 55 | 2 | 87 | 39 | 87 | 45.7 | 132.4 | 70.2 | 103.4 |
| Discrepancy | | 31 | | | | | | | |
| **Min. of Finance** | **177** | **226** | **232** | **296** | **237** | **384.1** | **620.97** | **354.1** | **359.8** |
| Personal Emoluments | 83 | 97 | 107 | 125 | 99 | 0.0 | 98.7 | 173.6 | 161.6 |
| Administration | 29 | 88 | 38 | 106 | 40 | 0.0 | 40.0 | 65.1 | 60.0 |
| Services | 39 | 34 | 43 | 41 | 54 | 0.0 | 53.8 | 57.4 | 61.1 |
| Investment | 27 | 7 | 44 | 24 | 44 | 384.1 | 428.5 | 58.0 | 77.1 |
| **Min.of Parliamentary Affairs** | **4** | **3** | **7** | **6** | **3** | **0.0** | **3.4** | **7.7** | **10.2** |
| Personal Emoluments | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.2 | 0.3 | 0.5 |
| Administration | 1 | 1 | 1 | 1 | 1 | 0.0 | 0.9 | 3.6 | 1.3 |
| Services | 1 | 0 | 0 | 0 | 0 | 0.0 | 0.2 | 0.5 | 3.1 |
| Investment | 2 | 1 | 6 | 4 | 2 | 0.0 | 2.0 | 3.3 | 5.3 |

| | 2004 Voted | 2004 Actual | 2005 Voted | 2005 Actual | 2006 Voted | 2006 Supplementary | 2006 Total Budget | 2006 Actual | 2007 Voted |
|---|---|---|---|---|---|---|---|---|---|
| **Audit Service** | **80** | **67** | **90** | **81** | **115** | **0.0** | **115.1** | **103.7** | **143.4** |
| Personal Emoluments | 35 | 42 | 25 | 32 | 48 | 0.0 | 48.0 | 40.8 | 49.1 |
| Administration | 11 | 8 | 41 | 37 | 43 | 0.0 | 43.0 | 50.3 | 64.5 |
| Services | 22 | 16 | 10 | 9 | 10 | 0.0 | 10.1 | 5.8 | 11.5 |
| Investment | 11 | 1 | 14 | 2 | 14 | 0.0 | 14.0 | 6.8 | 18.3 |
| **Public Services Commission** | **5** | **3** | **4** | **5** | **4** | **0.0** | **4.1** | **5.1** | **5.1** |
| Personal Emoluments | 2 | 1 | 2 | 4 | 2 | 0.0 | 1.7 | 3.0 | 2.0 |
| Administration | 1 | 1 | 1 | 1 | 1 | 0.0 | 1.3 | 1.3 | 1.5 |
| Services | 1 | 0 | 0 | 0 | 0 | 0.0 | 0.3 | 0.3 | 0.4 |
| Investment | 1 | 1 | 1 | 0 | 1 | 0.0 | 0.8 | 0.5 | 1.2 |
| **National Electoral Commission** | **207** | **78** | **32** | **35** | **34** | **0.0** | **33.5** | **47.0** | **41.8** |
| Personal Emoluments | 16 | 21 | 17 | 23 | 19 | 0.0 | 18.6 | 31.4 | 22.1 |
| Administration | 6 | 4 | 6 | 5 | 6 | 0.0 | 6.0 | 11.6 | 9.5 |
| Services | 158 | 52 | 5 | 5 | 5 | 0.0 | 5.3 | 1.5 | 4.2 |
| Investment | 27 | 1 | 4 | 3 | 4 | 0.0 | 3.7 | 2.5 | 6.0 |
| **Office of Parliament** | **134** | **106** | **120** | **144** | **164** | **64.0** | **227.70** | **171.0** | **219.1** |
| Personal Emoluments | 38 | 45 | 50 | 45 | 62 | 0.0 | 61.8 | 92.0 | 71.1 |
| Administration | 30 | 30 | 32 | 31 | 33 | 0.0 | 33.0 | 26.3 | 51.5 |
| Services | 36 | 21 | 10 | 37 | 42 | 0.0 | 41.9 | 35.1 | 51.0 |
| Investment | 30 | 10 | 27 | 30 | 27 | 64.0 | 91.0 | 17.6 | 45.5 |
| **General Government Services** | | | | | | | 0.0 | 0.0 | 0.0 |
| Personal Emoluments | | | | | 0 | | 0.0 | 0.0 | 0.0 |
| Administration | | | | | 0 | | 0.0 | 0.0 | 0.0 |
| Services | | | | | 0 | | 0.0 | 0.0 | 0.0 |
| Investment | | | | | 0 | | 0.0 | 0.0 | 0.0 |
| **District Assembly Common Fund** | **1** | **1** | **1** | **1** | **1** | **0.0** | **1.0** | **0.6** | **1.6** |
| Personal Emoluments | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.3 | 0.4 | 0.5 |
| Administration | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.4 | 0.2 | 0.5 |
| Services | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Investment | 1 | 0 | 0 | 0 | 0 | 0.0 | 0.4 | 0.0 | 0.6 |
| **Planning and Regional Cooperation** | **46** | **39** | **26** | **27** | **36** | | **35.62** | **16.4** | **22.7** |
| Personal Emoluments | 3 | 3 | 3 | 1 | 3 | | 3.3 | 1.1 | 1.6 |
| Administration | 3 | 3 | 3 | 4 | 6 | | 5.8 | 4.2 | 2.7 |
| Services | 23 | 23 | 12 | 21 | 14 | | 14.1 | 8.8 | 8.1 |
| Investment | 18 | 11 | 9 | 1 | 12 | | 12.5 | 2.3 | 10.4 |
| **Min.of Information and Presidential Affairs** | **84** | **62** | **86** | **71** | **78** | **27.4** | **105.39** | **93.3** | **104.3** |
| Personal Emoluments | 53 | 40 | 57 | 51 | 48 | | 48.3 | 61.4 | 60.7 |
| Administration | 11 | 8 | 18 | 16 | 18 | | 18.0 | 18.2 | 27.0 |
| Services | 15 | 12 | 5 | 3 | 5 | 13.7 | 18.8 | 11.5 | 5.7 |
| Investment | 5 | 2 | 7 | 2 | 7 | 13.7 | 20.3 | 2.2 | 10.9 |
| | | | | | | | | | |
| **Economic Services** | **563** | **512** | **564** | **595** | **693** | **477.1** | **1170.15** | **829.6** | **721.3** |
| Personal Emoluments | **301** | **331** | **284** | **351** | **352** | **0** | **352** | **439** | **339** |
| Administration | **68** | **73** | **66** | **101** | **90** | **2** | **91** | **66** | **58** |
| Services | **97** | **49** | **54** | **38** | **55** | **31** | **86** | **123** | **43** |
| Investment | **97** | **59** | **160** | **106** | **196** | **444** | **641** | **202** | **281** |

| | 2004 *Voted* | 2004 *Actual* | 2005 *Voted* | 2005 *Actual* | 2006 *Voted* | 2006 *Supplementary* | 2006 *Total Budget* | 2006 *Actual* | 2007 *Voted* |
|---|---|---|---|---|---|---|---|---|---|
| ***Of which:*** | | | | | 0 | | | | |
| **Min. of Food and Agriculture** | **143** | **132** | **222** | **189** | **257** | **109.8** | **366.71** | **377.9** | **338.2** |
| Personal Emoluments | 88 | 98 | 101 | 134 | 121 | 0.0 | 121.0 | 161.6 | 178.3 |
| Administration | 17 | 19 | 17 | 18 | 12 | 0.0 | 11.5 | 14.0 | 10.3 |
| Services | 20 | 5 | 8 | 10 | 5 | 0.0 | 4.8 | 57.4 | 5.4 |
| Investment | 18 | 10 | 97 | 27 | 120 | 109.8 | 229.4 | 144.9 | 144.2 |
| **Min. of Lands and Forest** | **76** | **83** | **80** | **76** | **89** | **0.0** | **89.3** | **96.8** | **129.5** |
| Personal Emoluments | 42 | 46 | 49 | 57 | 59 | 0.0 | 59.1 | 72.6 | 84.1 |
| Administration | 10 | 8 | 11 | 9 | 9 | 0.0 | 9.0 | 7.5 | 13.1 |
| Services | 16 | 8 | 5 | 8 | 6 | 0.0 | 5.5 | 14.4 | 7.6 |
| Investment | 8 | 21 | 16 | 2 | 16 | 0.0 | 15.6 | 2.3 | 24.8 |
| **Min.of Energy** | **52** | **40** | **27** | **22** | **31** | **311.0** | **341.74** | **39.1** | **51.8** |
| Personal Emoluments | 7 | 2 | 4 | 1 | 4 | 0.0 | 3.7 | 7.4 | 8.9 |
| Administration | 6 | 21 | 5 | 3 | 3 | 0.0 | 3.3 | 3.0 | 5.0 |
| Services | 7 | 4 | 2 | 1 | 2 | 0.0 | 1.8 | 1.4 | 2.0 |
| Investment | 32 | 14 | 17 | 17 | 22 | 311.0 | 332.9 | 27.3 | 35.9 |
| **Min.of Trade and Industry** | **94** | **51** | **71** | **109** | **82** | **0.0** | **82.3** | **70.9** | **125.4** |
| Personal Emoluments | 29 | 23 | 22 | 28 | 27 | 0.0 | 26.9 | 33.4 | 40.8 |
| Administration | 17 | 9 | 11 | 16 | 16 | 0.0 | 16.1 | 9.2 | 18.6 |
| Services | 24 | 12 | 29 | 10 | 29 | 0.0 | 28.9 | 16.5 | 21.6 |
| Investment | 24 | 7 | 10 | 54 | 10 | 0.0 | 10.4 | 11.8 | 44.4 |
| **Min of Tourism** | **17** | **13** | **22** | **15** | **28** | **56.3** | **83.84** | **55.2** | **40.3** |
| Personal Emoluments | 4 | 4 | 4 | 7 | 5 | 0.0 | 5.5 | 10.5 | 6.2 |
| Administration | 4 | 5 | 4 | 4 | 5 | 1.5 | 6.7 | 5.8 | 7.6 |
| Services | 6 | 4 | 3 | 3 | 3 | 31.2 | 33.9 | 25.8 | 3.2 |
| Investment | 3 | 1 | 11 | 1 | 14 | 23.6 | 37.7 | 13.1 | 23.3 |
| **Ministry of Environment and Science** | **158** | **175** | **129** | **165** | **180** | | **180.4** | **178.8** | **0.0** |
| Personal Emoluments | 127 | 154 | 104 | 116 | 128 | | 128.1 | 145.5 | |
| Administration | 11 | 9 | 14 | 45 | 40 | | 40.5 | 24.8 | |
| Services | 15 | 10 | 6 | 4 | 7 | | 6.5 | 6.5 | |
| Investment | 5 | 2 | 5 | 1 | 5 | | 5.3 | 2.0 | |
| **Ministry of Private Sector Development** | **8** | **7** | **13** | **9** | **10** | | **10.0** | **4.0** | **0.0** |
| Personal Emoluments | 0 | 0 | 2 | 1 | 3 | | 2.5 | 2.6 | |
| Administration | 2 | 1 | 5 | 3 | 2 | | 1.7 | 0.5 | |
| Services | 3 | 3 | 2 | 1 | 2 | | 1.8 | 0.7 | |
| Investment | 3 | 2 | 4 | 4 | 4 | | 4.0 | 0.2 | |
| **Ministry of Mines** | **15** | **13** | **0** | **11** | **16** | | | **6.9** | **0.0** |
| Personal Emoluments | 4 | 4 | | 8 | 5 | | 5.2 | 5.5 | |
| Administration | 3 | 3 | | 2 | 2 | | 2.4 | 0.9 | |
| Services | 5 | 4 | | 0 | 3 | | 2.9 | 0.0 | |
| Investment | 4 | 2 | | 0 | 5 | | 5.3 | 0.5 | |
| **Millennium Development Authority** | | | | | | | | | **20.2** |
| Personal Emoluments | | | | | | | | | 20.2 |
| Administration | | | | | | | | | 0.0 |
| Services | | | | | | | | | 0.0 |

| | 2004 Voted | 2004 Actual | 2005 Voted | 2005 Actual | 2006 Voted | 2006 Supplementary | 2006 Total Budget | 2006 Actual | 2007 Voted |
|---|---|---|---|---|---|---|---|---|---|
| Investment | | | | | | | | | 0.0 |
| **Ministry of Fisheries** | | | | | | | | | **16.0** |
| Personal Emoluments | | | | | | | | | 0.4 |
| Administration | | | | | | | | | 3.6 |
| Services | | | | | | | | | 3.277 |
| Investment | | | | | | | | | 8.721 |
| **Infrastructure** | **472** | **402** | **570** | **533** | **783** | **1317.1** | **2100.00** | **1076.0** | **1286.6** |
| Personal Emoluments | **73** | **87** | **95** | **106** | **100** | **0.0** | **100.06** | **137.5** | **171.2** |
| Administration | **39** | **33** | **47** | **59** | **35** | **0.0** | **35.02** | **36.7** | **54.3** |
| Services | **36** | **24** | **16** | **13** | **20** | **0.0** | **19.63** | **56.6** | **26.9** |
| Investment | **325** | **258** | **412** | **355** | **628** | **1317.1** | **1945.30** | **845.2** | **1034.3** |
| ***Of which:*** | | | | | 0 | | | | |
| **Min.of Works and Housing** | **98** | **81** | **92** | **136** | **109** | **375.0** | **484.24** | **193.9** | **171.1** |
| Personal Emoluments | 26 | 27 | 30 | 37 | 36 | 0.0 | 36.0 | 48.9 | 55.0 |
| Administration | 11 | 10 | 13 | 14 | 10 | 0.0 | 10.0 | 9.8 | 15.0 |
| Services | 6 | 6 | 4 | 4 | 5 | 0.0 | 5.0 | 3.8 | 5.7 |
| Investment | 56 | 37 | 45 | 81 | 58 | 375.0 | 433.2 | 131.4 | 95.4 |
| **Min.of Roads and Transport (excl. R.F.)** | **326** | **295** | **429** | **365** | **621** | **868.9** | **1489.85** | **834.4** | **1010.2** |
| Personal Emoluments | 39 | 47 | 54 | 54 | 53 | 0.0 | 52.6 | 70.9 | 85.8 |
| Administration | 18 | 17 | 24 | 38 | 16 | 0.0 | 15.8 | 16.9 | 23.7 |
| Services | 18 | 11 | 7 | 6 | 9 | 0.0 | 9.2 | 50.0 | 10.5 |
| Investment | 250 | 220 | 344 | 267 | 543 | 868.9 | 1412.1 | 696.6 | 890.2 |
| **Min.of Communication** | **35** | **21** | **26** | **22** | **33** | **0.0** | **33.3** | **25.9** | **60.3** |
| Personal Emoluments | 7 | 12 | 9 | 14 | 11 | 0.0 | 10.5 | 17.0 | 28.4 |
| Administration | 5 | 4 | 4 | 4 | 6 | 0.0 | 6.0 | 6.1 | 6.4 |
| Services | 8 | 5 | 3 | 2 | 3 | 0.0 | 3.2 | 1.7 | 3.3 |
| Investment | 15 | 0 | 11 | 2 | 14 | 0.0 | 13.6 | 1.1 | 22.2 |
| **Ministry of Harbors and Railways** | **13** | **5** | **22** | **11** | **19** | **73.2** | **92.60** | **21.8** | **29.5** |
| Personal Emoluments | 1 | 0 | 1 | 1 | 1 | 0.0 | 0.9 | 0.7 | 0.7 |
| Administration | 4 | 2 | 6 | 4 | 3 | 0.0 | 3.2 | 3.9 | 4.8 |
| Services | 4 | 2 | 2 | 2 | 2 | 0.0 | 2.2 | 1.1 | 2.5 |
| Investment | 4 | 1 | 13 | 5 | 13 | 73.2 | 86.4 | 16.1 | 21.5 |
| **Ministry of Aviation** | | | | | | | | | **15.5** |
| Personal Emoluments | | | | | | | | | 1.3 |
| Administration | | | | | | | | | 4.4 |
| Services | | | | | | | | | 4.9 |
| Investment | | | | | | | | | 5.0 |
| **Social Services** | **4,485** | **5,127** | **5,636** | **6,798** | **7,459** | **347.6** | **7806.88** | **9742.8** | **10644.1** |
| Personal Emoluments | **3,933** | **4,611** | **5,033** | **6,052** | **6,693** | **0.0** | **6693.32** | **8531.0** | **9548.8** |
| Administration | **214** | **259** | **287** | **466** | **438** | **0.0** | **437.60** | **463.2** | **624.8** |
| Services | **239** | **202** | **179** | **200** | **193** | **91.5** | **284.09** | **222.6** | **235.4** |
| Investment | **100** | **55** | **136** | **80** | **136** | **256.1** | **391.86** | **526.0** | **235.1** |
| ***Of which:*** | | | | | 0 | | | | |
| **Min.of Education (excl.G.E.T.F.) inc. Y&S** | **3,332** | **3,984** | **3,920** | **5,115** | **5,370** | **256.1** | **5626.57** | **7014.8** | **7927.8** |
| Personal Emoluments | 3,025 | 3,631 | 3,625 | 4,555 | 4,900 | 0.0 | 4900.0 | 6126.3 | 7255.7 |
| Administration | 117 | 212 | 160 | 368 | 325 | 0.0 | 325.0 | 319.9 | 487.4 |
| Services | 130 | 111 | 91 | 154 | 101 | 0.0 | 100.7 | 104.2 | 114.3 |

| | 2004 Voted | 2004 Actual | 2005 Voted | 2005 Actual | 2006 Voted | 2006 Supplementary | 2006 Total Budget | 2006 Actual | 2007 Voted |
|---|---|---|---|---|---|---|---|---|---|
| Investment | 60 | 30 | 45 | 39 | 45 | 256.1 | 300.9 | 464.4 | 70.4 |
| **Min.of Youth and Sports** | | | | | | | | **0.0** | **0.0** |
| Personal Emoluments | | | | | | | | | |
| Administration | | | | | | | | | |
| Services | | | | | | | | | |
| Investment | | | | | | | | | |
| **Min.of Manpower Devel. and Employm.** | **43** | **43** | **71** | **61** | **73** | **0.0** | **73.2** | **79.5** | **103.3** |
| Personal Emoluments | 32 | 34 | 45 | 42 | 54 | 0.0 | 54.5 | 64.0 | 75.9 |
| Administration | 5 | 5 | 9 | 7 | 4 | 0.0 | 4.4 | 6.5 | 6.6 |
| Services | 5 | 4 | 6 | 5 | 6 | 0.0 | 5.6 | 6.4 | 6.3 |
| Investment | 2 | 1 | 11 | 7 | 9 | 0.0 | 8.9 | 2.6 | 14.5 |
| **National Comm.for Civic Education** | **41** | **36** | **31** | **32** | **29** | **0.0** | **29.0** | **36.0** | **38.9** |
| Personal Emoluments | 22 | 21 | 17 | 20 | 17 | 0.0 | 16.8 | 20.0 | 20.5 |
| Administration | 4 | 3 | 10 | 10 | 8 | 0.0 | 7.9 | 14.0 | 12.4 |
| Services | 8 | 6 | 2 | 2 | 2 | 0.0 | 2.1 | 1.5 | 2.4 |
| Investment | 7 | 6 | 2 | 0 | 2 | 0.0 | 2.2 | 0.5 | 3.6 |
| **National Comm.for Culture** | **21** | **21** | **44** | **27** | **42** | **0.0** | **42.3** | **45.5** | **60.6** |
| Personal Emoluments | 14 | 17 | 15 | 17 | 15 | 0.0 | 15.0 | 23.2 | 17.8 |
| Administration | 4 | 2 | 6 | 7 | 5 | 0.0 | 5.3 | 6.0 | 8.2 |
| Services | 2 | 1 | 3 | 1 | 3 | 0.0 | 2.7 | 3.3 | 3.0 |
| Investment | 1 | 0 | 19 | 3 | 19 | 0.0 | 19.3 | 13.0 | 31.6 |
| **Min of Health (excl. N.H.I.F.)** | **1,028** | **1,021** | **1,552** | **1,547** | **1,920** | **91.5** | **2011.63** | **2553.6** | **2482.0** |
| Personal Emoluments | 839 | 907 | 1,329 | 1,418 | 1,703 | 0.0 | 1702.9 | 2295.9 | 2175.6 |
| Administration | 78 | 31 | 96 | 69 | 90 | 0.0 | 90.0 | 111.5 | 102.7 |
| Services | 86 | 75 | 74 | 33 | 74 | 91.5 | 165.2 | 102.8 | 100.4 |
| Investment | 25 | 8 | 54 | 28 | 54 | 0.0 | 53.6 | 43.4 | 103.3 |
| **National Media Comm.** | **2** | **1** | **2** | **2** | **1** | **0.0** | **1.1** | **1.7** | **1.7** |
| Personal Emoluments | 0 | 0 | 0 | 1 | 0 | 0.0 | 0.3 | 0.8 | 0.4 |
| Administration | 1 | 1 | 1 | 1 | 1 | 0.0 | 0.6 | 0.8 | 1.0 |
| Services | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.1 | 0.1 | 0.1 |
| Investment | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.1 | 0.0 | 0.2 |
| **Min of Women Affairs** | **19** | **21** | **16** | **14** | **17** | **0.0** | **17.4** | **11.7** | **21.9** |
| Personal Emoluments | 1 | 1 | 2 | 0 | 2 | 0.0 | 2.2 | 0.8 | 0.9 |
| Administration | 5 | 6 | 6 | 5 | 4 | 0.0 | 3.8 | 4.5 | 5.7 |
| Services | 7 | 6 | 4 | 5 | 7 | 0.0 | 6.6 | 4.3 | 7.5 |
| Investment | 5 | 9 | 5 | 3 | 5 | 0.0 | 4.7 | 2.1 | 7.8 |
| **National Labor commission** | | | | | **6** | **0.0** | **5.7** | **0.0** | **7.9** |
| Personal Emoluments | | | | | 2 | 0.0 | 1.7 | | 2.0 |
| Administration | | | | | 1 | 0.0 | 0.6 | | 0.8 |
| Services | | | | | 1 | 0.0 | 1.2 | | 1.4 |
| Investment | | | | | 2 | 0.0 | 2.2 | | 3.7 |
| **Public Safety** | **1,506** | **1,325** | **1,300** | **1,574** | **1,761** | **503.1** | **2263.97** | **2221.5** | **3136.3** |
| Personal Emoluments | **1,043** | **954** | **739** | **719** | **731** | **0.0** | **731.21** | **1050.1** | **1441.1** |
| Administration | **238** | **203** | **327** | **678** | **771** | **0.0** | **770.63** | **870.7** | **1245.7** |
| Services | **138** | **124** | **66** | **94** | **97** | **109.8** | **207.24** | **146.1** | **170.5** |
| Investment | **87** | **44** | **168** | **82** | **162** | **393.3** | **554.89** | **154.6** | **279.0** |
| ***Of which:*** | | | | | 0 | | | | |

| | 2004 Voted | 2004 Actual | 2005 Voted | 2005 Actual | 2006 Voted | 2006 Supplementary | 2006 Total Budget | 2006 Actual | 2007 Voted |
|---|---|---|---|---|---|---|---|---|---|
| **Ministry of Justice** | **39** | **34** | **85** | **44** | **87** | **27.4** | **114.54** | **77.6** | **122.8** |
| Personal Emoluments | 15 | 17 | 18 | 17 | 18 | 0.0 | 18.3 | 23.6 | 22.7 |
| Administration | 11 | 10 | 12 | 13 | 13 | 0.0 | 13.0 | 18.2 | 26.6 |
| Services | 8 | 5 | 5 | 4 | 5 | 0.0 | 4.8 | 8.1 | 5.4 |
| Investment | 5 | 2 | 51 | 9 | 51 | 27.4 | 78.4 | 27.7 | 68.1 |
| **Ministry of Defence** | **636** | **507** | **408** | **582** | **671** | **146.4** | **817.45** | **894.5** | **1034.5** |
| Personal Emoluments | 493 | 386 | 285 | 223 | 283 | 0.0 | 282.7 | 385.6 | 458.6 |
| Administration | 51 | 30 | 54 | 288 | 300 | 0.0 | 300.0 | 364.6 | 449.9 |
| Services | 63 | 63 | 31 | 33 | 37 | 109.8 | 147.3 | 62.7 | 47.3 |
| Investment | 30 | 28 | 39 | 38 | 51 | 36.6 | 87.5 | 81.6 | 78.7 |
| **CHRAJ** | **26** | **21** | **25** | **25** | **29** | **0.0** | **29.0** | **27.5** | **36.4** |
| Personal Emoluments | 17 | 14 | 16 | 17 | 20 | 0.0 | 19.5 | 18.6 | 22.4 |
| Administration | 5 | 4 | 7 | 7 | 7 | 0.0 | 7.1 | 7.1 | 10.7 |
| Services | 2 | 2 | 1 | 1 | 1 | 0.0 | 1.1 | 0.7 | 1.3 |
| Investment | 2 | 1 | 1 | 0 | 1 | 0.0 | 1.2 | 1.1 | 2.0 |
| **Judicial Services** | **130** | **87** | **157** | **135** | **147** | **36.6** | **183.91** | **163.0** | **208.5** |
| Personal Emoluments | 81 | 64 | 63 | 67 | 70 | 0.0 | 70.0 | 104.5 | 90.6 |
| Administration | 24 | 17 | 46 | 44 | 50 | 0.0 | 50.0 | 43.1 | 77.1 |
| Services | 5 | 3 | 7 | 7 | 8 | 0.0 | 7.9 | 3.7 | 9.0 |
| Investment | 20 | 3 | 41 | 17 | 19 | 36.6 | 56.0 | 11.7 | 31.8 |
| **Min.of Interior** | **675** | **677** | **624** | **789** | **826** | **292.7** | **1119.07** | **1058.9** | **1367.2** |
| Personal Emoluments | 438 | 473 | 356 | 395 | 341 | 0.0 | 340.7 | 517.8 | 632.9 |
| Administration | 147 | 143 | 209 | 326 | 401 | 0.0 | 400.5 | 437.7 | 632.2 |
| Services | 60 | 51 | 23 | 50 | 46 | 0.0 | 46.1 | 70.9 | 58.2 |
| Investment | 30 | 9 | 36 | 18 | 39 | 292.7 | 331.8 | 32.5 | 43.9 |
| **Ministry of National Security** | | | | | | | | | **366.9** |
| Personal Emoluments | | | | | | | | | 213.9 |
| Administration | | | | | | | | | 49.2 |
| Services | | | | | | | | | 49.3 |
| Investment | | | | | | | | | 54.5 |
| **Utility** | **319** | **76** | **320** | **0** | **300** | | **300.0** | **0.0** | **318.6** |
| Personal Emoluments | | | | | | | | | |
| Administration | 319 | 76 | 320 | | 300 | | 300.0 | 0.0 | 318.6 |
| Services | | | | | | | | | |
| Investment | | | | | | | | | |
| **Revenue Agencies** | **388** | **347** | **498** | **413** | **595** | **0.0** | **594.6** | **642.9** | **813.5** |
| Personal Emoluments | 209 | 43 | 250 | 12 | 373 | 0.0 | 372.6 | 49.7 | 463.1 |
| Administration | 75 | 270 | 104 | 394 | 75 | 0.0 | 75.0 | 593.2 | 141.5 |
| Services | 28 | 8 | 39 | 6 | 42 | 0.0 | 42.3 | 0.0 | 64.1 |
| Investment | 75 | 26 | 105 | 0 | 105 | 0.0 | 104.7 | 0.0 | 144.8 |
| discrepancy | | | | | | | | | |
| **Contingency** | **871** | **611** | **1,989** | **599** | **986** | **0.0** | **986.2** | **930.4** | **540.1** |
| Personal Emoluments | 311 | 49 | 1,438 | 25 | 749 | 0.0 | 749.4 | 25.4 | 169.8 |
| Administration | 288 | 266 | 98 | 205 | 47 | 0.0 | 47.3 | 412.3 | 86.3 |
| Services | 89 | 153 | 371 | 288 | 96 | 0.0 | 96.3 | 412.5 | 103.1 |
| Investment | 183 | 143 | 82 | 81 | 93 | 0.0 | 93.3 | 80.2 | 180.9 |

Source: 2004-07Appropriation Acts. 2004&05 Audited Accounts (Consolidated Fund), and 2006 Unaudited CAGD accounts for Consolidated Fund.

## Table 7: Total Expenditures by Broad Classification and All Sources of Funds, 2004-2007

| | (Bn Cedis) | | | | | | | Share of total (%) | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2004 | 2004 | 2005 | 2005 | 2006 | 2006 | 2007 | 2004 | 2004 | 2005 | 2005 | 2006 | 2006 |
| | Budget | Actual | Budget | Actual | Budget | Prel | Budget | Budget | Actual | Budget | Actual | Budget | Prel |
| **General Administration** | **2623.0** | **2877.1** | **2996** | **3495** | **4848** | **4164** | **4091** | **8.4** | **8.2** | **6.8** | **8.4** | **8.1** | **6.7** |
| CF | 1910.0 | 1713.0 | 1818 | 1960 | 3324 | 2377 | 2400 | 6.1 | 4.9 | 4.2 | 4.7 | 5.6 | 3.8 |
| HIPC1/ | 71.9 | 71.9 | 286 | 511 | 225 | 845 | 60 | 0.2 | 0.2 | 0.7 | 1.2 | 0.4 | 1.4 |
| IGF | 79.0 | 39.8 | 41 | 33 | 145 | 63 | 35 | 0.3 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 |
| DACF 2/ | 118.1 | 112.4 | 157 | 105 | 181 | 192 | 244 | 0.4 | 0.3 | 0.4 | 0.3 | 0.3 | 0.3 |
| Grants and Loans | 444.0 | 940.0 | 694 | 885 | 970 | 686 | 1352 | 1.4 | 2.7 | 1.6 | 2.1 | 1.6 | 1.1 |
| **Economic Services** (incl. Infrastructure) | **4018.7** | **5278.0** | **7452** | **7173** | **10775** | **7987** | **12818** | **12.9** | **15.0** | **17.0** | **17.2** | **18.2** | **13.4** |
| CF | 1035.0 | 914.5 | 1134 | 1128 | 3270 | 1906 | 2008 | 3.3 | 2.6 | 2.6 | 2.7 | 5.5 | 3.1 |
| HIPC 1/ | 403.6 | 693.8 | 921 | 809 | 572 | 1411 | 2246 | 1.3 | 2.0 | 2..1 | 1.9 | 1.0 | 2.3 |
| IGF | 87.5 | 151.9 | 163 | 91 | 313 | 116 | 281 | 0.3 | 0.4 | 0.4 | 0.2 | 0.5 | 0.7 |
| DACF 2/ | 262.9 | 267.3 | 364 | 239 | 614 | 653 | 830 | 0.8 | 0.8 | 0.8 | 0.6 | 1.0 | 1.1 |
| Road Fund | 607.7 | 640.0 | 883 | 927 | 1069 | 1064 | 1134 | 1.9 | 1.8 | 2.0 | 2.2 | 1.8 | 1.7 |
| Petroleum Fund | 75.0 | 70.5 | 81 | 41 | 29 | 29 | 30 | 0.2 | 0.2 | 0.2 | 0.1 | 0.0 | 0.0 |
| Grants and Loans | 1547.0 | 2540.0 | 3906 | 3938 | 4907 | 2808 | 6289 | 4.9 | 7.2 | 8.9 | 9.4 | 8.3 | 4.5 |
| **Social Services** | **7996** | **9296** | **11325** | **10860** | **14065** | **15367** | **17957** | **25.6** | **26.4** | **25.9** | **26.0** | **23.7** | **24.5** |
| CF | 4485 | 5127 | 5635 | 6798 | 7807 | 9743 | 10644 | 14.3 | 14.5 | 12.9 | 16.3 | 13.2 | 15.7 |
| HIPC 1/ | 730 | 753 | 306 | 551 | 538 | 942 | 240 | 2.3 | 2.1 | 0.7 | 1.3 | 0.9 | 1.5 |
| IGF | 586 | 853 | 1116 | 1100 | 1144 | 1612 | 1667 | 1.9 | 2.4 | 2.5 | 2.6 | 1.9 | 2.3 |
| DACF 2/ | 406 | 369 | 527 | 358 | 409 | 436 | 553 | 1.3 | 1.0 | 1.2 | 0.9 | 0.7 | 0.7 |
| GETF | 811 | 872 | 1124 | 691 | 1386 | 922 | 1775 | 2.6 | 2.5 | 2.6 | 1.7 | 2.3 | 1.5 |
| Grants and Loans | 558 | 1322 | 1278 | 1363 | 1267 | 949 | 1254 | 1.8 | 3.7 | 2.9 | 3.3 | 2.1 | 1.5 |
| Nat. Health Fund | 420 | 0 | 1339 | 0 | 1514 | 764 | 1824 | 1.3 | 0.0 | 3.1 | 0.0 | 2.6 | 1.2 |
| **Public Safety** | **1582** | **1655** | **1409** | **1655** | **2700** | **2304** | **3298** | **5.1** | **4.1** | **3.2** | **4.0** | **4.6** | **3.7** |
| CF | 1506 | 1574 | 1300 | 1574 | 2264 | 2222 | 3136 | 4.8 | 3.7 | 3.0 | 3.8 | 3.8 | 3.6 |
| HIPC 1/ | 0 | 50 | 40 | 50 | 90 | 41 | 60 | 0.0 | 0.3 | 0.1 | 0.1 | 0.2 | 0.1 |
| IGF | 38 | 28 | 62 | 28 | 35 | 35 | 57 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 |
| DACF | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Grants and Loans | 38 | 3 | 7 | 3 | 311 | 6 | 45 | 0.1 | 0.0 | 0.0 | 0.0 | 0.5 | 0.0 |
| **Other** | **1578** | **1192** | **2848** | **1012** | **2565** | **3684** | **2433** | **5.0** | **3.4** | **6.5** | **2.4** | **4.3** | **5.9** |
| Utilities + Rev. Agencies-CF | 707 | 423 | 818 | 413 | 896 | 643 | 1132 | 2.3 | 1.2 | 1.9 | 1.0 | 1.5 | 1.0 |
| Contingency – CF | 871 | 611 | 1989 | 599 | 986 | 930 | 540 | 2.8 | 1.7 | 4.5 | 1.4 | 1.7 | 1.5 |
| HIPC 1/ | 0 | 158 | 41 | 0 | 455 | 1282 | 761 | 0.0 | 0.4 | 0.1 | 0.0 | 0.8 | 2.1 |
| Grants and Loans (multi-sector, unspecified sector) | 0 | 0 | 0 | 0 | 228 | 828 | 0 | 0 | 0 | 0 | 0 | 0.4 | 1.3 |
| **Sub Total MDA expend. by sector** | 17797 | 20098 | 26030 | 24195 | 34878 | 33598 | 40597 | 56.9 | 57.0 | 59.5 | 55.3 | 58.9 | 54.2 |
| **Transfer to Households (pension+grat+soc. Sec)** | 1055 | 1246 | 1589 | 1803 | 1827 | 2350 | 2551 | 3.4 | 3.5 | 3.6 | 4.3 | 3.1 | 3.8 |
| **Outstanding commit.m. (Roads and Non-Roads)** | 166 | 160 | 1117 | 297 | 347 | 488 | 562 | 0.5 | 0.5 | 2.6 | 0.7 | 0.6 | 0.8 |
| **Utility Subs/other transf.** | 392 | 1819 | 700 | 1016 | 1661 | 3045 | 407 | 1.3 | 5.2 | 1.6 | 2.4 | 2.8 | 4.9 |
| **VAT refunds** | 126 | 55 | 60 | 117 | 100 | 141 | 126 | 0.4 | 0.2 | 0.1 | 0.3 | 0.2 | 0.2 |
| **TOTAL** | **19537** | **23378** | **29494** | **27428** | **38813** | **39622** | **44242** | **100.0** | **100.0** | **100.0** | **100.0** | **100.0** | **100.0** |
| o/w: CF - Disc. Exp. by MDAs, inc. Util.& R.Ag &,Contingency | 10514 | 10110 | 12694 | 12473 | 18546 | 17820 | 19860 | 53.8 | 43.2 | 43.0 | 45.5 | 47.8 | 45.0 |

1/HIPC in 2006 Preliminary and 2007 Budget includes MDRI.

2/ Following DACF allocation guidelines, and recent budgets and performance, 15 percent of DACF is allocated to General Administration with the remainder split 60:40 between Social Services and Economic Services.

Source: 2004-20 App. Acts and Budget Statements. 2004&05 Audited Accounts (Cons. Fund), and 2006 Unaudited CAGD Report.

**Table 8: Voted and Actual Poverty Expenditure, 2006-2007**

| | 2006 Voted 1/ | 2006 Actual | 2006 Variance from Budgeted | 2007 Voted |
|---|---|---|---|---|
| Basic Education | 4187.6 | 4707.9 | 112.4% | 5987.5 |
| Primary Healthcare | 2664.6 | 1979.6 | 74.4% | 2858.9 |
| Poverty Based Agriculture | 351.8 | 484.4 | 135.6% | 499.6 |
| Rural Water | 142.7 | 186.5 | 130.7% | 151.9 |
| Feeder Roads | 875.1 | 766.9 | 87.6% | 529.4 |
| Rural Electricity | 825.0 | 1011.8 | 122.6% | 2233.9 |
| Other Poverty Reduction | 2938.2 | 3236.6 | 110.0% | 2290.8 |
| **Total Poverty Expenditure** | **11,985** | **12,373.9** | **103.2%** | **14551.9** |

1/Includes MDRI. Data on poverty-related expenditures for 2003-2005 is available in Table 4 of the Statistical Annex of the 2006 ERPFM.
Source:MOFEP

**Table 9: Projected Poverty Expenditure and Source of Funds, 2006**

| Area | P.E. | Tot 2-4 | GoG | HIPC | GETF | DACF | RD FUND | NHF | ECLIN/SNet | MDRI | TOTAL |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Basic Education | 3339.9 | 158.7 | 3498.6 | 371.3 | 138.6 | 151.7 | 0.0 | | | 27.4 | 4187.6 |
| Primary Health Care | 1361.6 | 146.5 | 1508.1 | 322.5 | 0.0 | 144.5 | 0.0 | 597.9 | | 91.5 | 2664.6 |
| Agriculture | 114.0 | 128.0 | 242.0 | 0.0 | 0.0 | 0.0 | 0.0 | | | 109.8 | 351.8 |
| Rural water | 12.1 | 9.8 | 21.8 | 51.3 | 0.0 | 9.6 | 0.0 | | | 60.0 | 142.7 |
| Feeder Roads | 8.5 | 43.5 | 52.0 | 60.0 | 0.0 | 28.9 | 312.2 | | | 411.6 | 875.1 |
| Rural Electrification | 0.0 | 20.9 | 20.9 | 245.0 | 0.0 | 48.2 | 0.0 | | 200.0 | 311.0 | 825.0 |
| Other | 424.9 | 351.4 | 776.3 | 772.2 | 0.0 | 157.8 | 0.0 | | 150 | 1081.9 | 2938.2 |
| **Total** | **5261.0** | **858.7** | **6119.7** | **1822.2** | **138.6** | **540.7** | **312.2** | **597.9** | **350.0** | **2093.2** | **11985.0** |

Source: MOFEP. Data on poverty-related expenditures for 2005 is available in Table 6 of the Statistical Annex of the 2006 ERPFM.

**Table 10: Actual Poverty Expenditure and Source of Funds, 2006**

| Area | P.E | Tot 2-4 | GoG | HIPC | GETF | DACF | RD FUND | NHF | ECLLINE | S.NET | MDRI | TOTAL |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Basic Education | 3435.4 | 95.6 | 3531.0 | 461.2 | 190.6 | 131.9 | | | | 111.6 | 281.6 | 4707.9 |
| Primary Health Care | 1371.7 | 43.0 | 1414.7 | 178.9 | | 125.6 | | 239.9 | | | 20.0 | 1979.1 |
| Agriculture | 159.3 | 191.3 | 350.6 | 25.0 | | 0.0 | | | | | 108.8 | 484.4 |
| Rural Water | 10.6 | 3.0 | 13.6 | 90.3 | | 8.4 | | | | | 74.3 | 186.5 |
| Feeder Roads | 7.1 | 83.6 | 90.7 | 25.3 | | 25.1 | 273.8 | | | | 352.0 | 766.9 |
| Rural Electrification | 0.0 | 16.0 | 16.0 | 105.7 | | 41.9 | | | 37.3 | 181.3 | 629.6 | 1011.8 |
| Other Poverty | 539.2 | 355.8 | 895.1 | 1107.8 | | 137.1 | | | | 35.1 | 1061.4 | 3236.6 |
| **Total** | **5523.3** | **788.4** | **6311.7** | **1994.2** | **190.6** | **470.0** | **273.8** | **239.9** | **37.3** | **328.1** | **2527.7** | **12373.2** |

Source: MOFEP. Data on poverty-related expenditures for 2005 is available in Table 7 of the Statistical Annex of the 2006 ERPFM.

**Table 11: Projected Poverty Expenditure and Source of Funds, 2007**

| Area | PE | Tot 2-4 | GoG | HIPC | GETF | DACF | RD FUND | NHF | ECLLINE | S.NET | MDRI | TOTAL |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Basic Education | 5322.8 | 213.5 | 5536.3 | 127.9 | 177.5 | 145.7 | | | | | | 5987.5 |
| Primary Health Care | 1379.1 | 209.1 | 1588.1 | 330.8 | | 219.8 | | 720.2 | | | | 2858.9 |
| Agriculture | 164.6 | 155.0 | 319.6 | 180.0 | | 0.0 | | | | | | 499.6 |
| Rural Water | 18.4 | 15.1 | 33.5 | 92.9 | | 25.5 | | | | | | 155.9 |
| Feeder Roads | 13.9 | 136.3 | 150.2 | 25.0 | | 28.9 | 325.3 | | | | | 529.4 |
| Rural Electrification | 0.0 | 34.9 | 34.9 | 350.0 | | 50.3 | | | | | 1598.7 | 2233.9 |
| Other Povery | 725.7 | 539.2 | 1264.9 | 662.0 | | 213.9 | | | | | | 2290.8 |
| **Total** | **7624.5** | **1303.0** | **8927.4** | **1768.6** | **177.5** | **684.3** | **325.3** | **720.2** | **100.0** | **250.0** | **1598.7** | **14551.9** |

Source: 2004-07Appropriation Acts. 2004&05 Audited Accounts (Consolidated Fund) and 2006 Unaudited CAGD accounts for Consolidated Fund, GoG poverty data

**Table 12: Education Sector – Expenditures by Program and Source of Funds, 2004-2006**

| | 2004 Actual | 2004 % of total | 2005 Actual | 2005 % of total | 2006 Actual | 2006 % of total |
|---|---|---|---|---|---|---|
| ***Programme*** | bn Cedis | % | bn Cedis | % | bn Cedis | % |
| Pre-school | 232 | 4.0% | 250 | 3.4% | 371 | 3.9% |
| Primary | 1,831 | 31.6% | 2,201 | 29.9% | 2,626 | 27.6% |
| JSS | 927 | 16.0% | 1,310 | 17.8% | 1,599 | 16.8% |
| SSS | 1,153 | 19.9% | 1,531 | 20.8% | 1,504 | 15.8% |
| TVET | 64 | 1.1% | 88 | 1.2% | 86 | 0.9% |
| SPED | 23 | 0.4% | 29 | 0.4% | 38 | 0.4% |
| NPED | 93 | 1.6% | 140 | 1.9% | 67 | 0.7% |
| Teacher Education | 214 | 3.7% | 287 | 3.9% | 331 | 3.5% |
| Tertiary | 1,217 | 21.0% | 1,443 | 19.6% | 2,146 | 22.5% |
| Management, Subvented Agenc. | 29 | 0.5% | 74 | 1.0% | 734 | 7.7% |
| HIV-AIDS | 12 | 0.2% | 7 | 0.1% | 25 | 0.3% |
| **TOTAL** | **5,794** | **100.0%** | **7,362** | **100.0%** | **9,528** | **100.0%** |
| ***Financed by:*** | | | | | | |
| GoG | 3,918 | 67.6% | 4,856 | 66.0% | 6,483 | 68.0% |
| Development partners | 420 | 7.3% | 619 | 8.4% | 225 | 2.4% |
| IGFs | 528 | 9.1% | 690 | 9.4% | 1,022 | 10.7% |
| GETF | 548 | 9.5% | 716 | 9.7% | 1,152 | 12.1% |
| HIPC | 274 | 4.7% | 313 | 4.3% | 446 | 4.7% |
| DACF | 105 | 1.8% | 86 | 1.2% | 138 | 1.5% |
| EFA Catalytic | 0 | 0.0% | 35 | 0.5% | 28 | 0.3% |
| SIF | 0 | 0.0% | 48 | 0.6% | 34 | 0.4% |

Source: MOESS, Education Sector Annual Review, Accra, 2007

**Table 13: Health Sector - Expenditures by Program and Source of Funds, 2004-2006**

| | 2004 Actual | 2004 % of total | 2005 Actual | 2005 % of total | 2006 Actual | 2006 % of total |
|---|---|---|---|---|---|---|
| | bn Cedis | % | bn Cedis | % | bn Cedis | % |
| ***Programme/institution level*** | | | | | | |
| Sub-district level services | 193 | 7.0% | 250 | 7.0% | 286 | 6.0% |
| District-level services | 828 | 30.0% | 929 | 26.0% | 1,382 | 29.0% |
| Regional-level services[1] | 524 | 19.0% | 679 | 19.0% | 810 | 17.0% |
| Tertiary-level services | 441 | 16.0% | 607 | 17.0% | 810 | 17.0% |
| Management, other | 690 | 25.0% | 964 | 27.0% | 1,191 | 25.0% |
| Subvented organisations | 83 | 3.0% | 143 | 4.0% | 286 | 6.0% |
| **TOTAL** | 2,759 | | 3,572 | | 4,765 | |
| ***Financed by:*** | | | | | | |
| GoG | 1,104 | 40.0% | 1,536 | 43.0% | 2,525 | 53.0% |
| IGF | 331 | 12.0% | 429 | 12.0% | 619 | 13.0% |
| HIPC | 166 | 6.0% | 0 | 0.0% | 95 | 2.0% |
| NHIS | 0 | 0.0% | 0 | 0.0% | 238 | 5.0% |
| Donor Health Fund | 662 | 24.0% | 536 | 15.0% | 381 | 8.0% |
| Programme/project funding | 193 | 7.0% | 500 | 14.0% | 429 | 9.0% |
| Financial Credit | 304 | 11.0% | 536 | 15.0% | 429 | 9.0% |
| Other[2] | 0 | 0.0% | 36 | 1.0% | 48 | 1.0% |

Notes. 1. Includes teaching institutions
2. Unspecified

Source: MOH, Health Sector Annual Review, Accra, 2007

## Table 14: 2006 Budget and GPRSII

| Main GPRSII Thematic Areas | 2006 GPRSII Allocation | Share of GPRSII total | 2006 Budget | Share of Budget Total | Share within GPRS Theme | 2006 Actual Expenditure | Share of total spending | Share within GPRS Theme | Deviation btwn expenditure & GPRSII as % of GPRSII | Deviation btwn actual and budget as % of Budget |
|---|---|---|---|---|---|---|---|---|---|---|
| | US$ mn | % | US$ mn | % | % | US$ mn | % | % | % | % |
| **Private Sector Competitiveness** | **752** | **36.4%** | **889** | **40.5%** | **100.0%** | **575** | **36.9%** | **100.0%** | **-23.5%** | **-35.3%** |
| of which: GoG | | | 300 | 13.7% | 33.8% | 57 | 3.7% | 9.9% | | |
| External | | | 443 | 20.2% | 49.8% | 357 | 22.9% | 62.0% | | |
| Statutory Funds, IGFs | | | 146 | 6.6% | 16.4% | 162 | 10.4% | 28.1% | | |
| **Human Resource Development** | **1,111** | **53.7%** | **786** | **35.8%** | **100.0%** | **670** | **43.0%** | **100.0%** | **-39.7%** | **-14.8%** |
| of which: GoG | | | 126 | 5.8% | 16.1% | 85 | 5.4% | 12.7% | | |
| External | | | 258 | 11.8% | 32.9% | 329 | 21.1% | 49.2% | | |
| Statutory Funds, IGFs | | | 401 | 18.3% | 51.0% | 255 | 16.4% | 38.1% | | |
| **Good Governance/Civic Responsibility** | **204** | **9.9%** | **470** | **21.4%** | **100.0%** | **314** | **20.1%** | **100.0%** | **53.8%** | **-33.3%** |
| of which: GoG | | | 215 | 9.8% | 45.8% | 110 | 7.1% | 35.1% | | |
| External | | | 33 | 1.5% | 6.9% | 57 | 3.7% | 18.1% | | |
| Statutory Funds, IGFs | | | 222 | 10.1% | 47.3% | 147 | 9.4% | 46.7% | | |
| **Other**[1] | **0** | **0.0%** | **50** | **2.3%** | **100.0%** | **0** | 0.0% | **100.0%** | **N/A** | **-99.6%** |
| of which: GoG | | | 0 | 0.0% | 0.0% | 0 | 0.0% | 0.0% | | |
| External | | | 0 | 0.0% | 0.0% | 0 | 0.0% | 0.0% | | |
| Statutory Funds, IGFs | | | 50 | 2.3% | 100.0% | 0 | 0.0% | 100.0% | | |
| **TOTAL** | **2,066** | **100.0%** | **2,194** | **100.0%** | **100.0%** | **1,559** | **100.0%** | **100.0%** | **-24.6%** | **-29.0%** |
| **of which: GoG** | | | **642** | **29.3%** | **29.3%** | **252** | **16.2%** | **16.2%** | | |
| **External** | | | **734** | **33.4%** | **33.4%** | **743** | **47.7%** | **47.7%** | | |
| **Statutory Funds, IGFs** | | | **819** | **37.3%** | **37.3%** | **564** | **36.2%** | **36.2%** | | |

Note: 1. Unspecified thematic area
Source: NDPC, Ghanaian authorities, Development Partners (CG meeting)

**Table 15: 2007 Budget and GPRSII**

| | 2007 Budgeted | Share of total budgeted | Share of funding source |
|---|---|---|---|
| | US$ mn | % | % |
| GoG | | | |
| Pvt Sector Competitiveness | 432 | 18.7% | 36.0% |
| Human Resource Development | 481 | 20.9% | 40.1% |
| Good Governance/Civic Responsibility | 286 | 12.4% | 23.8% |
| GoG Sub-total | **1,199** | **52.0%** | **100.0%** |
| External | | | |
| Pvt Sector Competitiveness | 573 | 24.9% | 56.8% |
| Human Resource Development | 361 | 15.7% | 35.8% |
| Good Governance/Civic Responsibility | 75 | 3.3% | 7.4% |
| External Sub-total | **1,009** | **43.8%** | **100.0%** |
| Statutory Funds, IGF | | | |
| Pvt Sector Competitiveness | 19 | 0.8% | 19.3% |
| Human Resource Development | 64 | 2.8% | 66.3% |
| Good Governance/Civic Responsibility | 14 | 0.6% | 14.4% |
| Statutory Funds, IGFs Sub-total | **97** | **4.2%** | **100.0%** |
| **TOTAL** | | | |
| **Pvt Sector Competitiveness** | **1,024** | **44.4%** | **44.4%** |
| **Human Resource Development** | **906** | **39.3%** | **39.3%** |
| **Good Governance/Civic Responsibility** | **375** | **16.3%** | **16.3%** |
| **TOTAL** | **2,305** | **100.0%** | **100.0%** |

Source: NDPC, Ghanaian authorities, Development Partners

# Map section